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DALAL STREET INVESTMENT JOURNAL

DEMOCRATIZING WEALTH CREATION

May 18 - 31, 2026 ■ Pages 68 ■ www.dsij.in ₹150

Analysis
**Oracle Financial
Services Software**

Special Report
**Promoters vs.
Institutions**
Who Leads Ahead?

Cover Story

Q4

Report Card

**Strong but
Selective**

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Vol. 41 No. 13

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HYDRO



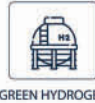
WIND



SOLAR



PSP



GREEN HYDROGEN



NUCLEAR



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Special Report

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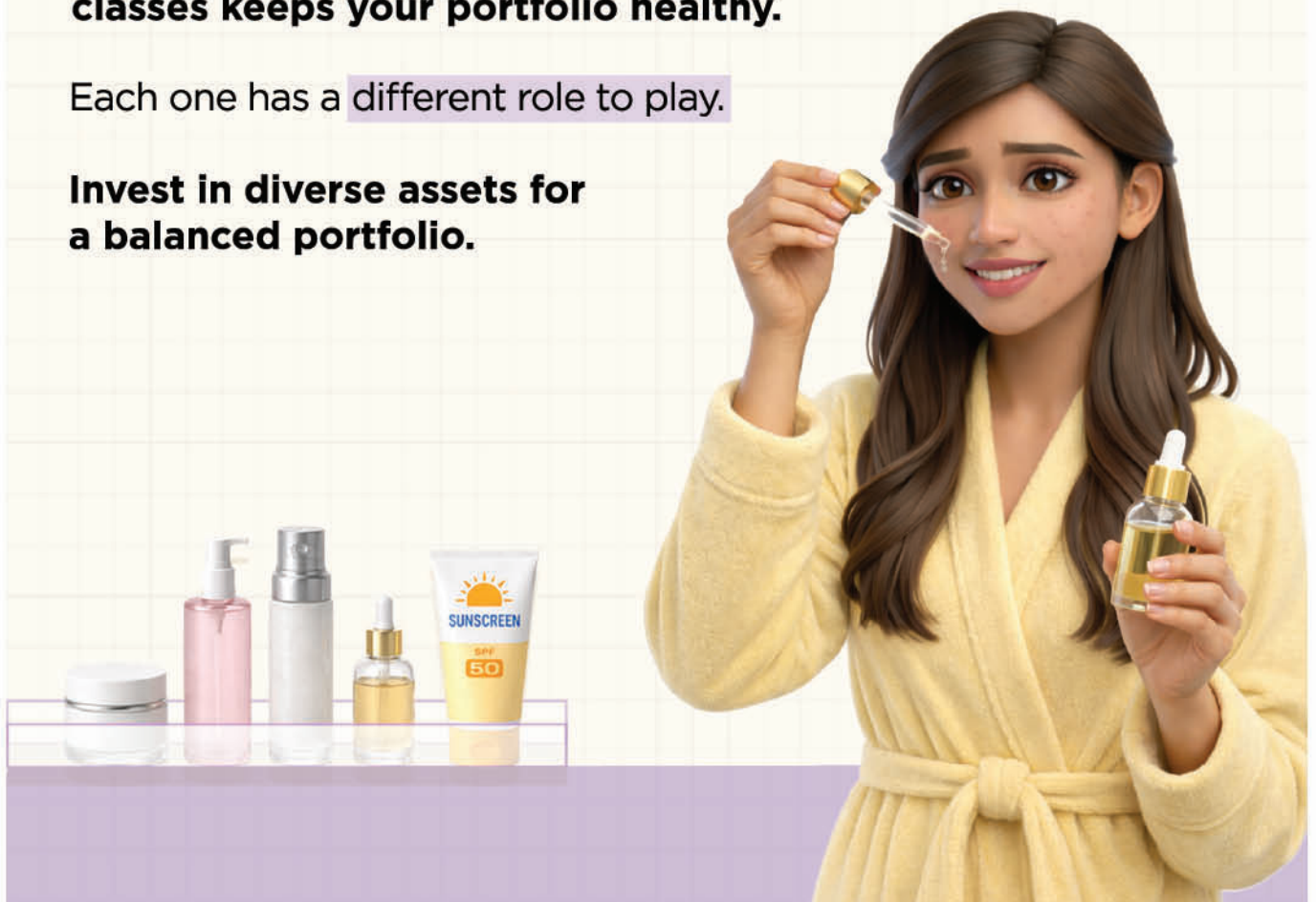
Financial Ment'her' *says*

Investing in the right mix of skincare keeps your skin healthy.

Investing in the right mix of asset classes keeps your portfolio healthy.

Each one has a different role to play.

Invest in diverse assets for a balanced portfolio.



Discipline Over Drama: Navigating Volatile Markets with Prudence

In our experience of more than four decades in the investment domain, we have seen investors rarely get into trouble because they failed to anticipate future risks. They stumble by positioning their portfolios as if only one outcome was possible. The rupee may continue its gradual drift lower, geopolitics may remain unsettled, crude oil may swing between calm and spikes, and equities may stay expensive longer than expected. None of these calls for panic. It calls for discipline.

The most practical guidance we have consistently offered across market cycles is simple, re-anchor decisions to core investment principles rather than noisy headlines. When markets become volatile, the urge to 'do something' intensifies. The right action is usually methodical. Realign your portfolio to weights that match your risk capacity and investment horizon.

Trim positions where any sector or stock has grown to an uncomfortably large share of your portfolio. Add gradually to underweight areas consistent with your long-term plan. If your allocation is already on target, the disciplined choice is often to do nothing. This is not passivity. It is a deliberate refusal to let sentiment drive investment decisions.

Valuation discipline is especially critical in a market that is not cheap. Elevated valuations do not mean markets are un-investable, but they do reduce the margin of safety. Returns then depend more heavily on earnings delivery and punish disappointments harshly. The ongoing earnings season illustrates this clearly: strong results are rewarded with double-digit gains, while misses trigger sharp sell-offs. Our cover story of this issue gives you a deep dive into earnings of the quarter ending March 31, 2026, and winners and losers.

Geopolitics should be treated as a risk lens, not a trading trigger. For India, the key transmission is through energy prices, inflation, and the currency. Crude oil remains the most important channel. If oil stays contained, markets can absorb uncertainty and refocus on fundamentals. A sharp spike turns the narrative into arithmetic: higher inflation, firmer rate expectations, and potential re-rating of expensive assets. Investors need not predict oil prices accurately, they must build portfolios that can withstand volatility.

A gradually weakening rupee is a structural feature of an emerging economy with inflation differentials. Orderly depreciation is not inherently bearish for domestic investors and can even benefit export-oriented companies over time. Avoid expressing macro views through concentrated sector or currency bets. Instead, favour businesses with natural hedges, diversified revenues and strong pricing power.

Domestic flows from systematic investing and rising household participation have strengthened market shock absorbers compared to earlier decades. This is comforting and has reduced the severity of drawdowns. However, flows cannot override valuation gravity or earnings cycles. Use this stability to avoid panic selling, not to justify complacency or overexposure.

India's long-term structural drivers, electrification, energy security, manufacturing growth, and technology adoption, remain powerful and investable over a decade. Participate through well-managed companies at sensible prices, where balance sheet strength and execution are the primary filters.

The guiding principle is clear: keep your investment process stronger than your opinions. Opinions shift with every headline. A robust process protects capital, reduces mistakes, and lets compounding do its quiet work.

At Dalal Street Investment Journal, we remain committed to guiding you with clear, cycle-tested perspectives through all market conditions.



RAJESH V PADODE
Managing Director & Editor

Managing Director & Editor
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Shashikant Singh

Copy Editor
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Editorial Team
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DSIJ WEALTH ADVISORY PVT. LTD. (Formerly Known as DSIJ Private Limited)

 **For Customer Service**
 9240904925 OR  service@dsij.in

Mumbai Office
419-A, 4th Floor, Arun Chambers, Tardeo,
Next to AC Market, Mumbai - 400034

Pune Office
Office No. 409, 4th Floor, Solitaire Business Hub,
Kalyani Nagar, Pune - 411006

 **For Enquiries**
 9240904920 OR  enquiry@dsij.in

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Is This the Right Time to Invest in Small-Caps?

Considering the relative resilience shown by small-cap stocks currently, I am planning to invest a significant amount in the small-cap segment with a long-term horizon of nearly 20 years. Is this the right time to invest?

- Raunak Shah

Editor Responds: Small-cap stocks have historically delivered strong long-term wealth creation potential, particularly for investors with a long investment horizon. However, this segment is also significantly more volatile compared to large-cap stocks and can witness sharp corrections during uncertain market phases. Considering the current geopolitical tensions, global macro concerns, currency fluctuations, and policy-related uncertainties, near-term market direction remains difficult to predict. Hence, instead of investing a large amount in one go, a staggered investment approach through systematic averaging would be more prudent. Focus on fundamentally strong small-cap companies with healthy balance sheets, scalable business models, and consistent earnings visibility. A disciplined and gradual investment strategy can help manage volatility while benefiting from long-term growth opportunities in the small-cap space.

Write to us at editorial@dsij.in

Recommendations

Company/Scheme	Reco.	Price (₹)	Column	Page No
Affle 3i	● Buy	1,584.40	Kerbside	55
Ajanta Pharma Ltd.	● Buy	3,090.95	Technicals	18
Amanta Healthcare Ltd.	● Buy	134.25	Low Priced Scrip	12
Apollo Hospitals	● Buy	8,019.60	Kerbside	55
Bharat Forge Limited	● Buy	1,912.75	Technicals	18
Biocon	● Buy	402.15	Kerbside	55
Garware Hi-Tech Films Ltd	● Buy	4,923.95	Choice Scrip	10
Hardwyn India Ltd.	● Buy	23.03	Hot Chips	14
Hindustan Zinc	● Buy	641.55	Kerbside	55
Oracle Financial Services Software	● Hold	9,009.45	Analysis	20
Tata Consumer Products Ltd.	● Buy	1,252.75	Hot Chips	14

BP - Book Profit • BPP - Book Partial Profits • BL - Book Loss

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Market Watch

A Sudden Turn in Market Sentiment

Domestic equity markets remained largely range-bound over the past fortnight, as benchmark indices traded within a narrow band amid the lack of strong directional cues. Both the BSE Sensex and Nifty 50 oscillated between gains and losses across most trading sessions before closing the period with modest gains of nearly 1 per cent each. Interestingly, the broader markets outperformed the frontline indices despite cautious investor sentiment prevailing across global and domestic markets.

The BSE 150 Mid-cap Index scaled 52-week highs during the period, while the BSE 250 Small-cap Index rallied over 6 per cent, reflecting sustained buying interest in the broader market space. The rally in broader markets was largely broad-based, with participation seen across multiple sectors. Most key sectoral indices ended the fortnight in positive territory, except for the BSE Bankex Index. Banking stocks remained under pressure amid subdued earnings performance, concerns over profitability, persistent foreign fund outflows, and uncertain global economic conditions. Investor sentiment weakened after major lenders reported softer quarterly numbers.

Market participants also turned cautious as rising deposit expenses and moderation in loan yields signalled potential stress on banks' earnings growth ahead. On the institutional front, foreign institutional investors (FIIs) remained net sellers during the period, withdrawing nearly ₹24,800 crore from Indian equities. However, domestic institutional investors (DIIs) provided strong counter support to the markets, recording robust inflows of around ₹33,000 crore. While most of the

developments appeared positive from the perspective of the last fortnight's market performance, the situation has changed considerably in recent trading sessions.

At the time of writing this column, market conditions have turned notably different, and the evolving scenario also needs to be understood carefully. Domestic markets at the start of the current fortnight witnessed a sharp sell-off in consecutive sessions after Prime Minister urged Indians to adopt austerity measures amid rising global economic uncertainties and escalating Middle East tensions. His remarks on reviving work-from-home practices, reducing petrol and diesel consumption,



Performance Of Indices			
Indices	Apr. 27, 2026	May 08, 2026	Gain/Loss (%)
Healthcare	43,616.92	46,534.89	6.69
Realty	6,022.14	6,410.43	6.45
BSE 250 Smallcap	6,532.53	6,949.98	6.39
Auto	56,681.68	59,963.44	5.79
BSE 150 Midcap	16,036.82	16,637.99	3.75
IT	27,648.74	28,584.66	3.39
Power	8,067.49	8,284.94	2.70
Metal	41,927.49	42,743.64	1.95
Oil & Gas	27,038.25	27,413.86	1.39
FMCG	18,763.84	18,997.65	1.25
Nifty 50	23,897.95	24,176.15	1.16
BSE Sensex	76,664.21	77,328.19	0.87
Bankex	63,188.31	62,353.82	-1.32

Market mood changed rapidly as investors reacted to persistent geopolitical risks, the government's cautionary commentary, and fears of an economic slowdown.

postponing non-essential foreign travel, limiting gold purchases for a year, and cutting edible oil usage sparked concerns over the broader economic outlook and rising pressure on India's fiscal and external balances.

The comments also heightened fears of slowing discretionary consumption and weakening demand sentiment across sectors, leading to broad-based selling in equity markets. The Indian rupee extended its losing streak during the period, slipping to a record low of 95.6 against the U.S. dollar. In the current environment, it has become increasingly important for investors to closely track geopolitical developments, movements in crude oil prices, government policy measures, and India's preparedness to manage the broader economic impact going forward. Stay tuned.

Net Investment In Equity Markets (₹/Cr)		
Date	FIIs	DIIs
May 08, 2026	-4,110.60	6,748.13
May 07, 2026	-340.89	441.07
May 06, 2026	-5,834.90	6,836.87
May 05, 2026	-3,621.58	2,602.62
May 04, 2026	2,835.62	4,764.16
Apr 30, 2026	-8,047.86	3,487.10
Apr 29, 2026	-2,468.42	2,262.17
Apr 28, 2026	-2,103.74	1,712.01
Apr 27, 2026	-1,151.48	4,123.92
Total	-24,843.85	32,978.05



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₹ 5,83,659
Crore

Sanctions

₹ 4,09,097
Crore

Net Profit

₹ 16,282
Crore

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Garware Hi-Tech Films Ltd

PREMIUMISATION DRIVING THE NEXT LEG OF GROWTH

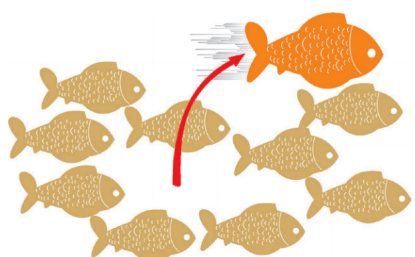
HERE IS WHY

Premium Product Portfolio

Strong Capex with Debt-Free Balance Sheet

Multiple Growth Triggers Ahead

The global specialty films market is witnessing strong growth, supported by rising demand for high-performance materials across automotive, construction, consumer and industrial applications. Within this, premium films such as paint protection films (PPF), sun control films and specialty polyester films are gaining traction due to increasing consumer awareness, higher vehicle ownership, premiumisation trends and demand for energy-efficient solutions. Against this backdrop, we recommend Garware Hi-Tech Films Ltd as our Choice Scrip. Garware Hi-Tech Films is one of India's leading specialty film manufacturers with a growing presence in premium and value-added products. The company operates across three major segments: Sun Control Films, PPF and Industrial Products. Approximately 50 per cent of revenue is derived from Sun Control Films, around 25 per cent from PPF, while the balance comes from industrial products. On the geographical front, the company derives approximately 45 per cent of its revenue from the USA, 32 per cent from the Rest of the World, while India contributes the remaining 23 per cent. The company has built a strong domestic and international distribution



CHOICE **SCRIP**
1 YEAR INVESTMENT HORIZON

network while steadily expanding its presence in automotive OEMs, institutional customers and retail consumers. Apart from aftermarket automotive demand, Garware is increasingly targeting institutional opportunities across airports, railways, hospitality and commercial buildings through its advanced film solutions. Its direct-to-consumer initiative, Garware Home Solutions, is also gaining traction in the residential segment.

Garware delivered a strong performance in FY26, reflecting the benefits of premiumisation and operating leverage. For FY26, the company reported revenue of ₹2,120 crore, EBITDA of ₹500 crore and Profit After Tax (PAT) of ₹338 crore. The company's performance remained particularly strong in Q4FY26, with revenue growing 8.9 per cent YoY to ₹597 crore, while EBITDA increased 29

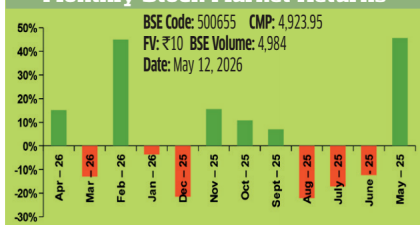
per cent YoY to ₹157 crore. PAT surged 39 per cent YoY to ₹108 crore. The significantly higher profit growth compared to revenue growth highlights an improving product mix and the benefits of operating leverage.

The company is also entering a new growth phase driven by multiple expansion initiatives. Garware is commissioning a new TPU (Thermoplastic Polyurethane) line, expected to be operational by October 2026, which will strengthen its presence in premium automotive applications, particularly PPF. In addition, a new Sun Control Film line is planned by FY28. The company has already deployed nearly ₹700 crore in capex to strengthen manufacturing capabilities and support premium product expansion. Despite this large investment cycle, Garware continues to maintain a virtually debt-free balance sheet, with debt of only ₹15.7 crore and cash and liquid investments of around ₹774 crore as of FY26. This provides strong financial flexibility while significantly reducing balance sheet risk, which is uncommon among manufacturing-led growth stories.

Return ratios also remain strong, with ROCE at 18 per cent and ROE at 13.4 per cent, supported by efficient capital deployment and improving profitability. From a valuation perspective, the stock is currently trading at a P/E of 33.9x, which is higher than the industry average of 22.7x and above its three-year median P/E of 24.4x. However, the premium valuation appears justified considering the company's shift towards high-margin products, strong earnings visibility, debt-free balance sheet and multiple growth triggers over the medium term. Considering the above factors, we recommend a **BUY**.

BS

Monthly Stock Market Returns



Shareholding Pattern (%) as of March 2026

Promoters	60.73
Institutions	9.26
Public	30.04
Total	100.03

Last Five Quarters (₹/Cr) (Consolidated)

Particulars	Mar-25	June-25	Sept-25	Dec-25	Mar-26
Total Income	547.94	494.99	569.69	458.74	596.69
Other Income	16.92	13.38	13.86	16.47	21.13
Operating Profit	121.37	122.95	133.30	86.73	156.57
Interest	2.18	2.05	2.10	1.86	2.19
Net Profit	77.80	83.02	91.23	55.77	108.21
Equity	23.23	23.23	23.23	23.23	23.23



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Total Business
₹ 1494839 Cr
Up by 12.79%

Total Deposits
₹ 827726 Cr
Up by 12.29%

Gross Advances
₹ 667113 Cr
Up by 13.43%

RAM
₹ 404126 Cr
Up by 15.18%

Gross NPA
1.98 %
Down by 111 bps

Net NPA
0.15 %
Down by 4 bps

Net Profit
₹ 12156 Cr
Up by 11.33%

NIM (Domestic)
3.36 %

ROA
1.31 %

Y-o-Y

Audited Financial Results (Standalone / Consolidated) for the Quarter / Year Ended March 31, 2026

(₹ in crore)

Sl. No.	Particulars	Standalone				Consolidated			
		Quarter Ended 31.03.2026 (Audited)	Quarter Ended 31.03.2025 (Audited)	Year Ended 31.03.2026 (Audited)	Year Ended 31.03.2025 (Audited)	Quarter Ended 31.03.2026 (Audited)	Quarter Ended 31.03.2025 (Audited)	Year Ended 31.03.2026 (Audited)	Year Ended 31.03.2025 (Audited)
1.	Total income from operations (Net)	19980.07	18599.16	77441.29	71225.64	20261.23	18794.36	78332.70	72050.88
2.	Net Profit / (Loss) for the period (before Tax, Exceptional and / or Extraordinary items)	4059.97	4224.07	16403.72	14786.93	4077.81	4229.81	16501.54	14887.38
3.	Net Profit / (Loss) for the period before Tax (after Exceptional and / or Extraordinary items)	4059.97	4224.07	16403.72	14786.93	4077.81	4229.81	15734.95	14887.38
4.	Net Profit / (Loss) for the period after Tax (after Exceptional and / or Extraordinary items)	3103.13	2956.07	12155.65	10918.29	3173.05	2981.64	11704.28	11261.47
5.	Total Comprehensive Income for the period [comprising profit/(loss) for the period (after tax) and other Comprehensive Income (after tax)]	Refer Note 2	Refer Note 2	Refer Note 2	Refer Note 2	Refer Note 2	Refer Note 2	Refer Note 2	Refer Note 2
6.	Paid-up Equity Share Capital	1346.96	1346.96	1346.96	1346.96	1346.96	1346.96	1346.96	1346.96
7.	Reserves (excluding Revaluation Reserve as shown in the Audited Balance Sheet of previous year)	69876.76	60762.20	69876.76	60762.20	71628.40	62965.17	71628.40	62965.17
8.	Securities Premium Account	6290.02	6290.02	6290.02	6290.02	6290.02	6290.02	6290.02	6290.02
9.	Net Worth	65627.59	57028.96	65627.59	57028.96				
10.	Paid-up Debt Capital/Outstanding Debt**	22421.14	25038.98	22421.14	25038.98				
11.	Debt Equity Ratio**	0.34	0.44	0.34	0.44				
12.	Earnings Per Share (of ₹ 10/- each) (for continuing and discontinued operations)								
	Basic :	*23.04	*21.95	90.24	81.06	*23.56	*22.14	86.89	83.61
	Diluted :	*23.04	*21.95	90.24	81.06	*23.56	*22.14	86.89	83.61
13.	Capital Redemption Reserve	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL
14.	Debenture Redemption Reserve	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL
15.	Debt Service Coverage Ratio	Not Applicable	Not Applicable	Not Applicable	Not Applicable	Not Applicable	Not Applicable	Not Applicable	Not Applicable
16.	Interest Service Coverage Ratio	Not Applicable	Not Applicable	Not Applicable	Not Applicable	Not Applicable	Not Applicable	Not Applicable	Not Applicable

* Not Annualised ** Debt represents borrowing with residual maturity of more than one year.

- Note:** 1. The above is an extract of the detailed format of Quarterly / Yearly Financial Results filed with the Stock Exchanges under Regulation 33 and Regulation 52 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. The full format of the Quarterly / Yearly Financial Results are available on the Stock Exchange(s) websites (www.nseindia.com and www.bseindia.com) and Bank's website (www.indianbank.bank.in).
2. Information relating to Total Comprehensive Income and other Comprehensive Income is not furnished as Ind AS is not yet made applicable to the Bank.
3. The Board of Directors has recommended a Dividend of ₹18.25 per equity share (182.50% of face value of ₹10 each) in its meeting held on 29.04.2026 subject to Shareholders' approval in Annual General Meeting.

QR CODE for Result



Place : Chennai

Date : 29.04.2026

Mini T M
Executive Director

Brajesh Kumar Singh
Executive Director

Shiv Bajrang Singh
Executive Director

Ashutosh Choudhury
Executive Director

Binod Kumar
Managing Director & CEO

Corporate Office: 254-260, Avvai Shanmugam Salai, Royapettah, Chennai - 600 014.

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Amanta Healthcare Ltd.

NICHE PHARMA STOCK WITH EXPANSION TRIGGERS

HERE IS WHY

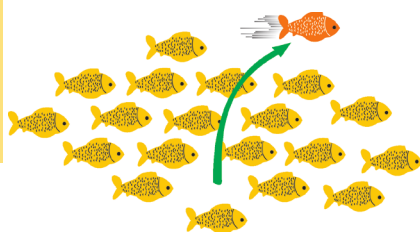
Niche sterile liquids play

SteriPort expansion to boost growth

Solar savings to aid margins

In healthcare, some of the most essential products work behind every treatment. Intravenous fluids, sterile injectables, diluents, eye care solutions and respiratory formulations may not command the spotlight, but they are indispensable in hospitals, ICUs, emergency rooms and operating theatres. The industry rewards safety, sterility and reliable supply. Amanta Healthcare fits into this specialised space as a focused sterile liquids manufacturer. Its strength lies in Large Volume Parenterals and Small Volume Parenterals, supported by its flagship SteriPort platform. In a segment where contamination risk can affect patient safety, Amanta has built its position through container integrity, advanced manufacturing and hospital acceptance.

Amanta Healthcare is a three decade old company focused on sterile liquid products. It operates from a WHO GMP certified facility in Gujarat. The company has built a balanced model across branded domestic sales, exports and loan licence manufacturing. Its domestic reach is supported by more than 320 distributors and stockists, while its international presence extends to 21 countries. With 47 products registered across 120 international jurisdictions, Amanta has a platform that can support growth.



**LOW
PRICED SCRP**

1 YEAR INVESTMENT HORIZON

The company's portfolio serves hospital and clinical requirements across fluid therapy, injectable formulations, diluents, ophthalmic care, respiratory care and irrigation solutions. These products are used for hydration support, drug delivery, infection treatment, eye care, respiratory therapy and medical cleaning applications. The portfolio includes volume driven products and higher value formulations. Over time, the company has moved towards better realisation categories such as eye drops, respiratory solutions and export focused products, which can improve margins and reduce dependence on low value diluent led growth.

The next growth phase is expected to come from capacity expansion, operating leverage and cost savings. Amanta is scaling SteriPort capacity from 6.6 crore bottles to near 12 crore bottles per annum, with go live expected in Q1FY27.

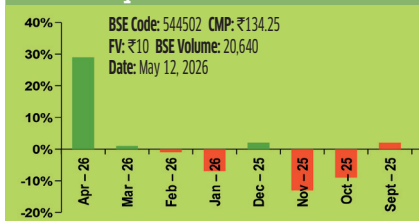
SVP capacity is being raised from about 21 crore units to nearly 31 crore units by January 2027, lifting its better margin export mix. The company is setting up a 10.8 MW solar captive power plant, expected to be commissioned by Q1FY27 and save around ₹9 crore each year at EBITDA level. Higher utilisation and export growth can support margins.

Financially, the company appears to be moving from an investment led phase to a stronger profitability phase. In Q3FY26, revenue stood at around ₹75 crore, registering 9.8 per cent YoY growth, while EBITDA came in at ₹15 crore with a margin of about 21 per cent. PAT stood at around ₹5 crore, up 8.1 per cent YoY. For 9MFY26, revenue stood at ₹211 crore, EBITDA was ₹45 crore and PAT grew around 51 per cent YoY to ₹9 crore.

Key risks include delay in capacity ramp up, slower export approvals, raw material cost pressure, working capital intensity and execution challenges in product scale up. As Amanta operates in sterile manufacturing, any quality, compliance or regulatory issue can impact growth, margins and customer confidence.

At a PE of 34.8x, Amanta is not inexpensive on a plain earnings multiple. However, the PEG ratio of 0.84x makes the valuation more reasonable when seen against expected growth. Its price to sales ratio of 1.96x also compares favourably with the median industry level of 3.4x. The company offers a niche sterile liquids platform, hospital led demand, capacity expansion, export opportunity and visible cost savings from solar power. With scale benefits likely to flow through, the outlook remains positive. Keeping all the above factors in mind, we recommend **Buy**.

Monthly Stock Market Returns



Shareholding Pattern (%) as of March 2026

Promoters	63.72
Institutions	13.73
Public	22.55
Total	100.00

Last Five Quarters (₹/Cr)

Particulars	Dec-25	Sept-25	June-25	Mar-25	Dec-24
Net Sales	74.49	70.89	65.31	72.06	67.81
Other Income	0.68	0.07	0.96	0.16	0.21
Operating Profit	16.04	14.72	15.86	18.96	15.06
Interest	5.06	5.15	6.29	6.28	5.90
Net Profit	4.63	1.21	3.51	5.96	4.28
Equity	34.34	34.34	28.83	27.00	27.00



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Assurance Of The Leader

Gross Written Premium
₹47,174
Crores

Profit After Tax
₹1,384
Crores

Solvency Ratio
1.84
Times



Extract of Standalone and Consolidated Audited Financial Results for the Quarter and Period ended 31st March 2026

(₹ IN CRORES)

Sl. No.	Particulars	Standalone					Consolidated				
		Quarter Ended			Year Ended		Quarter Ended			Year Ended	
		31st Mar 2026	31st Dec 2025	31st Mar 2025	31st Mar 2026	31st Mar 2025	31st Mar 2026	31st Dec 2025	31st Mar 2025	31st Mar 2026	31st Mar 2025
1	Gross Written Premium	11,619	11,680	11,433	47,174	43,618	11,727	11,763	11,528	47,580	43,977
2	Net Written Premium	10,005	9,678	9,751	39,331	36,315	10,063	9,717	9,800	39,551	36,509
3	Profit Before Tax	437	367	526	1,261	1,034	446	372	502	1,233	1,023
4	Profit After Tax	558	372	347	1,384	988	578	380	359	1,412	1,037
5.	Solvency Ratio (Times)	1.84	1.81	1.91	1.84	1.91	1.84	1.81	1.91	1.84	1.91
6.	Net Worth	23,619	22,630	21,884	23,619	21,884	24,626	23,523	22,756	24,626	22,756
7.	Earning Per Share (Absolute Figures)	3.38	2.25	2.10	8.40	6.00	3.51	2.31	2.18	8.57	6.29

Note: 1. The above is an extract of the detailed format of quarter and period ended Financial results filed with the stock exchanges under Regulation 33 and Regulation 52 of SEBI (Listing and Other Disclosure Requirements) Regulation 2015. The full format of the Quarterly Financial results are available on the websites of Stock exchanges (www.bseindia.com and www.nseindia.com) and the Company (www.newindia.co.in)

2. Above financial results have been reviewed by Co.'s Statutory Auditors and their audit report with qualified opinion is available in the Co.'s website.

3. The above results were reviewed by the Audit Committee and approved by the Board at their meeting held on May 11, 2026.

4. The Board has recommended a dividend of Rs. 1.50 (30%) per equity share of face value Rs. 5/- for FY 2025-26 subject to approval of shareholders.

Place : Mumbai

Date : 11th May 2026

sd/-

Ms. Girija Subramanian
Chairman-Cum-Managing Director
DIN 09196957

www.newindia.co.in

24x7 - Toll free number
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IRDAI REGN No. 190

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The scrips in this column have been recommended with a 15-day investment horizon in mind and carry high risk. Therefore, investors are advised to take into account their risk appetite before investing, as fundamentals may or may not back the recommendations.

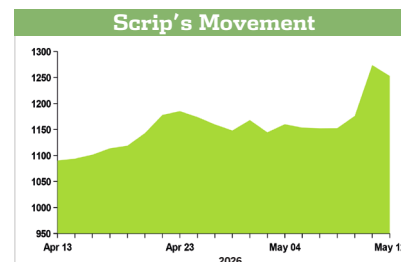
Tata Consumer Products Ltd.

CMP - ₹1,252.75

BSE CODE	Volume	Face Value
500800	1,72,930	₹1

Target	Stoploss
₹1,353 - ₹1,378	₹1,165 (CLS)

Tata Consumer Products is one of India's leading FMCG companies with a strong presence across tea, coffee, salt, packaged foods, and beverages. Backed by the trusted Tata brand, the company is expanding rapidly through product innovation, premiumisation, and distribution growth. During Q4FY26, the company posted a notable performance, with revenue surging 18 per cent year-on-year to ₹5,434 crore. Profitability strengthened significantly, with net profit jumping to ₹424 crore from ₹349 crore in the same quarter last year. The Board has recommended a dividend of ₹10 per equity share of face value ₹1 each (1,000 per cent), subject to shareholders' approval at the company's AGM. The company has fixed May 25, 2026, as the Record Date for determining the entitlement of members to receive the dividend for the financial year ended March 31, 2026. The shares witnessed strong buying interest following



Last Seven Days' Volume Table (No. of Shares)

Days	Volume
May 05, 2026	82,193
May 06, 2026	17,871
May 07, 2026	35,055
May 08, 2026	1,00,272
May 11, 2026	11,70,802
May 12, 2026	1,72,930

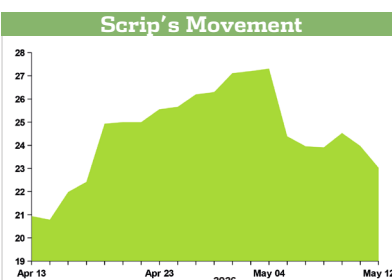
the results, and considering the impressive growth outlook, we recommend **BUY**.

Hardwyn India Ltd.

CMP - ₹23.03

BSE CODE	Volume	Face Value
541276	4,92,194	₹1

Target	Stoploss
₹24.90 - ₹25.30	₹21.40 (CLS)



Last Seven Days' Volume Table (No. of Shares)

Days	Volume
May 05, 2026	10,57,474
May 06, 2026	5,80,300
May 07, 2026	7,67,070
May 08, 2026	5,81,443
May 11, 2026	6,77,837
May 12, 2026	4,92,194

Hardwyn India Ltd is engaged in manufacturing and supplying architectural hardware, glass fittings, modular kitchen accessories, and aluminium systems. With expanding product offerings, improving distribution reach, and a focus on quality solutions, Hardwyn aims to strengthen its presence in the domestic market. The company benefits from rising demand in the real estate and infrastructure sectors. The company recently announced the launch of its ISI-certified Floor Spring and secured multiple orders from prominent institutional and government-backed infrastructure projects across India. The launch of the ISI-certified Floor Spring marks a significant step in strengthening the company's product portfolio with solutions that combine safety, performance, and design. In addition, improving execution in government and commercial projects could enhance order visibility, while operational efficiencies and better product mix may contribute to sustained profitability in the coming quarters. Hence, we recommend **BUY**.

(Closing price as of May 12, 2026)

Responsible Recycling to Critical Minerals Recovery.

A Journey of Splendid Performance Begins.

EXTRACT OF STATEMENT OF AUDITED FINANCIAL RESULTS FOR THE QUARTER AND YEAR ENDED MARCH 31, 2026 (Rs. in Lacs, except EPS)

Particulars	Standalone			
	Quarter Ended		Year Ended	
	31.03.2026	31.03.2025	31.03.2026	31.03.2025
	Audited	Audited	Audited	Audited
Total Revenue	1989	1084	5308	4656
Net Profit After Tax	933	311	2377	2333
Total Comprehensive Income for the period	931	321	2375	2290
EBITDA	1425	805	3367	3355
Share Capital (Face Value Rs. 10/-)	1930	1930	1930	1930
EPS-Basic and Diluted	4.84	1.60	12.32	12.09

STANDALONE FINANCIALS (QOQ)

▲ Revenue up by 215%

▲ PAT up by 248%

▲ EBITDA Margin 68%

▲ EPS up by 302%

Ecoreco's Credentials:



The pioneer
E-waste Recycling
Company



1st Recycling Facility
Registered by the
CPCB & MPCB



1st E-waste Recycling
Company listed on
the BSE



Gold Medal winning
Data Destruction
Facility on Wheels



Acclaimed by the
Prime Minister in
Mann Ki Baat



Introduced
Recycling on
Wheels-Smarter



Started NSDC Funded
Skill Development
Program



Started Door-to-Door
Collection of E-waste



Response Solutions

* AI Generated Image

Nifty Breaks Range; 23,123 Level Holds the Key

The weakness was broad based. Only three Nifty 50 stocks managed to close in the green, while 47 ended lower. The broader market faced deeper cuts, with the Nifty Midcap index falling 2.54 per cent and the Nifty Smallcap index slipping 3.17 per cent. The internal structure has also weakened sharply. Over 60 per cent of the Nifty 500 stocks are now trading below their 20 DMA, compared with just 5 per cent on April 21, 2026.

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Disclosures: <https://www.dsij.in/disclosures>

STOCK RECOMMENDATIONS

AJANTA PHARMA LTD. BUY CMP ₹3,090.95

BSE Code : 532331 | Target 1 ₹3,300 | Target 2 ₹3,400 | Stoploss....₹2,930 (CLS)



Ajanta Pharma is a specialty pharmaceutical formulations company with a strong focus on the branded generics business across India, Asia and Africa. The company has an on ground presence in more than 30 countries, with several products being first to market and leaders in their respective sub therapeutic segments. It also operates in the US generics market and the institutional business in Africa. Ajanta has a state of the art R&D centre in Mumbai and seven manufacturing facilities in India. On the technical front, Ajanta Pharma closed near the pivot of a nine week cup like pattern and recorded its highest weekly close in nearly 80 weeks. While a confirmed breakout is still awaited, the recent rise in volumes suggests fresh buying interest. The stock continues to display relative strength, with its RS line moving to a new high, indicating outperformance against the broader market. All key moving averages are trending upward, while expanding

Bollinger Bands across time frames point to improving momentum. The moving average ribbon also remains firmly positive. Among indicators, the weekly MACD has given a fresh bullish signal. The 14 period daily RSI is placed in the bullish zone, while KST and Stochastic RSI continue to support the positive structure. The Elder Impulse system has also formed a strong bullish bar. Overall, Ajanta Pharma appears close to a breakout. Going ahead, the stock needs to sustain above the ₹3,116 to ₹3,125 zone. If the breakout holds, it may move towards ₹3,300 to ₹3,400 in the near term. A stop loss may be placed at ₹2,930.

BHARAT FORGE LIMITED BUY CMP ₹1,912.75

BSE Code : 500493 | Target 1 ₹2,150 | Target 2 ₹2,220 | Stoploss....₹1,745 (CLS)



Bharat Forge Limited, a Pune based Indian multinational company, is a technology driven global player in high performance and safety critical components. The company serves multiple sectors, including automotive, power, oil and gas, construction and mining, rail, marine, defence and aerospace. The stock recently broke out of a nine week cup pattern with strong volumes. On the daily chart, it also moved out of a cup and handle like formation and has now retested the breakout zone. A strong earnings performance added to the buying interest. Its Relative Strength line has moved to a new high, while the stock recently touched a fresh lifetime high. However, due to the broader market correction, the price has pulled back from higher levels. Despite this retreat, the stock continues to trade above all key moving averages. These averages remain in the

desired sequence and are trending upward, which keeps the overall structure positive. On the weekly chart, the MACD has rebounded after taking support near its nine period average, reinforcing the positive bias. The 14 period weekly RSI has also moved into the bullish zone. Overall, Bharat Forge has already broken out of a bullish pattern. The recent market led correction has brought the stock back towards the breakout area, offering a favourable entry opportunity. The stock can be bought with a stop loss of ₹1,745 for a medium term target of ₹2,150 to ₹2,220.

*LEGEND: ■ EMA - Exponential Moving Average. ■ MACD - Moving Average Convergence Divergence ■ RMI - Relative Momentum Index

■ ROC - Rate of Change ■ RSI - Relative Strength Index

(Closing price as of May 12, 2026)

Disclaimer : Above recommendations are based on various technical parameters and any fundamental input has not been considered for the recommendations. Follow strict stop loss for the recommendation.



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Oracle Financial Services Software (OFSS)

Why OFSS Is the IT Stock That Doesn't Behave Like One

When the market sold the IT basket, it quietly threw out a global banking software franchise at a multi-year low; software that 700 banks across 145 countries find difficult to switch off, and that changes everything about the valuation

Not every 52-week low deserves attention. Some stocks fall because the business is weakening, some because earnings are under pressure, and some because the market has finally recognised an earlier excess. Oracle Financial Services Software (OFSS) looked different on March 17, 2026. The stock touched ₹6,234.50 that day (its 52-week low), but within 45 days it climbed 54 per cent to close at ₹9,726 on April 30. Such a move rarely happens without a reason. In this case, the rally was not driven by one headline alone. It was the result of several developments arriving close together: a USD 100 million deal win, improved sentiment after Accenture's strong results, better clarity on the impact of U.S. tariffs on Indian IT, and a strong Q4 FY26 performance with 31 per cent YoY growth in net profit and a ₹270 per share second interim dividend.

The important point is that the market had temporarily treated OFSS like a normal IT services company, even though its business is structurally different. Once investors began looking at the company's product-led model, recurring revenues, high margins and role in global banking modernisation, the recovery became easier to understand. The rally was not merely a bounce from a low. It was a correction of the market's earlier misreading.

Company Overview

OFSS is not a bank, and it does not lend money, collect deposits or take credit risk. It builds the software infrastructure that helps banks, financial institutions, asset managers and custodians run their daily operations. For a non-finance reader, the simplest way to understand the company is this: if a bank is

the front-facing institution that customers interact with, OFSS provides the back-end technology that helps that bank process deposits, loans, payments, compliance, customer records and other core activities.

Its flagship product is Oracle FLEXCUBE, one of the most widely deployed core banking platforms globally. The platform is used by more than 700 clients across over 145 countries. A core banking system is not a simple application that can be replaced overnight. It sits at the heart of a bank's operations. Once a bank implements such a system, changing vendors becomes costly, time-consuming and operationally risky. This creates long relationships and makes the revenue base more stable than ordinary project-based technology work.

Beyond FLEXCUBE, OFSS offers Oracle Banking Cloud Services for institutions moving towards cloud-based banking architecture, Oracle FLEXCUBE Investor Servicing for asset managers and custodians, and anti-money laundering solutions for financial institutions facing rising compliance requirements. These products place OFSS in areas where banks cannot afford failure. A payment delay, compliance error or account-processing disruption can have serious consequences, which is why financial institutions usually prefer proven vendors.

Ownership also matters. Oracle Corporation holds around 73 per cent stake in OFSS through its subsidiary, Oracle Global (Mauritius) Limited. This parentage gives the company access to Oracle's global client network, product research, enterprise relationships and brand credibility. For a company competing

for large banking transformation contracts against global technology firms, this is a meaningful strength. It improves trust, especially when banks are making long-term technology decisions involving millions of dollars and several years of implementation.

Business Model: Why OFSS Is Different

OFSS reports revenue through two main segments: Products and Services. In FY26, the Products segment contributed ₹6,942 crore of the company's total revenue of ₹7,672 crore, while the Services segment contributed ₹730 crore. This means nearly 90 per cent of revenue came from products, and only around 10 per cent came from services. This split has remained broadly stable across FY24, FY25 and FY26, showing that the company's core remains product-led.

The Products segment has three broad streams. The first is License and Cloud Fees, which are earned when a financial institution buys the right to use an OFSS product or subscribes to a cloud-based offering. The second is Consulting Fees, which come from implementation and configuration work when a bank integrates that software into its operations. The third is Maintenance Fees, which are annual payments made by existing clients for upgrades, security patches, regulatory updates and continued use of the software.

Maintenance is an important part of the story because it does not require OFSS to win a new project every year. Once a bank is using the company's software, it usually keeps paying maintenance fees so the system remains updated and compliant. This is very different from a traditional IT services company, where revenue often depends on winning new projects and deploying employees for client work.

The Services segment is more conventional. It includes customised IT development, advisory and project work that a bank specifically commissions. This work may be billed as a fixed project or based on the hours deployed. It is useful, but it is more resource-intensive than maintenance revenue.

This difference explains the quality of OFSS's earnings. A product company can earn more revenue without increasing costs in the same proportion. Once the product has been built, every additional client or renewal improves scale. This is why OFSS has been able to sustain operating margins above 40 per cent, one of the strongest levels among Indian listed technology companies. Its capital expenditure requirement is also low, making it an asset-light business with strong cash generation.

Industry Opportunity

The global banking technology industry is passing through a major replacement cycle. Many banks still depend on old core systems built decades ago. These systems were not designed for instant payments, mobile banking, cloud deployment, real-time analytics or artificial intelligence-led risk monitoring. They may still work, but maintaining them is becoming costly and upgrading them is becoming difficult.

This shift is similar to replacing an old operating system on which an entire institution runs. The decision is difficult, but once delay becomes riskier than change, spending becomes unavoidable for banks.

This is where companies like OFSS become relevant. Banks cannot modernise only their mobile app while keeping outdated back-end systems indefinitely. A modern digital bank requires a modern core. It must process transactions quickly, detect fraud, meet compliance norms, support multiple channels and integrate with cloud infrastructure. As customer expectations rise and digital-native competitors expand, traditional banks are being forced to invest in better technology.

The global core banking software market is projected to grow at a compound annual growth rate of 10 to 24 per cent through the early 2030s. Cloud adoption is also accelerating. Financial services cloud spending is expected to grow 25 per cent in 2026. Regulators in the U.S., Europe, the Middle East and Asia Pacific have also become more comfortable with cloud-based banking systems, reducing one of the biggest historical barriers to adoption.

OFSS is well positioned in this transition because it already serves banks across 145 countries and has experience in large-scale implementations. The company's future growth is linked to cloud-native core banking, AI-supported compliance, fraud detection, credit scoring, digital lending and expansion in markets such as the Middle East, Africa and Southeast Asia. The USD 100 million deal announced in March 2026 should therefore not be seen as an isolated event. It signals that large financial institutions are still investing in core modernisation, and OFSS remains a serious contender for such mandates.

FY26 Performance: Steady Growth With Strong Margins

Particulars	FY26 (₹ Cr.)	FY25 (₹ Cr.)	YoY Growth
Net Sales	7,672	6,847	12%
Total Income	7,943	7,151	11%
Employee Cost	3,434	3,205	7%
Operating Profit	3,477	3,076	13%
PAT	2,639	2,380	11%
Operating Profit Margin	45%	45%	
PAT Margin	34%	35%	
EPS (₹)	304	274	11%

At the annual level, FY26 reflected steady compounding for OFSS, with growth visible across revenue, operating profit and net profit. Net sales rose 12.05 per cent to ₹7,672.1 crore from ₹6,846.8 crore in FY25, while total income increased 11.07 per cent to ₹7,942.7 crore from ₹7,151 crore. Operating profit grew 13.04 per cent to ₹3,477.4 crore compared with ₹3,076.3 crore in the previous year, supported by controlled cost growth. Profit after tax stood at ₹2,639.3 crore, up 10.91 per cent from ₹2,379.6 crore, while EPS improved 10.67 per cent to ₹303.54

from ₹274.27. The operating profit margin expanded to 45.33 per cent from 44.93 per cent, although PAT margin moderated marginally to 34.40 per cent from 34.75 per cent. Employee cost grew 7.15 per cent to ₹3,433.8 crore, a slower pace than revenue growth, indicating operating leverage and the strength of OFSS's product-heavy model, where incremental revenue does not require a proportional increase in headcount.

Q4 FY26: The Quarter That Changed Sentiment

Particulars	Q4 FY26 (₹ Cr.)	Q3 FY26 (₹ Cr.)	QoQ Growth	Q4 FY25 (₹ Cr.)	YoY Growth
Net Sales	2,065	1,966	5%	1,716	20%
Total Income	2,137	2,026	5%	1,798	19%
Employee Cost	823	957	-14%	811	1%
Operating Profit	1,056	820	29%	765	38%
PAT	842	610	38%	644	31%
Operating Profit Margin	51%	42%		44.6%	
PAT Margin	41%	31%		37.5%	
EPS (₹)	97	70	38%	74	30%

Q4 FY26 was the real turning point for OFSS, as the company delivered strong growth across key financial metrics and restored confidence after the margin pressure seen in Q3. Net sales rose 20.33 per cent year-on-year to ₹2,065.2 crore from ₹1,716.3 crore in Q4 FY25, while sequentially they increased 5 per cent from ₹1,965.9 crore. Total income stood at ₹2,136.5 crore, up 18.81 per cent year-on-year and 5 per cent quarter-on-quarter. Operating profit surged 38.13 per cent year-on-year to ₹1,056.3 crore and rose 29 per cent sequentially from ₹819.6 crore. PAT increased 30.72 per cent year-on-year to ₹841.7 crore and jumped 38 per cent quarter-on-quarter from ₹609.6 crore, while EPS rose to ₹96.72. The strongest improvement came from margins, with the operating margin expanding to 51.15 per cent from 44.56 per cent a year earlier and 41.69 per cent in Q3. The board also declared a second interim dividend of ₹270 per share for FY26, taking the total dividend payout for the full year to ₹400 per share, which further reinforced the company's strong cash generation.

Why the Stock Fell to a 52-Week Low?

The fall to ₹6,234.50 on March 17 was not primarily caused by a sudden deterioration in OFSS's business. It was part of a wider sell-off in Indian IT stocks. To understand this, one needs to look at the ownership and sentiment around the sector.

By the end of December 2024, foreign portfolio investors held assets under custody of around ₹7.29 lakh crore in Indian IT. This made the sector one of the largest overseas investor allocations in India. When sentiment turned negative, the sector became vulnerable to heavy selling.

The pressure started building through 2025. Global clients, especially in the U.S., became cautious on discretionary technology spending as several companies delayed non-essential projects and tightened IT budgets. Concerns around U.S. tariffs

and proposed higher H-1B visa costs also clouded the outlook for Indian technology exporters. By September 2025, FII selling in IT stocks had reached ₹67,838 crore, underscoring the scale of the exit from the sector. During the same period, the Nifty IT index had fallen 22 per cent, becoming one of the weakest sectors of the market. By the end of 2025, FII selling in Indian IT stood at ₹74,698 crore for the full calendar year, showing that the pressure was not limited to a brief correction but reflected a sustained derating of the sector.

The second blow came from generative AI. Investors feared that AI-led automation could reduce demand for traditional outsourcing work such as coding, testing, maintenance and support. These concerns were more relevant for headcount-driven IT services companies, but the selling did not remain selective. OFSS, despite being a product-led banking software company, was also caught in the broader IT sell-off. In February 2026, FIIs sold ₹16,494 crore worth of Indian IT stocks. The pressure was also visible in ownership trends, with aggregate FII holdings in the sector down to ₹3.89 lakh crore as on April 30, 2026. In March 2026, broader foreign selling intensified further, with total FII outflows from Indian equities touching ₹1,17,775 crore, adding to the risk-off sentiment around the sector.

OFSS was caught in this sector-wide exit even though its business is fundamentally different. It is not primarily a staffing-led outsourcing company. Its revenue comes from software products, cloud deployments and maintenance contracts with financial institutions. However, during broad market sell-offs, investors often sell first and study differences later. OFSS became a casualty of sector fear rather than company-specific weakness.

The 45-Day Re-rating

The recovery began as the market received evidence that the worst assumptions were too pessimistic. The first signal came on March 19, when Accenture reported its second-quarter FY26 results, beating analyst expectations on both revenue and earnings while raising its full-year revenue growth guidance. Since Accenture is a large global technology services company, its results are often read as a leading indicator of enterprise technology spending. Indian IT stocks responded positively, and the sector saw a relief rally after weeks of weakness.

Six days later, OFSS announced a USD 100 million deal win. This was the key company-specific trigger. A contract of that size suggested that large financial institutions were still committing to banking technology modernisation. It also showed that OFSS's deal pipeline remained healthy despite the negative mood around IT.

Another shift came in early April. U.S. reciprocal tariffs initially created concern for Indian IT because of the sector's large U.S. exposure. However, as investors understood the details, it became clear that software and technology services exports were largely insulated from goods-based tariffs. This helped sentiment improve further.

The final trigger was the Q4 FY26 result announced on April 22. The combination of a 51.15 per cent operating margin, 31 per cent year-on-year growth in PAT, and a ₹270 per share second interim dividend bringing the total FY26 payout to ₹400 per share gave investors the confirmation they needed. It showed that Q3 margin pressure had not become a trend. It also reinforced the argument that OFSS deserved to be valued differently from traditional services companies.

These developments created a compounding effect. Each positive event reduced the probability of the bear case. Investors who had sold the stock as part of an IT basket had to revisit the business. Fresh buyers entered, and the stock moved sharply from its low.

Peer Comparison

Metric	OFSS	TCS	Infosys	Wipro	HCL Tech
Revenue Model	Product + Maintenance	Services	Services	Services	Services
Operating Margin	45%	27%	24%	20%	22%
ROE	33%	52%	32%	16%	24%
ROCE	45%	63%	40%	18%	31%
TTM PE (x)	32	17	16	16	19
Dividend Yield	4%	2.4%	4.1%	5.5%	4.5%
1Year Return	12%	-30%	-22%	-18%	-24%

OFSS is often compared with TCS, Infosys, Wipro and HCL Technologies because all are listed technology companies. However, the comparison must be understood carefully. TCS, Infosys, Wipro and HCL Technologies are primarily IT services companies. Their growth depends on winning projects, deploying large teams, billing clients and managing employee costs. Their revenue model is people-intensive.

OFSS is product-led. It builds software, licenses it to banks, helps implement it and then earns maintenance revenue over several years. This gives it a more scalable model. It does not need to add employees in the same proportion as revenue to grow.

That is why OFSS reports an operating margin of around 45 per cent, compared with 20 to 27 per cent for the large IT services peers mentioned above. Its return on capital employed stands at 45 per cent, reflecting the asset-light nature of the business. The stock also delivered a positive one-year return of 12 per cent, while several large IT services peers delivered negative one-year returns in the range of 18 to 30 per cent.

The valuation reflects this quality. OFSS trades at a trailing PE of 32 times, compared with 16 to 19 times for the services peers. At first glance, that may look expensive. However, the premium is linked to higher margins, recurring revenue, strong return ratios, low capital intensity and lower exposure to the headcount disruption concerns created by AI.

Risks Investors Should Track

- **Concentration linked to Oracle Corporation-** A meaningful portion of OFSS's revenues flows through or

is sourced via Oracle. The relationship provides scale and credibility, but any change in parent strategy, client allocation or transfer pricing arrangements could affect the company.

- **Pace of banking technology decisions-** Core banking modernisation is expensive and complex. Banks may delay such projects during uncertain macroeconomic conditions. If deal cycles slow, License and Cloud Fees could be affected.
- **Geography and currency-** OFSS earns approximately 93 per cent of revenue outside India. This gives it global reach, but also exposes it to currency movements, regional political risk and macro weakness in key markets such as the Middle East, Africa and Asia Pacific. A stronger rupee can also hurt margins when overseas revenue is translated into Indian currency.

Valuation and Outlook

At ₹9,726 on April 30, 2026, OFSS trades at a trailing PE of 32 times. This is slightly above its three-year median PE of around 30 times but below the industry PE of about 35 times. The valuation is therefore fair rather than cheap. Investors are paying a premium, but not an unreasonable one, for a debt-free, high-margin, product-led technology franchise with recurring revenue and strong cash generation.

The balance sheet adds comfort. OFSS has zero debt, strong free cash flow and a consistent dividend record. For FY26, the total dividend stands at ₹400 per share, comprising a first interim dividend of ₹130 and a second interim dividend of ₹270, giving a yield of approximately 4.11 per cent at the current price. This means shareholder returns are not dependent only on stock price appreciation. Dividend income is a meaningful part of the total return profile.

The investment thesis remains intact. OFSS is a niche global banking software company backed by Oracle Corporation. It serves an industry that is still in the early stages of a long modernisation cycle. Banks need better core systems, cloud-ready platforms, AI-supported compliance tools and real-time transaction capabilities. OFSS already has the products, client base and global credibility required to participate in this shift.

The March low was driven more by sector fear than by a collapse in the company's fundamentals. The 54 per cent recovery corrected that mispricing. However, the business remains well placed to compound through steady earnings growth, recurring maintenance income, large banking transformation deals and dividends.

At current levels, OFSS is not a bargain, but it is also not a stock that demands an exit purely because it has recovered sharply. It is a high-quality business trading at a fair price. For investors already holding the stock, the case is to **HOLD** with patience. The next phase of returns is likely to come from execution, cash generation and the company's ability to capture the ongoing transformation of global banking technology.



Promoters vs. Institutions Who Leads Ahead?

For decades, Indian investors debated whether to follow the promoter or follow the institution. The data from BSE 500 companies now offers a more nuanced answer, and it points towards a third model that most investors have not fully priced. As India enters a capital-intensive, infrastructure-heavy decade, the question of who owns what is not merely academic. It is the most important structural question in Indian equity investing today



Two Ownership Models, One Persistent Debate

Every serious investor in Indian equities has encountered some version of this argument. On one side sits the conviction that promoter-owned businesses, where founders have their personal wealth, reputation and legacy tied to the company, are fundamentally better investments because their interests are aligned with minority shareholders in a way that no professional manager's employment contract can replicate. On the other side sits the equally compelling argument that institutionally managed, governance-heavy businesses, with independent boards, professional CEOs and quarterly accountability structures, are more reliable, more scalable and less vulnerable to the kind of promoter-driven governance failures that have destroyed shareholder value across Indian markets over the decades.

Both arguments contain genuine truth. Both are also incomplete. And the reason they remain perpetually unresolved is that Indian capitalism has evolved into something more sophisticated than either side of this debate acknowledges. Understanding that evolution, and what it means for portfolio construction over the next ten years, is the real objective of this story.

India's BSE 500 universe today contains three distinct ownership models, not two. There are founder-led, high-promoter-stake businesses where a single individual or family drives strategy, capital allocation and culture. There are professionally managed, institutionally dominated businesses where dispersed ownership and board governance set the tone. And there is a third, increasingly powerful model, the large business house conglomerate, where promoter control and institutional execution coexist within the same structure. Each model has produced exceptional wealth. Each carries structural risks. And the environment that is now emerging in India is likely to favour one of them more than the others.

The Case for Promoter Skin in the Game

The phrase 'skin in the game' entered mainstream investing vocabulary through Nassim Taleb, but the concept is far older. When a person's own wealth is at stake in a decision, they are likely to make better decisions. They take decisions based on longer-term implications. They are slower to celebrate and faster to course-correct. They do not optimise for the quarterly earnings call. They optimise for survival, growth and the compounding of the enterprise across years and decades.

In the Indian business context, this dynamic is particularly pronounced. Indian promoters who built companies from scratch, often with limited institutional support, in difficult regulatory environments and against global competition, carry a relationship with their businesses that professional managers simply cannot replicate through compensation structures. The business is not a job. It is an identity. Capital allocation decisions made by such promoters have a fundamentally different quality: longer time horizons, higher personal risk tolerance and a deeper understanding of the business model than any external manager can develop in a typical three-to-five-year tenure.

The evidence for this dynamic in the Indian market is not anecdotal. Consider the portfolio of companies that have delivered the most consistent long-term wealth creation for minority shareholders in Indian equities: Bajaj Finance, under Sanjiv Bajaj's stewardship and the Bajaj family's continued ownership; Avenue Supermarts, where Radhakishan Damani and his family have held approximately 74 to 75 per cent of the business since listing, with only minimal organic dilution; Dixon Technologies, where founder-led conviction drove aggressive capacity expansion in the electronics manufacturing space well before the market understood the PLI opportunity; Pidilite Industries, where the Parekh family's unwillingness to compromise on product quality and distribution depth created a moat that took decades to build and remains almost impossible to replicate.

These are not coincidences. They are reflections of a common underlying dynamic: when the promoter cannot exit cheaply and cannot afford to be wrong, the quality of business decisions improves measurably.

When Promoters Buy More, The Market Signal That Matters

Some of the most compelling evidence for the promoter skin-in-the-game thesis comes not from static ownership levels but from directional changes. When promoters increase their stake in the open market, using their own capital to buy shares at prevailing prices, they are communicating something that no earnings guidance or investor presentation can replicate: they believe the current price undervalues the business, and they are willing to bet personal wealth on that belief.

The historical record on this is instructive. Mahindra and Mahindra's promoter group bought approximately 1.29 crore shares in 2009, raising their holding to around 29.2 per cent at a time when the stock was deeply depressed. The subsequent decade saw M&M deliver extraordinary returns, with the promoter group's conviction purchase serving as an early and accurate signal of the company's recovery and expansion trajectory. Adani Energy Solutions offers a contemporary illustration from FY26 itself, as promoters raised their stake from approximately 71.19 per cent to 72.73 per cent in Q4 FY26, even as valuations stayed elevated, a signal of conviction that the market read correctly. These examples share a common structure: promoter capital deployed in the open market, at real prices, with real consequence. The contrast with Paytm, at the other end of the spectrum, is equally instructive. The company listed with minimal promoter stake, heavy institutional and early investor ownership, and almost no skin in the game at the founder level in the post-IPO structure. The stock's subsequent underperformance and persistent governance concerns were not unrelated to that ownership structure.

The Case for Institutional Ownership

The argument for institutional dominance is not simply about governance for its own sake. It is about what happens to businesses when they scale beyond the cognitive capacity of a single founder or family to manage effectively. Most businesses that reach genuine scale, tens of thousands of employees, multi-geography operations, complex regulatory environments and global competition, require systems, processes and professional talent that founder-centric models struggle to sustain.

HDFC Bank is the defining Indian case study. Built by Aditya Puri over 26 years with an explicitly institutional mindset, independent credit committees, standardised processes, and succession planning embedded into the organisational structure from early days, the bank delivered one of the most consistent compounding track records in Indian equity history. The success was not despite the institutional model. It was because of it. When Puri retired, the transition to Sashidhar Jagdishan was orderly and planned, and did not produce the

key-man departure shock that promoter-led businesses so frequently suffer. Infosys represents a different but equally instructive version of the institutional model. The founders' deliberate decision to dilute ownership, establish genuine board independence and build a process-driven culture created a company that has outlasted multiple leadership transitions, survived governance crises and continued compounding despite operating in a sector undergoing fundamental disruption. The company's governance structure was not a constraint on growth; it was a guarantee of longevity.

For foreign institutional investors, in particular, governance quality has become an increasingly non-negotiable prerequisite for large allocations. In a world where capital can flow globally with minimal friction, the premium attached to predictable, process-driven businesses with independent oversight has grown substantially. FIIs reward capital efficiency, earnings predictability and governance transparency. Companies that offer all three, regardless of ownership structure, attract the deepest and most patient institutional pools of capital.

What the BSE 500 Data Actually Says

Theory is useful. Data is decisive. Analysis of BSE 500 companies across promoter holding ranges and institutional holding ranges reveals a picture that is more nuanced than either the promoter-conviction or institutional-governance camp typically acknowledges.

Promoter Holding vs. Returns			
Promoter Holding Range	3 Year Avg. Return	5 Year Avg. Return	No. of Companies
0-10%	65.45%	58.96%	29
10-20%	87.28%	200.81%	5
20-30%	48.93%	87.06%	30
30-40%	50.22%	97.99%	46
40-50%	68.05%	125.21%	77
50-60%	78.00%	181.14%	118
60-70%	74.65%	149.53%	87
70-80%	76.73%	179.77%	90
80-90%	69.60%	199.97%	14
90-100%	12.24%	63.69%	4
BSE 500 Average	69.96%	146.18%	500

The data tells a story that challenges simple narratives on both sides. The sweet spot for five-year returns lies in the 50 to 60 per cent promoter holding range, where 118 companies, the largest cohort in the dataset, have delivered an average five-year return of 181.14 per cent, well above the BSE 500 average of 146.18 per cent. The 70 to 80 per cent range, home to 90 companies, delivered 179.77 per cent over five years. The 80 to 90 per cent range, a smaller cohort of 14 companies, delivered 199.97 per cent over five years, the highest in the dataset, though the sample size requires caution.

The most important insight from this table is what happens at the extremes. Companies with very low promoter ownership, the 0 to 10 per cent bracket, delivered just 58.96 per cent over

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five years, the worst outcome in the dataset and less than half the BSE 500 average. This is a powerful data point. When promoters have little or no financial stake in the business, the alignment of interest with minority shareholders is weakest, and the long-term return record reflects that misalignment. Equally important is what happens at the very top of the range. The 90 to 100 per cent promoter holding bracket, only four companies, delivered just 12.24 per cent over three years and 63.69 per cent over five years, both well below average. Extreme promoter concentration carries its own risks: limited institutional oversight, low free float, potential governance opacity, and the structural difficulty of attracting large institutional investors who require meaningful liquidity. Ownership concentration beyond a point becomes a constraint rather than a signal of conviction.

Institutional Holding vs. Returns			
Institutional Holding Range	3 Year Avg. Return	5 Year Avg. Return	No. of Companies
0-10%	106.75%	258.42%	50
10-20%	81.28%	170.69%	110
20-30%	48.82%	110.27%	117
30-40%	59.94%	134.61%	112
40-50%	94.97%	170.92%	47
50-60%	47.52%	86.48%	28
60-70%	40.26%	55.63%	19
70-80%	83.63%	108.14%	10
80-90%	126.07%	126.66%	6
90-100%	125.97%	62.62%	1
BSE 500 Average	69.96%	146.18%	500

The institutional holding data is even more counterintuitive and deserves careful reading. The highest five-year returns, 258.42 per cent, come from companies in the 0 to 10 per cent institutional holding bracket. This is a cohort of 50 companies where institutional ownership is minimal. How does one reconcile this with the governance argument for institutional ownership?

The answer lies in what this bracket actually contains. Many of the BSE 500's fastest-growing businesses, founder-driven compounders in manufacturing, specialty chemicals, capital goods, and consumer discretionary, were under-owned by institutions in their early phases precisely because they were too small, too illiquid, or too sector-specific to meet institutional mandate requirements. Institutions often arrive after the compounding has already occurred. The 0 to 10 per cent institutional bracket is not a bracket of poorly governed businesses. It is a bracket of businesses that institutions had not yet discovered or could not yet hold at scale.

The 50 to 70 per cent institutional bracket, heavily institutionalised businesses, delivers the weakest five-year returns in the dataset, averaging 86 per cent and 55 per cent, respectively. These tend to be large, well-covered, efficiently priced businesses where the upside is already reflected in valuations and where institutional ownership itself becomes a ceiling on outperformance. When everyone already owns it,

there is limited marginal buying to drive excess returns. The key insight from combining both datasets is this: promoter conviction in the 50 to 80 per cent range, combined with meaningful but not dominant institutional participation, appears to produce the best long-term return outcomes. Neither extreme, no promoter skin, no institutional oversight, optimises for minority shareholder returns.

Who Are These High-Promoter, High-Institution Companies?

Looking at the companies in the 70 to 80 and 80 to 90 per cent promoter holding ranges reveals a fascinating cross-section of Indian business. The list includes PSU stalwarts like NTPC Green Energy, Mazagon Dock, HAL, Indian Bank, and Bank of Maharashtra, all with government as the dominant promoter. It includes multinational subsidiaries like ABB India, Bosch, Siemens, Honeywell Automation, Bayer CropScience, and Abbott India, where foreign parent companies hold controlling stakes. And it includes genuine Indian promoter-led businesses like Avenue Supermarts, Solar Industries, Caplin Point Laboratories, Fine Organic Industries, and Muthoot Finance.

On the high institutional side, companies like HDFC Bank, ICICI Bank, Infosys, Axis Bank, ITC, Kotak Mahindra Bank, and Mahindra and Mahindra represent the institutionally mature end of Indian large-cap equities, well-governed, well-researched, efficiently priced, and deeply held by both domestic and foreign institutions. These are not growth discovery stories. They are quality compounding stories where governance premium is already embedded in valuations. The most interesting companies, from a future returns perspective, sit in the middle, businesses with 50 to 75 per cent promoter holding and growing institutional participation. This combination captures the best of both worlds: promoter conviction driving long-term strategy and capital allocation, institutional oversight providing governance discipline and valuation support from large buyers.

India's Third Model: The Business House

The debate between promoter-led and institutionally managed businesses has always had a blind spot: it ignores the model that has built the largest concentration of economic value in India. The Tata Group, Reliance Industries, the Adani Group, the Mahindra Group, the Bajaj Group, and the Birla Group are not promoter-led businesses in the traditional founder-with-high-stake sense. Nor are they institutionally managed in the HDFC Bank or Infosys sense. They are something qualitatively different, and that difference is increasingly important.

Call it ecosystem capitalism. These groups combine the long-term orientation and conviction of promoter ownership with the professional execution infrastructure of institutional management. They operate through professional CEOs, independent boards, and institutional financing mechanisms. But strategy, capital allocation across group entities, and the long-term direction of the enterprise are shaped by promoter

vision and ecosystem relationships that no purely professional management structure can replicate. The result is a model that possesses simultaneously the hunger of a founder business and the scale of an institutional one.

What Makes Business Houses Structurally Different

Consider how Tata Motors' transformation under N. Chandrasekaran's leadership of Tata Sons unfolded. The Tata ownership provided patient capital, the willingness to absorb losses at Jaguar Land Rover for an extended period without the quarterly pressure that would have forced a purely institutionally owned company to divest. That patience enabled a genuine operational turnaround. But the execution itself, the product strategy, the EV transition, the supply chain restructuring, was driven by professional management operating within an institutional framework. Neither model alone would have produced that outcome.

Adani Energy Solutions represents the business house model in its most contemporary expression. The promoter group's ambition drove aggressive expansion into power transmission at a pace and scale that a purely professionally managed utility company, answerable to quarterly earnings guidance, would never have attempted. But the financing was institutional, green bonds, infrastructure funds, global institutional capital attracted by the scale of the opportunity. The execution was professional, project management systems, regulatory navigation, technical talent. The combination is what makes Adani Energy one of the most relevant businesses for India's next decade of grid modernisation.

Reliance Industries has taken this model furthest. The O2C business is run with the discipline of a globally benchmarked refining operation. Jio was built with the ambition and risk appetite of a founder bet but executed with institutional systems and global vendor partnerships. Reliance Retail is scaling with the aggression of a promoter-driven land grab but managed through professional retail systems. The FY26 quarterly numbers, where energy weakness was cushioned by Jio and Retail resilience, demonstrated precisely the portfolio diversification benefit that ecosystem capitalism enables. As Mukesh Ambani himself noted, the diversified structure was designed to navigate exactly the kind of external volatility FY26 produced.

Model	Decision Driver	Capital Horizon	Best Environment	Key Risk
Founder / Single Promoter	Founder instinct	Decades	Innovation, new sectors, disruption	Key-man risk, succession
Institutionally Managed	Board and process	Quarterly + medium term	Mature sectors, governance premium	Bureaucracy, slow risk-taking
Business House	Promoter vision + professional execution	Multi-decade	Capital-intensive, infra, scale	Empire building, leverage, complexity

The business house model carries its own risks, and investors must not romanticise it. Empire building, the tendency to expand into adjacent businesses for strategic reasons that may not create shareholder value, is a genuine concern. Excessive leverage at the group level, cross-holding complexity, and the risk of contagion from one group entity to another are structural vulnerabilities that pure-play businesses do not face. The Adani Group's experience in early 2023, when a short-seller report triggered a group-wide selling episode, illustrated how business house contagion risk can be severe and sudden, even when individual businesses remain fundamentally sound. Investors in business house stocks must price this conglomerate discount as a permanent feature of the model, not a temporary anomaly.

The Private Equity (PE) Succession Wave: A New Force Reshaping Ownership

Alongside the three established ownership models, a fourth force is beginning to reshape the Indian ownership landscape in ways that will become progressively more visible over the next decade. Private equity, historically a minority growth investor in India, has structurally shifted towards majority control buyouts, and the primary source of that deal flow is family-owned businesses facing succession vacuums.

The numbers tell a clear story. Control or majority-ownership deals accounted for approximately 37 per cent of India's private equity deal value in 2022. By 2024, that figure had crossed 51 per cent, meaning that for the first time, most PE capital deployed in India was going into outright or near-control buyouts rather than minority growth stakes. The driver of this shift is not a change in PE strategy alone. It reflects a structural reality about India's family business landscape: a generation of founders who built businesses in the 1970s, 1980s and 1990s is now in their sixties and seventies. Their children, educated abroad, comfortable in technology and finance, frequently have no interest in running steel plants, textile mills or distribution businesses. The succession trade, as it is known in PE circles, is systematic. PE funds proactively identify companies where promoters are above 55 with ambiguous succession plans. They approach families not as opportunistic buyers but as solutions to a genuine problem: how does a founder monetise decades of value creation, de-risk their personal balance sheet and ensure the business they built continues to grow without forcing an unwilling next generation into operational roles they do not want? The PE playbook, buy at a governance discount, install professional management, execute two or three bolt-on acquisitions, improve reporting and capital allocation, exit in five to seven years at a significantly higher multiple, has been validated repeatedly in the Indian market.

VIP Industries is the most visible listed example. The Piramal family, which built one of India's iconic luggage brands over decades, sold a 32 per cent controlling stake to Multiples PE in a transaction that triggered an open offer and effectively transferred management control. Theobroma, one of India's

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most beloved bakery brands, was acquired by ChrysCapital in a 90 per cent buyout, a family-run business turning into a PE-owned platform for professional scaling. Haldiram's, the snack brand that is practically synonymous with Indian food culture, saw Temasek acquire a significant stake for approximately ₹8,500 crore, a global institutional investor purchasing exposure to one of India's most deeply rooted family business brands. India's family office count has grown from approximately 45 in 2018 to over 300 by 2024, reflecting the scale of wealth being formalised and diversified as founding generations monetise.

What does this mean for equity investors? The PE succession wave creates a specific opportunity: businesses transitioning from founder-dependent, governance-discounted structures to professionally managed, institutionally backed platforms often see multiple expansion as the governance discount narrows. The entry point is typically the governance discount. The exit is the institutional premium. For patient investors who identify these transitions early, as the business house or the PE fund takes control but before the market has fully repriced the governance improvement, the returns can be substantial. VIP Industries in the months following the Multiples stake acquisition illustrated this dynamic clearly.

The critical distinction for investors, however, is that PE is not a permanent owner. The typical five-to-seven-year hold period means that PE-backed businesses will eventually be sold again to strategic buyers, to the public markets via IPO, or to other institutional buyers. The long-term compounding that characterises business house ownership or high-conviction promoter stakes is not PE's objective. PE creates value through governance improvement and multiple expansion. It does not create the decade-long compounding that the promoter skin-in-the-game thesis is built on. Both can create wealth for investors. They create it differently and over different time horizons.

Where Promoter Ownership Matters Most and Where It Does Not

One of the most actionable insights from this analysis is that promoter skin in the game is not equally valuable across all sectors. The return premium from high promoter ownership is concentrated in specific business environments and largely absent in others. Understanding this distinction is essential for applying the promoter thesis correctly. Promoter ownership matters most in capital-intensive, manufacturing-heavy and new-industry businesses. In these environments, the speed of decision-making, the willingness to commit large capital ahead of market visibility and the long-term orientation that family ownership enables are genuine competitive advantages. A promoter building a defence components business, a specialty chemicals plant or an electronics manufacturing facility is making ten-year bets with their personal wealth. A professional CEO of a listed company, accountable to quarterly guidance, faces entirely different incentive structures when making the

same decision. Dixon Technologies under Suresh Goel and Solar Industries under S. N. Nuwal are businesses where promoter conviction drove capacity investments that the market initially underappreciated and later richly rewarded. Promoter ownership matters significantly less in mature BFSI businesses, regulated utilities and commodity PSUs. HDFC Bank's success was not built on promoter conviction, it was built on institutional process. The quality of the credit committee, the consistency of the risk framework and the depth of the talent pipeline were what compounded shareholder value over three decades. In such businesses, the governance and process quality that institutional ownership incentivises is more valuable than the alignment signal that promoter ownership provides.

PSU companies present a unique category. With the government as promoter holding 70 to 90 per cent in many cases, the alignment dynamic is fundamentally different. The government as promoter is neither aligned with minority shareholders in the way a founder is, nor does it operate with institutional governance discipline. It operates through policy mandates, employment considerations and sometimes electoral calculus. The strong performance of PSU bank stocks in FY26 was not primarily a promoter-alignment story. It was a valuation and cycle story, deeply discounted businesses delivering earnings recovery as the NPA clean-up finally reached completion. Investors should be careful not to conflate government ownership with founder-style promoter conviction.

What FIIs and DIIs Are Actually Buying

The preferences of foreign and domestic institutional investors in the current environment provide another lens for understanding the ownership dynamic. FIIs, who have been net sellers of Indian equities for extended periods through FY25 and FY26, are increasingly discriminating in where they redeploy capital when they do return. Their preference is clearly for businesses with high governance predictability, capital efficiency and earnings visibility. This rewards institutionally managed businesses and business houses that have invested in governance infrastructure and penalises founder-run businesses where governance is founder-dependent rather than system-dependent.

Domestic institutional investors, funded by the SIP flows of retail investors, show a different pattern. DIIs have been the primary buyers of Indian equities through the FII selling period, and their buying has been less discriminating on governance, reflecting the index-oriented, long-horizon mandate of most mutual fund money. But within active DII allocation, there is clear preference for businesses with strong promoter track records and demonstrated capital allocation quality. The domestic investor often rewards promoter ambition in a way that global institutional capital does not.

This tension between FII governance preferences and DII promoter-ambition preferences is actively shaping valuations across the market. Businesses that satisfy both, strong promoter

conviction combined with institutional-grade governance, attract the deepest pool of capital and command the highest valuation multiples. The business house model, at its best, attempts to offer exactly this combination. Tata Group companies, for instance, benefit from both the Tata brand's governance premium, which attracts FII capital, and the group's strategic ambition, which attracts DII conviction. The combination is why Tata Consumer, Tata Motors and Tata Power trade at multiples that their standalone business fundamentals alone might not fully justify.

The Next Decade: Why Business Houses May Lead

The question of who leads the next leg of India's equity market growth is not purely philosophical. It is shaped by the specific character of the growth that India is entering. The next ten years of Indian economic expansion are expected to be heavily weighted towards infrastructure, manufacturing, defence, energy transition and digital infrastructure. These are not sectors where founder-run startups or institutionally managed mature companies have historically had the greatest advantage. They are sectors where ecosystem capitalism, the ability to coordinate across sectors, access large-scale institutional financing, navigate complex regulatory environments and deploy capital at genuine scale, is the decisive competitive factor.

Infrastructure requires the ability to finance large projects at low cost, maintain long-term government relationships and execute across geographies simultaneously. Manufacturing at scale requires supply chain ecosystems, access to cheap power, logistics networks and the ability to integrate acquisitions quickly. Defence requires sustained political relationships and patient capital across multi-year development cycles. Energy transition requires both the ambition to build large-scale renewable capacity and the institutional financing sophistication to structure project finance across dozens of simultaneous projects. These are not capabilities that a single founder-run business can assemble quickly or that a governance-focused institutional management model naturally generates. Business houses, by contrast, have spent decades building exactly these capabilities. The Tata Group's presence across power, steel, automotive, IT and consumer gives it ecosystem advantages in any new sector it enters. Adani's access to port infrastructure, power generation, transmission, logistics and airports creates integration advantages in the energy transition and infrastructure space that no standalone competitor can replicate in the short term. Reliance's combination of energy, retail, digital and media assets positions it uniquely for the consumption and connectivity growth that India's demographic dividend will generate over the next two decades.

This does not mean that founder-led businesses will stop creating wealth. India's technology, healthcare, specialty chemicals and consumer sectors will continue producing outstanding founder-driven compounders that deliver returns well above market averages. Nor does it mean that professionally managed institutions will underperform. HDFC Bank and Infosys will likely continue compounding at rates that

justify their inclusion in any long-term portfolio. But at the margin, the directional bias of returns over the next decade is likely to favour businesses that can deploy capital at scale, coordinate across sectors and access institutional financing at competitive costs. That description fits the business house model more than any other.

Conclusion: Not a Binary Choice, But a Framework

The promoter skin-in-the-game debate has always been framed as a choice. Follow the founder or follow the institution. Buy the conviction or buy the governance. The data from BSE 500 companies and the structural evolution of Indian capitalism suggest that this framing is obsolete. The evidence is clear that promoter conviction in the 50 to 80 per cent ownership range, combined with meaningful institutional participation, has historically produced the best minority shareholder outcomes in Indian equities. The evidence is equally clear that extreme promoter concentration eliminates the liquidity and oversight that institutional investors require, while near-zero promoter ownership eliminates the alignment that generates long-term decision quality. The optimal structure is a blend, and that blend is most naturally embodied in the business house model, where promoter vision and institutional execution coexist.

The PE succession wave adds a new and important dynamic. As India's first generation of family business founders ages and the succession vacuum widens, a significant transfer of ownership from promoter-led to institutionally managed structures is underway. For investors, this transition creates specific opportunities, the governance discount narrowing as PE installs professional management, but also specific risks, as PE's short-term hold horizon means the long-term compounding that characterises the best Indian businesses is not their objective. The practical framework for investors is straightforward. In manufacturing, capital goods, defence, specialty chemicals and new industries, favour businesses with strong promoter conviction and a track record of capital allocation quality. In mature BFSI, regulated utilities and established consumer businesses, favour governance quality and process discipline over promoter ownership. In infrastructure and large-scale industrial businesses, favour business houses that combine ecosystem advantages with institutional financing capability. And in businesses undergoing PE-led ownership transitions, assess the quality of the governance improvement, not just the change in ownership.

India's equity market is not entering a decade that will be won by a single ownership model. It is entering a decade complex enough to reward investors who understand which model fits which business, which environment and which stage of the compounding journey. The promoter who stays invested for decades, the institution that instils process discipline and the business house that scales what neither can build alone, all three will create wealth. The investor's job is to know which is doing what and to price the difference correctly.



El Nino Effect: From Pacific Winds to Dalal Street



Do you know El Nino is coming? What is it? Even though it may originate thousands of kilometres away in the Pacific Ocean, its consequences are felt across Dalal Street. Let's understand how it can affect your pockets as well as your investments

For decades, Indian investors tracked government budgets, corporate earnings, crude oil prices and interest rates to understand market direction. In recent years, however, another factor has steadily emerged as an equally important variable capable of influencing inflation, economic growth, corporate profitability and stock market sentiment – ‘the weather’. Among all climate-related developments, El Nino remains one of the most closely watched events because of its ability to disrupt India's monsoon cycle and trigger ripple effects across the broader economy.

Several international weather agencies and market reports have warned about the possibility of below-normal rainfall conditions in 2026 due to emerging El Nino patterns. After two years of healthy monsoons, any meaningful rainfall deficiency could alter inflation expectations and force policymakers to remain cautious on interest rates. For equity markets that have enjoyed strong liquidity support and improving domestic consumption trends, this becomes an important risk factor.

The connection between rainfall and financial markets may appear indirect at first glance, particularly in an economy where services and manufacturing dominate GDP contribution. Yet, India's dependence on the monsoon continues to remain substantial. Agriculture still supports the

livelihoods of a large section of the population, rural consumption drives demand across multiple industries, and food inflation remains highly sensitive to rainfall patterns.

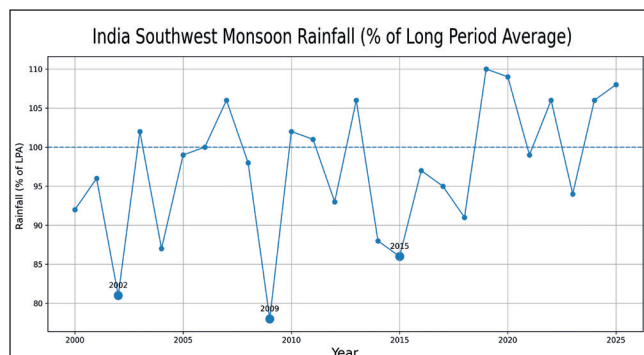
This explains why weather forecasts now receive as much attention in Dalal Street circles as inflation data or RBI policy commentary. Every year, market participants carefully monitor monsoon projections released by the India Meteorological Department and global climate agencies. Whenever El Nino conditions begin developing in the Pacific Ocean, concerns around weaker rainfall, lower crop production and rising inflation quickly enter market discussions.

What Exactly Is El Nino?

El Nino is a climate phenomenon caused by abnormal warming of sea surface temperatures in the central and eastern Pacific Ocean. Under normal conditions, Pacific Ocean temperatures remain relatively balanced, allowing trade winds to push warm surface water toward Asia and support stable weather circulation. However, during an El Nino event, sea surface temperatures in parts of the Pacific rise by nearly 1 to 2 degrees Celsius above average. In extreme cases, often referred to as ‘Super El Nino’, the warming becomes far more intense and widespread.

This excess heat acts almost like a pressure cooker for the

atmosphere. The unusually warm ocean surface traps and pushes hot air upward while altering wind circulation patterns across regions. As a result, cooler air movement weakens, heat gets retained for longer durations, and overall climatic conditions become hotter and drier across several parts of the world. It also reduces the strength of monsoon winds reaching the Indian subcontinent, resulting in lower rainfall.



Source: Data from the India Meteorological Department (IMD)

Historically, several drought years or weak monsoon periods in India have coincided with El Nino events. The severe droughts of 2002, 2009 and 2015, all of which significantly impacted agricultural output and inflation, were linked to strong El Nino conditions. However, the relationship is not always straightforward. There have also been years when India managed near-normal rainfall despite El Nino because of favourable Indian Ocean conditions. Still, the likelihood of rainfall disruption increases significantly during such phases.

Why Weak Monsoons Worry Dalal Street

The biggest reason financial markets closely monitor monsoon forecasts is inflation. Food inflation remains one of the most sensitive components of India's consumer price index. During years of healthy monsoons, inflation typically moderates because agricultural supply remains stable. Rural income improves, food prices remain under control and policymakers gain flexibility to support growth through lower interest rates.

When rainfall weakens, investors immediately begin assessing the possibility of supply disruptions and rising food prices. This matters because inflation directly affects monetary policy. The Reserve Bank of India closely monitors food prices while framing its interest rate outlook. A sustained increase in inflation can force the central bank to delay rate cuts or maintain a tighter monetary stance for longer periods.

This eventually impacts borrowing costs across the economy, influences corporate margins and affects valuation multiples in the equity market. The impact is often visible in bond markets first. Rising inflation expectations generally push government

bond yields higher because investors demand greater compensation for inflation risk. Higher bond yields then influence equity valuations, particularly for sectors dependent on cheap liquidity and lower interest rates. Financial markets therefore view monsoon forecasts as an early indicator of inflationary risks.

The Risk of Stagflation

Apart from concerns over higher inflation, El Nino years can also create a more serious economic challenge often described by economists as 'stagflation', a situation where rising prices coexist with weak economic growth. India's central bank faces a difficult situation during such periods. If inflation rises sharply due to food shortages, the RBI may avoid aggressive rate cuts even if economic activity slows. Higher interest rates, however, can further weaken consumption and investment demand.

This policy dilemma directly influences financial markets. Investors generally prefer environments characterised by stable inflation, lower interest rates and healthy growth. Weak monsoon years disrupt this balance by increasing uncertainty around policy direction. Food inflation becomes especially problematic because it affects household budgets immediately. Rising prices of vegetables, cereals and pulses reduce disposable income available for discretionary spending.

India Macro Snapshot			
Indicator	Latest Figure	Forecast/Outlook	Remarks
Real GDP Growth	7.6% (FY26 estimate)	6.6%-7.4% (FY27)	India remains among the fastest-growing major economies
Repo Rate	5.25%	Stable to mildly accommodative	RBI maintained neutral stance recently
CPI Inflation	3.4% (March)	3.5%-4.5%	Food inflation may rise, while crude remains a key risk
Fiscal Deficit	4.4% of GDP target	Gradual consolidation expected	Government continues fiscal discipline
Rupee (USD/INR)	Around 95	Depreciation bias	Oil prices and global dollar trend key

Urban consumers also begin cutting back on non-essential purchases when food costs rise sharply. For companies already operating in competitive industries with limited pricing power, this creates margin pressure. Higher raw material costs combined with slower demand growth can reduce profitability. The broader market impact becomes visible through sectoral divergence. Defensive sectors such as utilities or healthcare may outperform, while consumption-linked businesses dependent on rural demand may struggle.

The Rural Demand Connection

Another important reason El Nino matters to markets is the growing role of rural consumption in supporting corporate earnings. Over the last two decades, rising rural income has transformed demand patterns across multiple industries. Rural India today contributes significantly to sales in sectors such as FMCG, two-wheelers, tractors, consumer durables, paints,

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cement and affordable housing materials. A healthy monsoon improves farm income and boosts rural purchasing power. Farmers spend more on vehicles, home improvement, consumer goods and discretionary products when agricultural output remains strong.

Rural cash flows also support credit repayment cycles for banks and non-banking financial companies. When rainfall weakens, this cycle comes under pressure. The two-wheeler industry often becomes one of the earliest indicators of rural stress. Motorcycle demand in India has historically moved closely with agricultural performance because a substantial portion of entry-level vehicle sales originates from semi-urban and rural markets. Weak monsoons can therefore slow volume growth for automobile companies. Similarly, FMCG companies with extensive rural distribution networks may witness slower sales growth during poor monsoon years.

Although essential consumption remains relatively stable, discretionary spending within rural markets tends to weaken. Agrochemical companies, fertiliser manufacturers and tractor producers are also directly exposed to monsoon performance. Lower sowing activity reduces demand for agricultural inputs, affecting revenue growth across the agri-linked ecosystem. Hence, a rainfall deficiency is no longer viewed purely as an agricultural concern. It is increasingly seen as a consumption risk.

Commodity Markets Brace for Volatility

El Nino does not affect India alone. It influences agricultural and commodity markets globally because changing weather patterns disrupt crop production across multiple regions. Historically, El Nino events have impacted the production of commodities such as sugar, rice, coffee, wheat, soybeans and palm oil. Any disruption in supply from major producing countries can increase global commodity prices. India itself may face higher edible oil imports if domestic oilseed production weakens due to poor rainfall. Higher imports can widen the trade deficit and place pressure on the rupee.

Rising global agricultural prices may further increase domestic inflationary pressures. Commodity inflation also affects corporate profitability across sectors. Food processing companies, FMCG manufacturers and restaurants face higher input costs when agricultural prices rise sharply. Unless companies possess strong pricing power, profit margins can come under pressure. Crude oil markets may also experience indirect effects because weather-related disruptions influence global energy demand and transportation costs. For an import-dependent economy like India, any sustained increase in commodity prices becomes a macroeconomic concern.

Some Sectors Cheer, Others Struggle

One of the most interesting aspects of El Nino-driven market behaviour is that the impact is rarely uniform. While some industries face earnings pressure, others may actually benefit

from changing demand patterns and government policy responses. The power sector is among the most notable beneficiaries during heatwave-driven El Nino periods. Rising temperatures significantly increase electricity demand due to higher usage of air conditioners, cooling systems and refrigeration appliances.

Potential Beneficiaries of El Nino	
Sector	Positive Trigger
Power utilities	Higher electricity demand
Air conditioning manufacturers	Heatwave-driven demand
Irrigation companies	Water management investments
Water infrastructure	Government spending
Select fertiliser firms	Irrigation-linked support
Renewable energy	Shift toward energy diversification

India has already witnessed record peak power demand during recent summers as prolonged heatwaves increased energy consumption across states. Thermal power producers and electricity transmission companies often benefit from such conditions because higher demand improves utilisation levels. Manufacturers of cooling appliances, air conditioners and electrical equipment may also witness stronger demand. However, even within the power sector, the impact can vary. Hydroelectric power producers may face challenges if reservoir levels decline due to deficient rainfall.

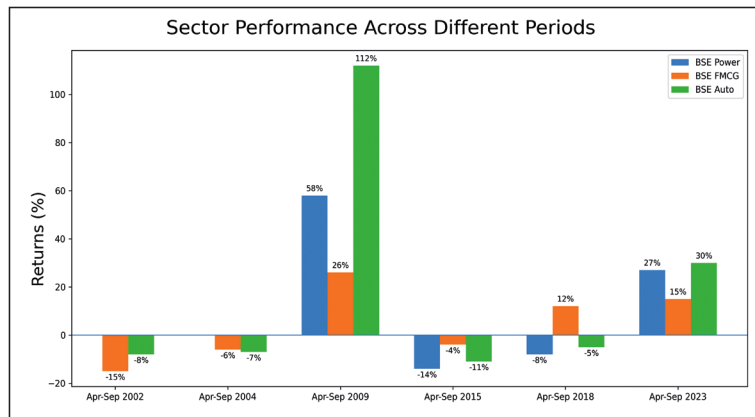
Lower water availability reduces hydroelectric generation capacity, creating pressure on output. This divergence highlights why investors must analyse second-order effects rather than making broad assumptions. Another important beneficiary category includes irrigation and water management companies. Governments typically respond to weak monsoon conditions by increasing spending on irrigation projects, water conservation infrastructure and rural support programmes. Companies engaged in pumps, pipes, irrigation systems and water infrastructure may therefore witness improved demand during such periods.

Sectors Vulnerable During El Nino	
Sector	Key Risk
FMCG	Weak rural demand growth
Two-wheelers	Lower rural vehicle purchases
Tractors	Decline in farm investments
Agrochemicals	Lower sowing activity
NBFCs	Stress in rural lending portfolios
Consumer durables	Reduced discretionary spending

On the other hand, as mentioned earlier, sectors heavily dependent on rural discretionary consumption often come under pressure. FMCG companies with significant rural exposure, entry-level automobile manufacturers and agricultural input providers usually witness slower demand growth. Financial institutions with meaningful rural loan books may also witness stress in collections if farm income weakens

significantly. The result is a highly selective market environment where sector allocation becomes critical.

sectors linked to government spending priorities.



The trends in the graph indicate that the power sector has often demonstrated relative resilience during El Nino-linked periods, particularly in years like 2009 and 2023 when broader market conditions remained highly bullish. Supportive factors such as strong infrastructure spending, rising electricity demand, capacity additions, policy support, and improved financial health of utilities helped the sector deliver healthy returns. In contrast, FMCG and auto sectors largely reported negative or muted performance during several El Nino phases, as deficient monsoons typically hurt rural incomes and discretionary spending.

Weak farm output and higher food inflation tend to pressure household budgets, affecting demand for consumer goods and vehicle purchases. However, the positive returns seen in 2009 and 2023 across sectors were also supported by strong liquidity, economic recovery momentum, and an overall bullish equity market environment, which helped offset some of the macro concerns associated with El Nino conditions.

Government Support Can Change the Equation

One important factor investor must remember is that government policy measures can significantly alter the eventual economic impact of weak monsoons. Historically, Indian governments have implemented various support measures during drought-like conditions. These include higher rural spending, food subsidies, irrigation projects, minimum support price increases and employment support programmes.

Such measures help cushion the impact on rural income and consumption to some extent. Increased public spending on infrastructure and irrigation can also create opportunities for companies operating in related sectors. This is why market reactions during El Nino periods often evolve over time. Initial concerns around inflation and consumption slowdown may later be offset partially by fiscal support measures. For long-term investors, such phases can create selective opportunities in

Investing Through Weather Uncertainty

Indian markets have experienced multiple El Nino-linked disruptions over the past few decades. However, not every weak monsoon year has resulted in economic distress. Improved irrigation coverage, better food management systems, stronger foreign exchange reserves and diversified economic growth drivers have increased India's resilience considerably compared to earlier decades. Agriculture's share in GDP has steadily declined over time, reducing the direct economic damage caused by poor rainfall.

Yet, the indirect effects through inflation and consumption remain powerful enough to influence markets meaningfully. Experienced investors therefore treat El Nino as a macro variable rather than a market catastrophe. As climate uncertainty rises globally, weather-linked investing is likely to become more relevant in India. Monsoon forecasts, reservoir levels, agricultural output data and food inflation trends may increasingly influence market sentiment and sector rotation strategies.

What Investors Should Watch	
Indicator	Why It Matters
Monsoon progress	Crop and inflation outlook
Reservoir levels	Hydro power and irrigation
Food inflation	RBI policy stance
Rural wage growth	Consumption recovery
Power demand	Utility sector trends
Government spending	Infrastructure beneficiaries

The broader market impact will ultimately depend on the severity of rainfall disruption, government policy responses and the RBI's inflation management strategy. In such an environment, investors should avoid making panic-driven portfolio decisions based solely on monsoon forecasts. Instead, the focus should remain on portfolio balance, sector diversification and earnings resilience. Companies with strong balance sheets, pricing power and lower dependence on rural discretionary demand are generally better positioned during periods of weather-linked uncertainty.

At the same time, investors may keep an eye on sectors that could benefit from rising power demand, government-led irrigation spending, water infrastructure development and climate adaptation themes. Weak monsoon-led corrections in quality businesses can also create selective long-term buying opportunities for disciplined investors. For investors, the real opportunity lies not in fearing weather disruptions, but in understanding how such macro shifts reshape sectoral trends, corporate earnings and long-term investment opportunities. Happy investing!



Cover Story

Q4 Report Card

Strong but Selective

India Inc.'s March-quarter results are not sending a message of weakness. They are sending a message of selectivity. A review of 642 companies that had declared results till May 9, 2026 shows that revenue growth remains healthy across many pockets, but profit conversion is uneven and sector leadership is narrowing. For investors, the next phase may not reward blind index ownership. It may reward companies that can grow revenues, protect margins and allocate capital with discipline



**“The age of easy beta is fading.
The age of evidence is back.”**

The Story Behind the Numbers

In the first week of May 2026, as the March-quarter earnings season moved into its most active phase, Corporate India began to reveal a familiar but important truth: growth is visible, but it is no longer evenly distributed. Top-line momentum remains strong in several sectors, but margin strength is concentrated in fewer businesses. In other words, the market is not weak. It is selective.

This distinction matters. After a year marked by foreign investor selling, geopolitical shocks, crude oil volatility and a volatile domestic market, investors are no longer being paid simply for owning broad domestic-growth themes. The Q4 FY26 result season suggests that the old playbook of buying anything linked to India's growth story now needs refinement. What remains is not a lack of opportunity, but a narrower set of opportunities.

For investors, the message is clear: the next phase of returns may depend less on market direction and more on evidence. Revenue growth must translate into profits. Margins must be defensible. Capital allocation must become visible in cash flows, dividends, debt reduction or reinvestment discipline.

Macro Backdrop: Strong Growth, Narrower Comfort

India's macro picture remains broadly supportive, but the comfort is not unlimited. The economy is estimated to have grown 7.6 per cent in FY26 after the shift to the new GDP series with FY23 as the base year. The latest available quarterly GDP print is for Q3FY26, when real GDP grew 7.8 per cent in the October–December quarter; the March-quarter GDP data is yet to be released.

The stronger headline growth, however, should not hide the pockets of moderation. Industrial production grew 4.1 per cent year-on-year in March 2026, a five-month low, although it still beat the 3.7 per cent economist estimate. Manufacturing growth remained modest, while capital-goods expansion was increasingly linked to a few areas such as infrastructure, renewable energy and power-related investments.

Domestic demand remained the key support. Private final consumption expenditure is estimated to have grown 7.7 per cent in FY26, while gross fixed capital formation rose 7.1 per cent. This shows that India's growth engine is still running, but it is not being powered equally by every sector. The capex narrative remains alive, but its strength is more visible in

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selected industries than across the full industrial economy.

Policy support has also become less open-ended. The Reserve Bank of India has already cut the repo rate by 125 basis points to 5.25 per cent in recent quarters and held it steady in February 2026. Inflation was comfortable at around 3.40 per cent in Q4 FY26, but the risk is forward-looking. If crude oil remains elevated because of West Asia tensions, inflation and the current account deficit can again become important market variables.

That is why the macro backdrop should be read as supportive, not risk-free. India's economy remains one of the stronger large economies, but the equity market must now deal with a more complicated mix of resilient domestic demand, selective capex, volatile crude oil and tighter global trade conditions.

Macro Snapshot

Metric	FY26 / Latest Reading	Why It Matters
Real GDP growth	FY26 estimated at 7.6%; Q3FY26 GDP at 7.8%	Growth remains strong, but March-quarter GDP is yet to be released.
Industrial production	March 2026 IIP at 4.1%	Manufacturing momentum is steady, not broad-based acceleration.
Inflation and policy	CPI around 3.40%; repo rate at 5.25%	Policy support is visible, but crude-oil risk can reduce room for cuts.
Private consumption	PFCE estimated to grow 7.7% in FY26	Domestic demand remains the main support for earnings.
Current account risk	CAD estimated at 0.9% of GDP in FY26	Higher crude can widen the deficit and pressure the rupee.

Source: MOSPI, NSO, RBI and company-result analysis as used in the original draft.

Trade, Crude and Currency: The Risk Premium Returns

India's external position is not yet under stress, but it has become more sensitive to oil prices and global trade disruptions. Services exports and remittances continue to provide a cushion, yet merchandise exports remain exposed to tariffs, shipping costs, slower global demand and regional disruptions.

ICRA has estimated India's current account deficit to widen to around 0.9 per cent of GDP in FY26 from 0.6 per cent in FY25, while RBI data showed CAD at 1.0 per cent of GDP during April–December 2025. The larger risk lies in FY27, where the deficit could move towards 1.7 per cent of GDP if crude oil averages around USD 85 per barrel. With Brent crude recently trading above USD 100 per barrel amid West Asia tensions, the external account has become a key monitorable for equity investors.

The reason is simple: every sustained USD 10 per barrel increase in crude oil prices can widen India's CAD-to-GDP ratio by roughly 30–40 basis points. A higher import bill can pressure the rupee, and a weaker rupee can make imports costlier. For companies, this loop can appear through higher input costs, margin pressure and currency-related volatility.

Earnings Season Verdict: Divergence, Not Broad-Based Resilience

By May 9, 2026, 642 companies had declared their March-quarter results. These companies accounted for a meaningful portion of the market capitalisation of BSE-listed companies, giving a useful early picture of the earnings season.

The headline numbers appear strong. Average year-on-year quarterly sales growth stood at 78.10 per cent. However, the median sales growth was much lower at 14.06 per cent, showing that the average was lifted by a few outliers such as Mahindra Lifespace Developers and Mac Charles (I), which reported triple-digit growth. This is the first warning sign: the market should not mistake outlier-driven averages for broad-based acceleration.

Profit performance was better distributed, but still selective. Average year-on-year quarterly profit growth stood at 5.17 per cent, while median profit growth was much stronger at 25.83 per cent. A total of 510 companies reported positive sales growth, while 119 companies reported a decline. On profitability, 457 companies posted profit growth, while 183 companies reported a fall in profit. The verdict is therefore balanced: earnings are not weak, but they are not universally strong either. The market is rewarding sectors where growth, margins and breadth are aligned. It is becoming less forgiving where revenue growth is not converting into durable profit growth.

Q4FY26 Earnings Snapshot

March 2026 quarter-ending results for Indian listed companies

YoY Quarterly Sales Growth		YoY Quarterly Profit Growth	
Average Growth	78.10%	Average Growth	5.17%
Median Growth	14.06%	Median Growth	25.83%
Companies with + Growth	510	Companies with + Growth	457
Companies with - Growth	119	Companies with - Growth	183



Revenue growth was broad-based, while profit growth remained more selective.

How the Sector Analysis Was Built

To understand where earnings strength is durable, the analysis considers listed companies with market capitalisation of more than ₹50 crore. Only sectors where at least five companies had reported March-quarter results were included, so that the conclusions are not dominated by one or two companies.

Average sales and profit growth are calculated using market cap-weighted averages, which means larger companies carry a higher weight in the sector number. Breadth is measured by the

percentage of companies reporting positive sales or profit growth. The sector score converts key metrics into percentile ranks and assigns weights to growth, profitability, breadth, margins and recent market performance. This helps identify sectors where the strength is both deep and broad.

Sector Map: Where Earnings Strength Is Visible

Electrical Equipment and Renewables continued to reflect India's policy-driven capex cycle. The sector reported market cap-weighted sales growth of around 37 per cent and PAT growth of around 49 per cent. Solar, transmission, power equipment and related companies benefited from order execution and renewable capacity additions. Valuations are not cheap in many pockets, but earnings visibility remains stronger for companies with proven execution.

Q4 FY2026 Sectoral Earnings Performance - Breadth vs. Depth Analysis							
Sector	No. of Companies	+ ve YoY PAT	Avg. YoY Sales	Avg. YoY PAT	Avg. OPM	Avg. NPM	Earnings Quality
Non-Ferrous Metals	5	80.00%	38.88%	80.76%	56.8%	34.4%	Commodity-linked; supported by efficiency gains
Commercial Services	16	93.80%	81.12%	294.55%	25.2%	7.9%	Broad recovery, but high dispersion
Automobiles	7	71.40%	29.59%	34.70%	14.4%	9%	Volume-led; premiumisation support
Electrical Equipment	22	68.20%	36.66%	49.18%	14.7%	10.1%	Renewables and power capex led
Finance	65	79.70%	18.62%	21.42%	60.4%	19%	Credit growth with NIM watch
Fertilizers & Agrochemicals	9	77.80%	25.48%	11.19%	9.1%	2.9%	Revenue growth, thin margins
Consumer Durables	18	70-75% (est.)	13.86%	42.53%	10.9%	6.2%	Premium consumption, margin watch
IT Services	Major 4	68-75% (est.)	+3% to +6% (USD)	+4% to +8% (USD)	20-22%	14-16%	Defensive, but AI and spending risks
Breadth means the percentage of companies with positive year-on-year profit growth. Averages are market-cap weighted.							

Leaders With Breadth and Profit Conversion

Non-Ferrous Metals stood out with one of the strongest sector scores at 80.88. The sector's market cap-weighted sales grew around 39 per cent, while PAT surged around 81 per cent. Hindustan Zinc led the performance with strong sales growth and profit expansion, helped by higher production, operational efficiencies and better by-product realisations.

The opportunity remains linked to domestic capex and the energy transition, although global commodity prices and China-related demand remain risks.

Commercial Services & Supplies delivered a strong quarter, with 86 per cent sales-growth breadth and 94 per cent PAT-growth breadth. The market cap-weighted PAT growth of around 295 per cent looks impressive, but investors should treat it carefully because the sector also has high dispersion and some low-base effects. The stronger message is the recovery in corporate services demand, led by formalisation, outsourcing and office-related activity.

Automobiles remained one of the clearer earnings leaders. The sector recorded 100 per cent sales-growth breadth among the seven major companies analysed, with market cap-weighted sales growth of around 30 per cent and PAT growth of around 35 per cent. Maruti Suzuki, Mahindra & Mahindra, Bajaj Auto and Hero MotoCorp reflected the benefits of rural recovery, premiumisation, better mix and volume growth. Raw material prices and rural demand should still be watched, but the earnings base remains healthy.

Finance remains the largest sector in the analysed result universe, with 65 companies and combined market capitalisation of more than ₹27 lakh crore. Sales growth was around 19 per cent and PAT growth around 21 per cent, with healthy breadth across lending businesses. The sector's strength lies in financialisation, formal credit penetration and asset-quality stability. The risk lies in deposit costs, net interest margin pressure, regulation and moderation in credit growth.

Stable Compounders, But Stock Selection Matters

Banks had the largest profit pool in the analysed universe, with aggregate PAT of around ₹1.07 lakh crore. Top-line growth was modest at 3.93 per cent, but 92.1 per cent of banks reported positive PAT growth. The sector offers stability, but not without pressure. Treasury income, bond yields, deposit costs and NIM compression can influence near-term profit growth, especially for large banks.

Pharmaceuticals & Biotechnology delivered a solid quarter, with aggregate sales growth of 15.8 per cent and median PAT growth of 31.8 per cent. Margins remained healthy, with operating margin at 25.5 per cent and net margin at 13.0 per cent. The opportunity lies in domestic formulations, export recovery and operating leverage, but the sector remains company-specific rather than a blanket sector call.

Healthcare Services showed broad revenue growth, with 100 per cent sales-growth breadth and aggregate sales growth of 16.9 per cent. However, PAT breadth was lower at 66.7 per cent, indicating that profit conversion was not uniform. The long-term case remains supported by rising healthcare penetration,

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hospital expansion, diagnostics and medical outsourcing, but valuations leave little room for execution misses.

Auto Components delivered a strong and broad-based quarter, with aggregate sales growth of 18.2 per cent and 100 per cent sales-growth breadth. Median PAT growth stood at 20.5 per cent, while PAT breadth was 74.1 per cent. The sector benefits from vehicle production, exports, premiumisation and EV content, but investors should prefer companies with technology depth, export diversification and balance-sheet strength.

Construction and Cement remain linked to infrastructure and housing demand. Construction reported 11.2 per cent aggregate sales growth and healthy breadth, while cement reported 10.2 per cent aggregate sales growth and strong margins. In both sectors, order execution, cost inflation, utilisation and working capital discipline will decide whether headline growth translates into shareholder returns.

High Revenue Growth, But Uneven Profit Conversion

Consumer Durables produced strong aggregate revenue growth of 45.3 per cent, with robust sales and PAT breadth. However, aggregate operating margin stood at 8.5 per cent and net margin at 5.5 per cent, showing that revenue strength did not fully translate into high profitability. The sector remains a premium-consumption story, but investors must watch margins and valuation comfort.

Realty reported 37.4 per cent aggregate sales growth and 33.9 per cent QoQ sales growth, supported by premium housing demand and urban consolidation. However, weighted PAT growth was only 4.2 per cent and PAT breadth stood at 63.6 per cent. This makes revenue recognition, project timing and cash-flow quality critical filters.

Retailing delivered powerful sales growth of 44.5 per cent, but profitability remained thin. Aggregate operating margin was only 5.0 per cent and net margin stood at 1.0 per cent. The opportunity lies in organised retail penetration and digital commerce, but the sector also shows the danger of mistaking scale for profitability.

Capital Markets reported 45.4 per cent aggregate sales growth, with strong operating and net margins. However, median PAT growth was only 10.5 per cent and PAT breadth stood at 58.8 per cent. This is a profitable but cyclical earnings pool. Market volumes, AUM growth, IPO activity and risk appetite will decide the durability of the current strength.

IT Services and IT Software remain profitable, but the easy-growth assumptions have weakened. IT Services reported 19.1 per cent aggregate sales growth and 23.6 per cent median PAT growth, but PAT breadth was only 64.3 per cent. IT Software maintained strong margins, with operating margin at 22.7 per cent and net margin at 16.0 per cent. The opportunity lies in specialised engineering, cloud, AI infrastructure and niche digital services. The risk is weak discretionary spending and valuation fatigue if growth remains modest.

Power reported only 6.8 per cent aggregate sales growth, but margins were strong, with operating margin at 34.9 per cent and net margin at 17.9 per cent. The sector benefits from demand growth, renewable transition and operating leverage, but regulatory receivables, fuel costs, merchant tariffs and debt-funded capacity expansion remain key variables.

Patchy Earnings or High Sensitivity Areas

Fertilizers & Agrochemicals delivered strong sales growth of 24.3 per cent and 100 per cent sales-growth breadth. Yet margins remained thin, with operating margin at 8.1 per cent and net margin at 3.7 per cent. Coromandel International's sharp PAT decline, partly due to the write-down of its drone subsidiary, also shows how one large company can influence weighted sector performance.

Chemicals & Petrochemicals are still in repair mode. Aggregate sales grew 10.1 per cent and median PAT growth stood at 29.7 per cent, but weighted PAT growth was negative at 37.8 per cent because of weakness in larger companies and exceptional items, including Tata Chemicals. The sector needs demand recovery, input-cost stability and better pricing power before broad confidence returns.

Quarterly Results Sector Databank + Sector Score

Company / Label	CMP (₹)	M-Cap (₹ Cr.)	P/E (x)	P/B (x)	Sales		
					Mar. 26 (₹ Cr.)	Mar. 25 (₹ Cr.)	Dec. 25 (₹ Cr.)
SECTOR: Non - Ferrous Metals							
Hindustan Zinc	635.10	2,68,350.01	19.60	11.94	13,488.00	9,041.00	10,922.00
Natl. Aluminium	401.95	73,823.41	12.73	3.42	5,012.82	5,267.83	4,730.95
Onix Solar	1,085.45	2,721.24	67.71	3.47	70.30	23.27	16.12
Bhagyanagar Ind	311.45	996.48	19.86	3.87	734.53	453.90	577.32
Manaksia Alumi.	36.79	241.10	31.89	1.69	155.66	137.07	142.63
SUBTOTAL		3,46,132.24	19.86	3.47	19,461.31	14,923.07	16,389.02
Companies Reported: 5		Sector Score (0-100) : 80.88		Breadth % with +ve YoY Sales: 80.0		Breadth % with +ve YoY PAT: 80.0	

Metals & Minerals Trading showed decent sales growth of 20.1 per cent, but the sector reported a negative aggregate net margin of 0.3 per cent and total PAT loss of ₹122 crore. This is an earnings-quality warning. Volume growth and trading activity may look healthy, but profitability remains vulnerable to inventory effects, price movements and concentration in large names.

Industrial Products remain one of the better capex proxies, with aggregate sales growth of 14.8 per cent and median PAT growth of 25.5 per cent. However, the sector is fragmented. Investors should separate companies with genuine order-led scale-up from those benefiting mainly from temporary base effects.

Industrial Manufacturing looked strong at the aggregate level, with 21.2 per cent sales growth, but median sales growth was only 7.6 per cent and median PAT growth was negative at 10.7 per cent. PAT breadth was weak at 42.9 per cent. This points to a patchy recovery where a few large or high-margin companies are masking weakness elsewhere.

Textiles & Apparels reported weak aggregate sales growth of 6.4 per cent and median sales growth of only 2.2 per cent. Median PAT growth was stronger, but aggregate net margin was just 2.4 per cent. This looks more like an earnings rebound from a low base than a high-quality growth cycle.

The New Investment Playbook

The post-pandemic playbook was simple: buy quality, buy domestic growth and buy themes linked to formalisation, infrastructure and consumption. The Q4 FY26 earnings season suggests that this playbook now needs refinement.

FIRST, investors should prioritise sectors where growth is broad and profitable. Autos, auto components, electrical equipment, renewables, pharmaceuticals and select financials meet this test better than most. They are not risk-free, but their earnings support is visible.

SECOND, valuation comfort and earnings momentum must be balanced. Banks offer relative stability and valuation support, while electrical equipment and renewables offer stronger earnings momentum. A portfolio built only on glamorous growth pockets may carry valuation risk; a portfolio built only

on valuation comfort may miss compounding opportunities.

THIRD, investors must be sceptical of top-line stories.

Retailing, realty and parts of consumer durables can report strong revenue growth, but the real question is how much of that growth becomes margin, cash flow and sustainable profit.

FOURTH, IT should be revisited without nostalgia. The sector is not structurally broken, but the old assumptions are no longer enough. Lower valuations alone do not create value unless companies show deal conversion, pricing stability, AI-led adaptation and vertical resilience.

FINALLY, capital allocation deserves a higher weight in investment decisions. Dividends, buybacks, debt reduction, working capital discipline and prudent reinvestment are no longer secondary signals. In a market where capital is selective and valuations are elevated, management behaviour becomes a valuation variable.

The Bigger Message

The Indian market is not offering investors a grand bargain. It is offering a test.

The data says earnings are better than the bears claim. It also says the bulls cannot buy the index blindly and expect the old compounding machine to do all the work. The next phase of returns is likely to come from companies that can pass three tests at once: grow revenues, defend margins and allocate capital intelligently.

That is a narrower market. But it is not a weaker one.

The real story of this earnings season is not that India Inc. has lost momentum. It is that momentum has become more selective, more demanding and more expensive to identify. The age of easy beta is fading. The age of evidence is back.

For serious investors, that is not bad news. That is where the real work begins.

This is only a partial view of the complete quarterly results analysis table. To access the full version, visit our website at dsij.in

Operating Profit Mar. 26 (₹ Cr.)	PAT Mar. 26 (₹ Cr.)	YoY Growth		QoQ Growth		OPM (%)	NPM (%)
		Sales (%)	PAT (%)	Sales (%)	PAT (%)		
7,666.00	4,997.00	49.19	67.91	23.49	29.45	56.84	37.05
2,349.49	1,722.44	-4.84	-16.68	5.96	7.98	46.87	34.36
25.41	25.67	202.11	3910.94	336.10	78.64	36.15	36.51
36.15	18.49	61.83	303.71	27.23	44.00	4.92	2.52
13.43	3.24	13.56	62.00	9.14	96.36	8.63	2.08
10,090.48	6,766.84	49.19	67.91	23.49	44.00	36.15	34.36
Weighted YoY Sales Growth % (by M-Cap): 38.88				Weighted YoY PAT Growth % (by M-Cap): 80.76			

Cover Story

Company / Label	CMP (₹)	M-Cap (₹ Cr.)	P/E (x)	P/B (x)	Sales		
					Mar. 26 (₹ Cr.)	Mar. 25 (₹ Cr.)	Dec. 25 (₹ Cr.)
SECTOR: Commercial Services & Supplies							
Firstsour.Solu.	274.26	19,390.95	25.82	4.42	2,583.45	2,161.46	2,443.08
Smartworks Cowor	459.80	5,253.77	498.93	9.90	519.68	358.43	472.13
Indiabulls	19.93	4,632.49	14.31	1.50	408.53	101.58	96.96
Qess Corp	223.59	3,338.90	14.55	2.86	3,892.45	3,656.42	3,929.71
Alldigi Tech	835.95	1,273.85	14.37	5.08	154.67	146.10	152.68
Kalind	92.74	1,130.41	41.51	5.34	33.11	0.00	15.09
Krystal Integrat	598.40	836.08	12.99	1.68	364.94	413.10	305.86
South West Pinn.	216.09	644.60	20.93	3.18	77.73	73.81	62.66
Tara Chand Infra	60.98	480.67	17.34	3.22	89.55	81.63	68.56
EKI Energy	91.75	254.03		0.67	19.75	17.58	16.77
Trishakti Indus	143.65	236.69	30.90	5.29	9.11	2.20	8.00
Parshva Enterpr.	173.95	177.25	611.21	16.49	6.41	6.86	5.91
Harmony Capital	84.54	102.52	341.73	25.37	0.00	0.00	0.00
Lykis	44.96	87.11	13.46	2.14	145.40	61.44	90.61
Satchmo Holdings	5.88	85.75	5.28	0.78	17.95	0.18	3.21
Growington Vent	0.82	52.66	11.40	0.72	63.36	36.43	24.57
SUBTOTAL		37,977.73	17.34	3.20	8,386.09	7,117.22	7,695.80
Companies Reported: 16	Sector Score (0-100): 79.71		Breadth % with +ve YoY Sales: 85.7		Breadth % with +ve YoY PAT: 93.8		
SECTOR: Automobiles							
Maruti Suzuki	13,726.00	4,31,548.97	29.40	4.03	52,462.50	40,920.10	49,904.10
M & M	3,330.40	4,14,144.84	23.42	4.45	54,981.91	42,599.31	52,099.75
Bajaj Auto	10,711.50	2,99,384.11	27.79	7.71	17,832.46	12,646.32	16,204.45
Hyundai Motor I	1,852.80	1,50,547.62	27.72	7.52	18,916.15	17,940.28	17,973.49
Hero Motocorp	5,322.00	1,06,489.46	18.25	4.93	12,978.28	9,969.81	12,486.82
Ather Energy	915.05	35,016.51		13.61	1,174.66	676.08	953.64
Force Motors	20,877.00	27,508.08	26.04	6.56	2,549.84	2,356.01	2,128.56
SUBTOTAL		14,64,639.59	26.88	6.56	1,60,895.80	1,27,107.91	1,51,750.81
Companies Reported: 7	Sector Score (0-100): 71.47		Breadth % with +ve YoY Sales: 100.0		Breadth % with +ve YoY PAT: 71.4		
SECTOR: Electrical Equipment							
A B B	7,012.50	1,48,600.75	97.55	18.96	3,184.06	3,010.07	3,423.16
B H E L	404.60	1,40,884.28	88.04	5.39	12,310.37	8,993.37	8,473.10
CG Power & Ind	873.55	1,37,578.60	111.89	17.26	3,441.76	2,752.77	3,175.35
Waaree Energies	3,230.10	92,914.26	23.66	6.44	8,480.25	4,003.93	7,565.05
Thermax	4,677.50	55,735.36	82.36	10.04	3,428.04	3,046.40	2,634.68
Emmvee Photovol.	267.80	18,541.00	17.14	5.02	1,738.81	1,071.68	1,152.25
Elecon Engg.Co	557.65	12,513.66	35.04	5.43	745.61	797.57	551.74
Waaree Renewab.	1,028.30	10,729.88	22.41	11.48	1,102.40	476.58	851.06
T R I L	324.60	9,743.38	36.85	6.43	782.67	676.48	736.76
Volt.Transform.	9,535.00	9,646.67	31.59	5.38	617.23	624.81	630.32
Avalon Tech	1,387.00	9,260.47	81.99	12.83	479.89	342.79	417.54
Vikram Solar	214.74	7,780.68	16.40	2.46	1,452.82	1,193.52	1,105.95
Skipper	466.20	5,265.13	24.45	3.57	1,666.58	1,287.75	1,370.59
Websol Energy	114.94	4,990.27	16.41	7.91	401.45	172.99	261.02
Shilchar Tech.	4,315.00	4,936.45	31.21	10.06	151.65	231.86	170.26
Ravindra Energy	138.41	2,472.34	30.66	5.85	133.06	158.99	127.17
Servotech Renew	95.05	2,146.66	59.20	8.03	209.64	126.13	201.64
Indosolar	424.85	1,767.53	7.17	6.16	83.10	192.00	199.53
Jyoti Structures	13.87	1,655.61	29.55	3.49	234.36	164.75	209.48
Neueon Corporation	24.86	1,405.70		6.38	6.17	5.35	1.22
Magnus Steel	183.90	963.54	213.65	284.23	7.14	1.47	6.20
Surana Solar	27.77	136.65	110.20	2.38	13.61	2.52	2.56
SUBTOTAL		6,79,668.87	31.59	6.41	40,670.67	29,333.78	33,266.63
Companies Reported: 22	Sector Score (0-100): 68.38		Breadth % with +ve YoY Sales: 77.3		Breadth % with +ve YoY PAT: 68.2		
SECTOR: Finance							
Bajaj Finance	955.35	5,94,796.54	30.96	5.21	21,605.79	18,294.45	21,013.49
Bajaj Finserv	1,818.30	2,91,028.00	29.29	3.74	38,493.79	36,595.36	39,708.06
Shriram Finance	1,007.75	2,37,106.50	23.65	2.88	12,513.43	11,454.23	12,170.76
Jio Financial	249.34	1,64,642.73	107.08	1.18	1,018.51	493.24	900.90
Cholaman.Inv.&Fn	1,674.10	1,42,687.63	27.27	4.68	8,416.71	7,045.57	7,898.21

Operating Profit Mar. 26 (₹ Cr.)	PAT Mar. 26 (₹ Cr.)	YoY Growth		QoQ Growth		OPM (%)	NPM (%)
		Sales (%)	PAT (%)	Sales (%)	PAT (%)		
430.42	205.24	19.52	27.72	5.75	5.34	16.66	7.94
338.35	16.62	44.99	300.24	10.07	1240.32	65.11	3.20
170.06	260.86	302.18	259.74	321.34	228.66	41.63	63.85
86.37	63.59	6.46	5.02	-0.95	3.60	2.22	1.63
43.66	32.67	5.87	64.17	1.30	37.50	28.23	21.12
18.03	15.00		6718.18	119.42	509.76	54.45	45.30
23.78	18.85	-11.66	11.34	19.32	18.55	6.52	5.17
19.58	11.34	5.31	24.34	24.05	15.83	25.19	14.59
31.11	8.57	9.70	9.03	30.62	64.18	34.74	9.57
-3.13	-8.07	12.34	-29.33	17.77	99.26	-15.85	-40.86
3.39	2.69	314.09	50.28	13.88	9.80	37.21	29.53
0.12	0.07	-6.56	250.00	8.46	16.67	1.87	1.09
-0.05	0.35		284.21		-1850.00		
3.91	1.95	136.65	382.61	60.47	-1.52	2.69	1.34
8.54	10.05	9872.22	241.55	459.19	189.63	47.58	55.99
0.86	0.53	73.92	265.62	157.88	-47.52	1.36	0.84
1,175.00	640.31	15.93	152.86	19.32	17.61	25.19	7.94
Weighted YoY Sales Growth % (by M-Cap): 81.12				Weighted YoY PAT Growth % (by M-Cap): 294.55			
6,158.30	3,659.00	28.21	-6.45	5.13	-5.67	11.74	6.97
10,126.63	4,936.59	29.07	48.85	5.53	0.39	18.42	8.98
3,075.22	3,633.09	41.01	101.63	10.05	29.44	17.25	20.37
1,965.97	1,255.63	5.44	-22.22	5.24	1.72	10.39	6.64
1,869.70	1,460.00	30.18	25.72	3.94	7.61	14.41	11.25
-69.58	-100.23	73.75	57.23	23.18	25.92	-5.92	-8.53
414.34	278.52	8.23	56.59	19.79	9.46	16.25	10.92
23,540.58	15,122.60	29.07	48.85	5.53	7.61	14.41	8.98
Weighted YoY Sales Growth % (by M-Cap): 29.59				Weighted YoY PAT Growth % (by M-Cap): 34.70			
408.40	341.91	5.78	-25.23	-6.98	-18.67	12.83	10.74
1,753.10	1,290.47	36.88	155.82	45.29	230.55	14.24	10.48
466.49	363.54	25.03	33.67	8.39	17.50	13.55	10.56
1,576.75	1,061.10	111.80	70.64	12.10	-16.54	18.59	12.51
374.31	242.48	12.53	17.86	30.11	48.77	10.92	7.07
571.11	392.38	62.25	89.43	50.91	48.83	32.84	22.57
158.02	72.28	-6.51	-50.66	35.14	0.40	21.19	9.69
206.81	155.74	131.31	60.69	29.53	29.55	18.76	14.13
118.48	89.28	15.70	-2.55	6.23	20.89	15.14	11.41
81.37	47.90	-1.21	-50.53	-2.08	-51.66	13.18	7.76
56.87	41.15	40.00	69.48	14.93	26.23	11.85	8.57
234.50	110.42	21.73	21.86	31.36	8.24	16.14	7.60
173.40	75.61	29.42	70.33	21.60	50.71	10.40	4.54
146.31	121.79	132.07	152.31	53.80	78.68	36.45	30.34
31.91	28.39	-34.59	-48.72	-10.93	-32.95	21.04	18.72
33.63	12.62	-16.31	-52.63	4.63	-13.80	25.27	9.48
21.63	11.73	66.21	49.43	3.97	-20.20	10.32	5.60
64.33	42.00	-56.72	4.90	-58.35	1.28	77.41	50.54
17.30	18.14	42.25	52.05	11.88	6.64	7.38	7.74
-193.47	-193.40	15.33	-349.25	405.74	-496.88	-3135.66	-3134.52
1.52	1.52	385.71	590.91	15.16	40.74	21.29	21.29
0.09	0.20	440.08	128.17	431.64	-9.09	0.66	1.47
6,302.86	4,327.25	27.23	41.55	15.05	7.44	14.69	10.09
Weighted YoY Sales Growth % (by M-Cap): 36.66				Weighted YoY PAT Growth % (by M-Cap): 49.18			
15,052.72	5,464.57	18.10	21.99	2.82	31.52	69.67	25.29
14,510.72	2,538.67	5.19	5.05	-3.06	7.47	37.70	6.60
9,409.30	3,021.36	9.25	40.94	2.82	19.44	75.19	24.14
604.62	272.22	106.49	-13.88	13.05	1.20	59.36	26.73
5,819.81	1,645.20	19.46	30.62	6.56	27.54	69.15	19.55

Cover Story

Company / Label	CMP (₹)	M-Cap (₹ Cr.)	P/E (x)	P/B (x)	Sales		
					Mar. 26 (₹ Cr.)	Mar. 25 (₹ Cr.)	Dec. 25 (₹ Cr.)
Bajaj Holdings	10,632.00	1,18,323.53	14.47	1.62	60.54	145.26	287.51
Aditya Birla Cap	362.95	95,112.60	25.01	2.76	13,459.25	12,214.04	11,952.09
REC Ltd	359.40	94,638.07	5.80	1.11	14,563.82	15,333.54	15,051.08
L&T Finance Ltd	303.40	75,992.57	25.31	2.72	4,771.03	4,022.92	4,578.27
Bajaj Housing	87.55	72,949.59	28.38	3.24	2,902.61	2,504.05	2,883.72
SBI Cards	645.40	61,416.61	28.35	3.91	4,934.50	4,673.95	5,127.26
HDB FINANC SER	699.65	58,094.57	22.84	2.81	4,745.40	4,266.10	4,673.50
M & M Fin. Serv.	339.10	47,133.92	15.96	1.77	5,538.73	4,885.63	5,449.84
Piramal Finance.	2,017.60	45,734.49	175.38	1.62	3,424.01	2,853.55	2,917.68
Poonawalla Fin	462.30	40,693.89	75.11	3.63	2,115.49	1,166.27	1,818.42
Tata Inv.Corp.	717.60	36,307.18	83.72	1.24	39.98	16.43	57.92
Chola Financial	1,780.70	33,437.53	13.70	2.16	10,366.20	8,913.37	9,948.79
CRISIL	4,162.30	30,438.91	36.26	10.03	1,057.66	813.18	1,081.57
PNB Housing	1,091.20	28,431.17	12.41	1.48	2,181.53	2,021.85	2,119.02
Manappuram Fin.	316.00	26,747.34	26.66	1.67	2,613.83	2,360.92	2,354.11
CreditAcc. Gram.	1,497.00	23,982.36	30.84	3.06	1,597.27	1,406.63	1,490.41
Aadhar Hsg. Fin.	501.40	21,846.18	19.71	2.90	984.56	832.61	942.71
IIFL Finance	461.30	19,618.61	11.81	1.41	3,692.50	2,591.25	3,427.45
Capri Global	197.97	19,047.76	20.07	2.64	1,384.98	957.32	1,223.39
IFCI	64.45	17,364.86	94.08	1.94	470.43	413.61	455.86
Choice Intl.	688.85	15,345.96	70.50	9.18	306.71	253.00	303.36
Mah. Scooters	12,920.00	14,765.71	47.55	0.53	6.03	6.65	6.44
Aptus Value Hou.	282.80	14,161.00	15.02	2.80	574.34	484.04	553.60
Five-Star Bus.Fi	462.25	13,644.48	12.42	1.85	816.95	752.27	815.07
Home First Finan	1,200.30	12,522.49	23.17	2.87	501.41	414.66	482.24
Edelweiss.Fin.	125.14	11,844.90	19.36	2.56	1,918.10	2,280.12	4,400.43
Can Fin Homes	879.55	11,711.57	10.79	1.96	1,073.65	998.58	1,072.84
AAVAS Financiers	1,443.60	11,445.26	17.48	2.27	714.68	636.21	674.20
SBFC Finance	98.77	10,928.05	24.24	2.93	454.04	360.58	425.57
INDIA SHELTFE FIN	836.30	9,097.70	18.08	2.84	408.23	327.29	389.74
MAS FINANC SER	346.75	6,291.90	16.79	2.12	542.47	439.10	506.75
Fedbank Financi.	147.38	5,516.77	16.06	1.88	616.45	536.23	555.17
Northern Arc	287.30	4,641.96	11.43	1.19	741.66	602.52	721.14
SG Finserve	598.65	3,944.80	30.90	2.68	105.41	54.09	85.84
Aye Finance	150.55	3,715.34	19.19	1.47	528.44	409.14	442.78
Muthoot Microfin	200.52	3,418.71	20.08	1.20	631.81	555.03	602.81
Shipping Land	52.94	2,465.94	85.56	0.82	5.81	4.88	5.65
Spandana Sphoort	286.26	2,297.47		1.16	238.44	374.47	206.99
PTC India Fin	31.12	1,998.79	6.22	0.65	119.08	152.99	121.74
Summit Securitie	1,667.30	1,817.65	17.37	0.21	11.43	9.81	21.64
Ugro Capital	106.32	1,651.03	9.44	0.57	606.57		461.09
PNB Gilts	72.27	1,300.93	7.22	0.76	424.11	418.77	424.67
Purple Finance	72.04	424.49		3.23	17.00	6.25	13.37
NDL Ventures	125.79	423.56	465.45	7.15	0.00	0.00	0.00
Akme Fintrade	9.28	396.02	9.36	0.93	42.60	29.27	39.70
Naperol Invest.	675.70	388.32	36.33	0.42	19.53	16.17	1.02
Muthoot Cap.Serv	224.63	369.46	29.87	0.55	166.60	137.31	155.08
Regency Fincorp	36.40	291.82	21.75	1.82	10.28	7.30	8.63
Dhruva Cap.Serv.	357.00	256.70	99.88	8.32	0.86	0.49	0.67
P. H. Capital	743.55	223.07	68.85	3.88	22.16	33.44	1.55
Kartik Invest.	8,015.85	195.59	38.35	23.26	0.00	0.00	5.85
Tamboli Industri	192.64	191.10	18.64	1.56	22.75	19.80	21.78
Apollo Finvest	369.80	138.03	24.09	1.86	5.79	8.02	4.58
Indus Finance	91.80	85.01	35.27	3.70	5.69	1.02	1.37
Viji Finance	4.53	64.55	32.77	2.76	2.35	0.59	1.59
Gowra Leasing	80.00	61.98	10.67	0.92	3.04	2.15	2.87
Regis Industries	2.37	61.17	80.49	2.27	1.97	0.67	0.66
Bridge Securitie	15.50	60.26	38.88	9.03	0.80	0.00	0.42
Mantra Capital	15.45	55.28		1.81	5.59	1.75	4.84
SUBTOTAL		27,02,345.40	24.17	2.16	1,82,785.48	1,64,088.09	1,81,052.00
Companies Reported: 65	Sector Score (0-100): 66.18		Breadth % with +ve YoY Sales: 86.9		Breadth % with +ve YoY PAT: 79.7		

Operating Profit Mar. 26 (₹ Cr.)	PAT Mar. 26 (₹ Cr.)	YoY Growth		QoQ Growth		OPM (%)	NPM (%)
		Sales (%)	PAT (%)	Sales (%)	PAT (%)		
23.57	2,575.00	-58.32	49.23	-78.94	27.71	38.93	4253.39
4,534.98	1,119.28	10.19	29.46	12.61	12.68	33.69	8.32
13,332.60	3,375.08	-5.02	-21.69	-3.24	-17.01	91.55	23.17
2,881.23	806.63	18.60	26.79	4.21	6.34	60.39	16.91
2,640.27	669.19	15.92	14.06	0.66	-0.86	90.96	23.05
1,309.31	609.30	5.57	14.06	-3.76	9.46	26.53	12.35
2,748.00	750.60	11.24	41.38	1.54	16.57	57.91	15.82
3,552.19	938.02	13.37	105.16	1.63	1.59	64.13	16.94
1,446.30	-820.86	19.99	-901.31	17.35	-304.70	42.24	-23.97
1,205.76	254.79	81.39	308.78	16.34	69.61	57.00	12.04
29.59	63.83	143.34	69.22	-30.97	-15.33	74.01	159.65
5,825.07	687.14	16.30	11.99	4.20	9.81	56.19	6.63
318.57	233.26	30.06	45.93	-2.21	-3.41	30.12	22.05
2,129.49	655.80	7.90	19.15	2.95	26.03	97.61	30.06
1,736.64	403.96	10.71	311.30	11.03	67.58	66.44	15.45
937.43	339.55	13.55	619.23	7.17	34.69	58.69	21.26
744.23	310.92	18.25	26.99	4.44	5.88	75.59	31.58
2,498.73	586.84	42.50	182.57	7.73	26.39	67.67	15.89
899.62	282.82	44.67	59.12	13.21	10.72	64.96	20.42
156.17	14.77	13.74	-93.52	3.20	-224.12	33.20	3.14
115.50	60.31	21.23	16.70	1.10	5.57	37.66	19.66
4.98	4.01	-9.32	-0.25	-6.37	-2.67	82.59	66.50
472.86	260.95	18.66	26.04	3.75	10.48	82.33	45.43
539.51	269.27	8.60	-3.53	0.23	-2.80	66.04	32.96
392.28	149.45	20.92	42.75	3.98	6.60	78.24	29.81
497.85	87.60	-15.88	-16.84	-56.41	-69.95	25.96	4.57
990.49	345.67	7.52	47.77	0.08	30.55	92.25	32.20
516.02	181.67	12.33	18.21	6.00	6.83	72.20	25.42
316.46	122.77	25.92	30.05	6.69	4.01	69.70	27.04
298.28	137.59	24.73	27.24	4.74	10.90	73.07	33.70
372.89	103.12	23.54	25.04	7.05	7.84	68.74	19.01
388.29	100.53	14.96	40.31	11.04	14.36	62.99	16.31
415.91	132.50	23.09	250.90	2.85	31.50	56.08	17.87
99.07	42.27	94.88	77.68	22.80	30.18	93.99	40.10
236.56	85.91	29.16	111.08	19.35	101.67	44.77	16.26
332.09	71.12	13.83	117.73	4.81	13.90	52.56	11.26
-20.31	-0.84	19.06	99.63	2.83	-107.55	-349.57	-14.46
118.17	5.49	-36.33	101.34	15.19	-106.65	49.56	2.30
107.34	45.50	-22.16	-21.78	-2.18	-10.70	90.14	38.21
-25.84	-23.24	16.51	-400.86	-47.18	-236.55	-226.07	-203.32
358.79	51.11			31.55	10.46	59.15	8.43
330.69	13.10	1.28	-82.51	-0.13	-75.37	77.97	3.09
4.52	0.02	172.00	100.51	27.15	100.00	26.59	0.12
-1.06	0.15		7.14		-34.78		
30.00	12.27	45.54	62.52	7.30	18.09	70.42	28.80
11.10	11.22	20.78	14.37	1814.71	-1970.00	56.84	57.45
88.55	6.54	21.33	1.87	7.43	-14.51	53.15	3.93
6.10	3.53	40.82	36.29	19.12	3.82	59.34	34.34
0.45	0.05	75.51	-54.55	28.36	-96.73	52.33	5.81
-2.46	-1.60	-33.73	76.15	1329.68	26.98	-11.10	-7.22
-0.03	0.01		200.00	-100.00	-99.80		
5.89	4.10	14.90	63.35	4.45	40.41	25.89	18.02
2.43	1.07	-27.81	2.88	26.42	-41.53	41.97	18.48
3.45	1.55	457.84	1092.31	315.33	278.05	60.63	27.24
2.12	2.15	298.31	216.18	47.80	128.72	90.21	91.49
2.70	1.94	41.40	26.80	5.92	40.58	88.82	63.82
-0.82	-0.85	194.03	-273.47	198.48	-2225.00	-41.62	-43.15
0.62	0.39		181.25	90.48	18.18	77.50	48.75
-2.11	-4.83	219.43	-20.75	15.50	57.84	-37.75	-86.40
1,07,490.63	30,583.53	18.25	29.76	4.78	9.46	60.39	19.01
Weighted YoY Sales Growth % (by M-Cap): 18.62				Weighted YoY PAT Growth % (by M-Cap): 21.42			

Cover Story

Company / Label	CMP (₹)	M-Cap (₹ Cr.)	P/E (x)	P/B (x)	Sales		
					Mar. 26 (₹ Cr.)	Mar. 25 (₹ Cr.)	Dec. 25 (₹ Cr.)
Coromandel Inter	1,927.60	56,867.02	28.34	4.53	6,003.66	4,988.39	8,779.45
Rallis India	267.95	5,210.79	25.82	2.55	456.00	430.00	623.00
M B Agro Prod.	574.20	5,031.54	33.50	9.15	394.71	296.79	612.39
Krishana Phosch.	702.05	4,251.10	23.60	7.58	755.49	472.88	659.11
NACL Industries	177.41	4,155.71	244.17	6.08	360.95	201.43	318.21
Astec Lifescienc	710.70	1,583.60		4.05	158.62	119.53	124.72
Punjab Chemicals	1,123.20	1,377.04	21.01	3.25	208.56	202.28	246.57
Advance Agrolife	112.78	725.01	20.55	2.34	123.88	89.83	132.64
Khaitan Chemical	59.22	574.37	8.35	1.98	192.97	160.68	265.73
SUBTOTAL		79,776.18	24.71	4.05	8,654.84	6,961.81	11,761.82
Companies Reported: 9		Sector Score (0-100): 66.03		Breadth % with +ve YoY Sales: 100.0		Breadth % with +ve YoY PAT: 77.8	
SECTOR: Consumer Durables							
Titan Company	4,509.00	4,00,302.78	77.76	25.49	26,920.00	14,916.00	25,416.00
Havells India	1,255.20	78,733.28	45.64	8.33	6,705.20	6,543.56	5,587.89
Kalyan Jewellers	424.55	43,844.99	31.81	6.95	10,274.94	6,181.53	10,343.42
Blue Star	1,692.80	34,806.47	62.51	10.14	4,072.06	4,018.96	2,925.31
Kansai Nerolac	220.35	17,818.79	28.06	2.65	1,953.71	1,816.65	1,981.99
Kajaria Ceramics	1,104.10	17,585.25	33.82	5.74	1,373.35	1,221.85	1,168.26
Bluestone Jewel	504.05	7,679.75	517.50	4.26	681.47	461.30	748.65
Cera Sanitary.	5,782.00	7,457.36	35.49	5.06	643.82	577.97	498.97
Stylam Industrie	2,548.00	4,318.37	28.89	5.35	282.95	265.28	270.96
Orient Electric	188.34	4,018.53	39.14	5.29	948.25	861.85	906.45
Greenply Industr	272.85	3,407.95	34.10	3.81	776.25	648.77	673.40
Sirca Paints	423.10	2,402.90	36.94	5.06	134.29	100.92	112.79
IKIO Tech	177.98	1,375.44	36.36	2.28	165.35	112.29	145.59
Exxaro Tiles	6.92	309.61	109.40	1.11	99.90	94.98	71.11
Pil Italica Life	9.20	216.20	48.15	2.58	26.84	26.92	29.81
Archidply Inds.	89.91	178.61	20.11	1.60	179.13	161.81	168.00
Tokyo Plast Intl	86.60	82.27	130.59	1.31	22.88	17.16	17.14
Mishka Exim	40.30	58.23	29.41	2.41	3.42	1.49	8.02
SUBTOTAL		6,24,596.78	36.65	4.66	55,263.81	38,029.29	51,073.76
Companies Reported: 18		Sector Score (0-100): 64.56		Breadth % with +ve YoY Sales: 94.4		Breadth % with +ve YoY PAT: 83.3	
SECTOR: Pharmaceuticals & Biotechnology							
Lupin	2,379.50	1,08,794.52	18.87	4.85	7,474.66	5,667.13	7,167.52
Laurus Labs	1,228.30	66,310.58	74.61	12.51	1,811.57	1,720.30	1,778.29
Biocon	380.40	61,659.33	158.32	1.81	4,516.60	4,417.00	4,173.00
Ajanta Pharma	3,035.00	37,917.96	35.91	8.38	1,421.64	1,170.41	1,374.84
Emcure Pharma	1,643.00	31,149.56	32.94	6.29	2,469.70	2,116.25	2,363.48
Wockhardt	1,606.50	26,104.37	91.89	5.28	965.00	743.00	888.00
Piramal Pharma	179.85	23,906.53		2.93	2,751.77	2,754.07	2,139.87
Acutaas Chemical	2,734.30	22,386.02	62.84	13.54	432.75	308.48	393.18
Granules India	752.95	18,657.87	30.97	3.67	1,470.61	1,197.43	1,387.94
Sanofi Consumer	4,767.70	10,980.31	43.43	28.59	229.20	172.60	251.00
Sanofi India	3,330.60	7,670.37	23.33	10.22	472.30	535.90	419.80
Innova Captab	875.75	5,011.47	35.56	4.59	447.80	314.74	450.29
RPG LifeScience.	2,463.10	4,073.72	36.29	6.73	176.89	143.09	180.03
Advanced Enzyme	357.25	3,998.58	24.92	2.45	203.37	167.18	171.95
Indoco Remedies	227.91	2,103.69		2.24	475.61	390.21	445.36
Amrutanjan Healt	548.55	1,585.89	24.58	4.28	149.77	135.41	141.04
Shukra Pharma.	33.54	1,468.65	66.61	16.35	6.30	13.27	39.13
Jagsonpal Pharma	217.34	1,459.20	32.69	5.27	64.20	58.56	72.95
Bajaj Healthcare	336.55	1,132.92	24.13	2.13	153.06	154.47	161.22
Jenburkt Pharma	1,162.95	513.24	13.64	2.60	44.63	41.05	43.02
Zenotech Lab.	47.05	287.15		3.02	9.89	12.13	12.86
Transchem	185.90	227.54	52.92	2.72	0.00	2.42	0.00
SUBTOTAL		4,37,399.47	35.56	4.72	25,747.32	22,235.10	24,054.77
Companies Reported: 22		Sector Score (0-100): 62.94		Breadth % with +ve YoY Sales: 72.7		Breadth % with +ve YoY PAT: 77.3	
SECTOR: IT - Services							
L&T Technology	3,802.60	40,308.47	31.46	6.23	2,857.90	2,637.80	2,787.20
Tata Technolog.	630.95	25,619.84	41.79	6.53	1,572.22	1,285.65	1,365.73

Operating Profit Mar. 26 (₹ Cr.)	PAT Mar. 26 (₹ Cr.)	YoY Growth		QoQ Growth		OPM (%)	NPM (%)
		Sales (%)	PAT (%)	Sales (%)	PAT (%)		
487.76	175.46	20.35	-42.51	-31.62	-65.32	8.12	2.92
-1.00	-16.76	6.05	48.98	-26.81	-169.83	-0.22	-3.68
41.23	59.76	32.99	319.37	-35.55	88.16	10.45	15.14
89.48	83.08	59.76	152.83	14.62	149.34	11.84	11.00
13.27	-0.86	79.19	98.91	13.43	-91.54	3.68	-0.24
9.16	-7.76	32.70	51.77	27.18	-42.98	5.77	-4.89
27.52	10.98	3.10	15.34	-15.42	-28.47	13.20	5.26
13.38	7.46	37.90	421.68	-6.60	147.84	10.80	6.02
17.64	5.42	20.10	-37.20	-27.38	-73.48	9.14	2.81
698.44	316.78	32.70	51.77	-15.42	-42.98	9.14	2.92
Weighted YoY Sales Growth % (by M-Cap): 25.48				Weighted YoY PAT Growth % (by M-Cap): 11.19			
1,938.00	1,141.03	80.48	31.00	5.92	-36.54	7.20	4.24
729.44	723.06	2.47	39.63	20.00	116.53	10.88	10.78
735.69	409.50	66.22	118.27	-0.66	-7.88	7.16	3.99
326.26	213.80	1.32	10.41	39.20	76.93	8.01	5.25
216.50	124.79	7.54	15.06	-1.43	-18.71	11.08	6.39
263.48	158.74	12.40	117.94	17.56	38.29	19.19	11.56
124.37	32.03	47.73	162.67	-8.97	-53.63	18.25	4.70
97.92	69.38	11.39	-20.02	29.03	98.17	15.21	10.78
55.19	37.90	6.66	30.82	4.43	-17.59	19.51	13.39
77.38	41.31	10.02	32.15	4.61	30.65	8.16	4.36
86.63	41.35	19.65	150.93	15.27	145.55	11.16	5.33
25.74	17.71	33.07	25.07	19.06	17.83	19.17	13.19
25.97	16.49	47.25	804.70	13.57	79.43	15.71	9.97
5.69	0.20	5.18	-94.30	40.49	-68.25	5.70	0.20
2.28	1.08	-0.30	0.93	-9.96	50.00	8.49	4.02
11.87	3.15	10.70	3250.00	6.63	32.35	6.63	1.76
1.73	0.04	33.33	-91.67	33.49	-130.77	7.56	0.17
0.84	0.69	129.53	475.00	-57.36	9.52	24.56	20.18
4,724.98	3,032.25	11.90	31.58	10.10	24.24	10.98	5.29
Weighted YoY Sales Growth % (by M-Cap): 58.37				Weighted YoY PAT Growth % (by M-Cap): 43.28			
2,485.58	1,556.53	31.89	101.49	4.29	3.42	33.25	20.82
512.11	279.14	5.31	19.46	1.87	10.92	28.27	15.41
1,020.30	125.26	2.25	-62.05	8.23	-66.16	22.59	2.77
333.41	266.70	21.47	18.40	3.40	-2.58	23.45	18.76
479.55	236.47	16.70	21.01	4.49	-7.68	19.42	9.57
225.00	146.91	29.88	687.64	8.67	116.68	23.32	15.22
460.51	115.11	-0.08	-25.01	28.60	-199.58	16.74	4.18
183.51	131.76	40.28	110.88	10.06	22.05	42.41	30.45
352.10	189.34	22.81	44.64	5.96	26.05	23.94	12.87
88.80	67.80	32.79	35.60	-8.69	1.95	38.74	29.58
142.80	102.60	-11.87	-14.14	12.51	66.29	30.24	21.72
65.09	38.08	42.28	28.78	-0.55	-9.66	14.54	8.50
32.87	29.08	23.62	33.70	-1.74	1.93	18.58	16.44
63.23	42.87	21.65	61.91	18.27	24.99	31.09	21.08
49.71	-24.66	21.89	38.96	6.79	4.31	10.45	-5.18
25.55	22.05	10.60	45.26	6.19	8.25	17.06	14.72
0.69	-1.73	-52.52	-132.10	-83.90	-108.50	10.95	-27.46
11.16	8.76	9.63	29.97	-11.99	-29.86	17.38	13.64
22.67	13.83	-0.91	19.22	-5.06	-14.10	14.81	9.04
14.25	13.75	8.72	61.01	3.74	131.87	31.93	30.81
0.17	-3.07	-18.47	-347.58	-23.09	-242.79	1.72	-31.04
-1.31	2.09	-100.00	186.30		294.34		
6,567.75	3,358.67	13.65	31.84	4.29	2.69	22.59	14.72
Weighted YoY Sales Growth % (by M-Cap): 18.38				Weighted YoY PAT Growth % (by M-Cap): 71.64			
521.40	346.04	8.34	23.41	2.54	9.01	18.24	12.11
252.14	172.52	22.29	-8.66	15.12	30.65	16.04	10.97

Cover Story

Company / Label	CMP (₹)	M-Cap (₹ Cr.)	P/E (x)	P/B (x)	Sales		
					Mar. 26 (₹ Cr.)	Mar. 25 (₹ Cr.)	Dec. 25 (₹ Cr.)
Cyient	904.70	10,053.87	21.05	1.77	1,926.90	1,909.20	1,848.50
EZE Networks	3,434.50	7,060.13		4.19	95.64	33.48	70.02
eMudhra	519.45	4,301.65	39.91	4.72	193.40	146.88	188.01
R Systems Intl.	309.05	3,661.82	15.86	4.62	574.77	442.47	555.11
Sasken Technol.	1,362.20	2,068.70	35.09	2.42	334.02	148.01	250.13
Aurum Proptech	177.08	1,275.67		2.52	123.85	67.75	112.36
Vakrangee	6.90	747.40	66.49	3.50	56.74	63.18	60.10
Onward Technolog	276.27	628.62	13.47	2.48	137.12	127.29	134.62
Panache Digilife	331.30	530.54	29.54	4.87	94.55	60.02	70.00
Inspirisys Sol.	87.89	348.19	8.19	3.47	141.77	120.34	129.80
Odigma Consultan	28.72	89.77		1.68	13.75	15.19	9.56
SUBTOTAL		1,21,874.98	31.46	3.85	8,896.33	7,471.91	8,386.07
Companies Reported: 14	Sector Score (0-100): 61.32		Breadth % with +ve YoY Sales: 85.7		Breadth % with +ve YoY PAT: 64.3		
SECTOR: Healthcare Services							
Aster DM Health.	742.40	38,465.31	94.24	8.41	1,182.38	1,000.34	1,185.76
Dr Lal Pathlabs	1,649.80	27,656.88	52.43	11.02	702.70	602.60	659.80
Syngene Intl.	458.10	18,458.65	49.13	3.81	1,036.50	1,018.00	917.10
Vijaya Diagnost.	1,278.90	13,159.46	76.08	13.75	219.38	173.24	205.21
Indegene	530.00	12,767.46	30.80	4.07	1,003.40	755.60	942.10
Thyrocare Tech.	486.50	7,743.39	46.22	13.23	223.95	187.16	195.53
Artemis Medicare	265.67	4,205.72	39.78	4.48	273.79	234.80	267.12
Vimta Labs	512.20	2,287.96	29.07	5.01	109.25	94.44	98.63
Fabtech Tech.	162.95	724.33	19.57	1.73	158.52	134.86	62.76
SUBTOTAL		1,25,469.16	46.22	5.01	4,909.87	4,201.04	4,534.01
Companies Reported: 9	Sector Score (0-100): 60.88		Breadth % with +ve YoY Sales: 100.0		Breadth % with +ve YoY PAT: 66.7		
SECTOR: Auto Components							
Bharat Forge	1,989.70	95,125.29	80.64	9.93	4,528.04	3,852.60	4,342.93
Schaeffler India	4,247.90	66,396.24	53.09	10.81	2,506.96	2,110.02	2,643.06
MRF	1,30,425.00	55,315.11	22.36	2.64	8,044.22	7,074.82	8,050.43
Balkrishna Inds	2,262.50	43,738.01	35.18	3.99	2,932.82	2,752.38	2,736.79
Sona BLW Precis.	579.30	36,034.10	52.63	6.17	1,171.58	770.08	1,127.80
Exide Inds.	362.25	30,791.25	35.76	2.21	4,735.13	4,335.42	4,200.59
Motherson Wiring	42.50	28,184.56	45.08	13.04	3,334.62	2,509.52	2,887.07
Craftsman Auto	8,981.50	21,425.89	54.48	6.56	2,226.40	1,749.25	2,057.28
CIE Automotive	474.85	18,014.02	20.82	2.42	2,611.95	2,272.63	2,393.00
Sundram Fasten.	845.45	17,765.30	29.56	4.16	1,693.30	1,530.59	1,541.11
CEAT	3,323.80	13,444.80	17.96	2.66	4,218.89	3,420.62	4,157.05
Ramkrishna Forg.	610.25	11,096.48	137.06	3.37	1,216.78	947.21	1,098.52
SJS Enterprises	2,012.50	6,439.35	37.72	7.42	260.12	200.51	243.53
L G Balakrishnan	1,683.80	5,370.05	16.95	2.49	815.00	669.17	816.56
NRB Bearings	318.00	3,082.14	20.85	3.20	371.98	329.29	327.92
Rane (Madras)	917.30	2,535.15	23.04	3.38	1,047.87	901.34	1,015.15
Rajratan Global	446.20	2,265.40	32.31	3.48	314.29	251.42	301.53
GNA Axles	405.55	1,741.06	14.89	1.73	410.94	377.50	375.33
Bharat Seats	203.97	1,280.93	29.62	5.58	574.28	392.91	491.01
India Motor Part	1,022.10	1,275.58	13.21	0.55	210.72	188.85	230.99
Auto.Corp.of Goa	2,056.15	1,251.91	17.31	4.06	270.64	216.86	200.23
Automotive Stamp	549.15	870.95	30.28	24.09	255.55	188.07	250.13
Hind.Composites	462.25	682.70	20.67	0.60	104.84	89.15	94.51
RNIT AI Solution	71.88	609.49	50.71	4.38	17.62	12.42	13.91
Omax Autos	235.35	503.41	13.07	1.45	174.41	114.20	122.17
SNL Bearings	374.50	135.19	12.46	1.78	15.22	13.81	14.26
Hindustan Hardy	810.00	121.50	14.50	3.24	29.62	25.10	27.10
SUBTOTAL		4,65,495.86	29.56	3.38	44,093.79	37,295.74	41,759.96
Companies Reported: 27	Sector Score (0-100): 60.88		Breadth % with +ve YoY Sales: 100.0		Breadth % with +ve YoY PAT: 74.1		
SECTOR: Capital Markets							
ICICI AMC	3,233.10	1,59,798.72	48.45	38.31	1,517.01	1,269.19	1,514.67
BSE	3,907.40	1,59,148.04	64.04	23.85	1,563.51	846.64	1,244.10
Billionbrains	204.59	1,28,351.51	61.62	13.30	1,505.37	801.01	1,216.07
HDFC AMC	2,854.00	1,22,284.85	42.77	13.24	1,050.48	901.22	1,074.25

Operating Profit Mar. 26 (₹ Cr.)	PAT Mar. 26 (₹ Cr.)	YoY Growth		QoQ Growth		OPM (%)	NPM (%)
		Sales (%)	PAT (%)	Sales (%)	PAT (%)		
222.00	68.85	0.93	-59.60	4.24	-41.27	11.52	3.57
58.10	6.44	185.66	-52.68	36.59	-212.98	60.75	6.73
42.01	28.96	31.67	21.22	2.87	1.01	21.72	14.97
100.58	65.41	29.90	69.50	3.54	20.44	17.50	11.38
33.17	26.99	125.67	144.70	33.54	121.59	9.93	8.08
28.44	3.60	82.80	151.57	10.23	1.69	22.96	2.91
4.77	2.10	-10.19	-17.32	-5.59	-34.17	8.41	3.70
15.31	9.55	7.72	-8.26	1.86	-22.73	11.17	6.96
14.18	11.05	57.53	402.27	35.07	148.87	15.00	11.69
10.96	8.77	17.81	23.87	9.22	-57.16	7.73	6.19
0.06	0.13	-9.48	44.44	43.83	-110.40	0.44	0.95
1,399.69	821.00	26.10	23.64	6.73	-1.35	13.74	7.52
Weighted YoY Sales Growth % (by M-Cap): 41.45				Weighted YoY PAT Growth % (by M-Cap): 20.10			
224.05	139.93	18.20	41.97	-0.29	121.30	18.95	11.83
186.80	131.30	16.61	-15.18	6.50	18.47	26.58	18.69
303.40	152.43	1.82	-16.84	13.02	111.12	29.27	14.71
95.52	47.93	26.63	34.56	6.91	11.00	43.54	21.85
163.60	95.09	32.80	-19.14	6.51	-7.59	16.30	9.48
75.09	47.12	19.66	117.14	14.53	40.91	33.53	21.04
50.29	29.55	16.61	27.37	2.50	18.91	18.37	10.79
39.37	21.11	15.68	15.23	10.77	12.71	36.04	19.32
22.21	22.06	17.54	46.19	152.58	-488.38	14.01	13.92
1,160.33	686.52	17.54	27.37	6.91	18.47	26.58	14.71
Weighted YoY Sales Growth % (by M-Cap): 17.80				Weighted YoY PAT Growth % (by M-Cap): 17.41			
777.39	291.13	17.53	2.05	4.26	-2.79	17.17	6.43
468.29	319.71	18.81	20.46	-5.15	-2.52	18.68	12.75
1,304.75	691.71	13.70	35.50	-0.08	-8.01	16.22	8.60
639.96	299.46	6.56	-18.75	7.16	-21.64	21.82	10.21
285.07	207.34	52.14	34.83	3.88	13.59	24.33	17.70
488.21	215.25	9.22	15.19	12.73	7.22	10.31	4.55
274.06	167.30	32.88	1.44	15.50	11.95	8.22	5.02
358.53	116.78	27.28	56.46	8.22	6.28	16.10	5.25
401.94	248.06	14.93	20.42	9.15	23.54	15.39	9.50
256.12	161.40	10.63	29.71	9.88	15.06	15.13	9.53
592.73	250.85	23.34	98.61	1.49	28.13	14.05	5.95
202.99	56.19	28.46	-71.88	10.77	162.69	16.68	4.62
74.68	48.49	29.73	45.14	6.81	8.70	28.71	18.64
115.51	69.03	21.79	-6.89	-0.19	-26.52	14.17	8.47
66.99	41.41	12.96	-4.74	13.44	27.81	18.01	11.13
95.57	36.96	16.26	522.22	3.22	18.69	9.12	3.53
28.60	15.43	25.01	1.51	4.23	-25.42	9.10	4.91
57.32	30.82	8.86	21.10	9.49	-3.54	13.95	7.50
29.67	13.25	46.16	16.33	16.96	21.56	5.17	2.31
17.14	33.46	11.58	28.15	-8.78	94.76	8.13	15.88
24.87	21.32	24.80	26.60	35.16	60.30	9.19	7.88
18.20	13.28	35.88	168.83	2.17	55.32	7.12	5.20
16.33	11.70	17.60	-23.03	10.93	43.38	15.58	11.16
7.08	4.35	41.87	27.19	26.67	20.83	40.18	24.69
21.73	17.34	52.72	2942.11	42.76	41.90	12.46	9.94
3.85	2.57	10.21	-8.21	6.73	-3.02	25.30	16.89
2.71	1.88	18.01	-28.79	9.30	18.99	9.15	6.35
6,630.29	3,386.47	18.81	20.46	8.22	15.06	15.13	8.47
Weighted YoY Sales Growth % (by M-Cap): 20.17				Weighted YoY PAT Growth % (by M-Cap): 22.37			
1,160.07	763.42	19.53	10.37	0.15	-16.76	76.47	50.32
1,040.64	797.33	84.67	61.47	25.67	32.49	66.56	51.00
937.98	686.35	87.93	122.06	23.79	25.49	62.31	45.59
845.73	623.29	16.56	-2.42	-2.21	-19.06	80.51	59.33

Cover Story

Company / Label	CMP (₹)	M-Cap (₹ Cr.)	P/E (x)	P/B (x)	Sales		
					Mar. 26 (₹ Cr.)	Mar. 25 (₹ Cr.)	Dec. 25 (₹ Cr.)
Nippon Life Ind.	1,103.40	70,409.72	46.04	15.11	738.73	566.54	705.28
Motil.Oswal.Fin.	882.00	53,084.06	28.40	4.12	2,676.20	1,190.26	2,111.66
360 ONE	1,118.50	45,444.12	37.37	4.62	1,115.47	820.77	1,181.48
Aditya AMC	1,072.40	31,002.69	31.73	7.66	458.23	428.84	478.08
Anand Rathi Wea.	3,608.80	29,960.49	76.54	29.23	277.24	213.29	279.43
Angel One	326.00	29,694.01	32.45	4.85	1,459.42	1,056.01	1,334.90
C D S L	1,259.30	26,319.37	57.70	13.43	262.85	224.45	304.36
Cams Services	836.30	20,738.94	43.57	15.70	395.22	356.17	390.14
N S D L	875.15	17,503.00	46.09	7.39	458.26	363.67	359.63
KFin Technolog.	916.30	15,810.49	44.82	9.45	347.33	282.70	370.87
UTI AMC	975.65	12,539.14	26.71	2.78	390.28	375.91	517.13
Indian Energy Ex	134.12	11,959.38	25.25	9.15	172.25	141.26	143.90
Prudent Corp.	2,829.10	11,714.36	52.76	13.27	360.59	283.03	343.19
IIFL Capital	356.30	11,096.42	19.77	3.62	644.30	537.14	586.28
Canara Robeco	249.20	4,969.48	24.38	6.66	103.63	100.80	121.32
Anand Rathi Shar	590.55	3,722.02	28.24	2.74	255.29	199.06	248.10
Indo Thai Sec.	297.05	3,253.35	49.17	5.73	38.34	5.85	27.71
Geojit Fin. Ser.	71.43	1,993.77	23.04	1.66	188.01	176.70	160.11
Spaisa Capital	335.05	1,570.79	35.55	2.42	85.42	71.27	79.28
SMC Global Sec.	65.49	1,371.36	13.44	1.05	516.94	421.47	494.78
Systematix Corp.	67.90	927.09	65.38	2.95	23.50	29.63	33.60
Gretex Corporate	377.95	885.89	46.95	3.59	34.82	59.87	42.16
Adit.Birla Money	145.87	824.30	13.56	2.75	129.80	99.46	119.58
LKP Securities	21.15	174.10	16.92	1.71	27.79	22.35	24.62
Indbank Merchant	34.58	153.47	21.89	1.55	5.89	5.31	6.25
Swastika Investm	70.59	141.88	10.89	1.05	27.30	27.48	28.08
Steel City Sec.	81.99	123.86	8.67	0.90	16.57	13.76	15.28
Inventure Grow.	1.02	107.10	30.69	0.39	10.61	17.59	13.03
DB Intl.Stock	27.79	97.27	31.28	1.28	6.08	7.78	6.61
SUBTOTAL		10,56,166.41	34.00	4.74	17,751.67	12,207.81	16,241.55
Companies Reported: 34	Sector Score (0-100): 59.85		Breadth % with +ve YoY Sales: 85.3		Breadth % with +ve YoY PAT: 58.8		
SECTOR: Construction							
Larsen & Toubro	3,974.50	5,46,759.31	31.86	5.00	82,762.16	74,392.28	71,449.70
Cemindia Project	956.15	16,425.47	27.48	6.85	2,973.49	2,532.34	2,315.48
Central Mine Pla	219.33	15,660.16	25.54	6.86	826.88	740.33	528.53
Ceigall India	376.80	6,564.04	21.05	3.07	1,386.51	1,011.61	991.14
Sterling & Wils.	217.26	5,073.71	19.48	7.81	1,945.61	2,519.11	2,092.21
PSP Projects	833.15	3,302.76	59.49	2.61	1,115.24	672.89	812.79
SUBTOTAL		5,93,785.45	26.51	5.93	91,009.89	81,868.56	78,189.85
Companies Reported: 6	Sector Score (0-100): 55.29		Breadth % with +ve YoY Sales: 83.3		Breadth % with +ve YoY PAT: 83.3		
SECTOR: Realty							
Lodha Developers	962.10	96,113.69	28.04	4.13	4,713.50	4,224.30	4,672.50
Phoenix Mills	1,829.30	65,423.17	52.71	5.95	1,233.20	1,016.34	1,121.19
Oberoi Realty	1,703.00	61,921.46	24.52	3.46	1,749.83	1,150.14	1,492.64
Godrej Propert.	1,873.60	56,434.28	30.23	2.95	3,458.13	2,121.73	498.36
Embassy Off.REIT	421.52	39,955.62	139.86	1.92	1,204.68	1,085.82	1,193.48
Mindspace Busine	464.91	36,945.32	54.59	2.00	889.95	681.08	814.12
Brigade Enterpr.	758.25	18,548.45	28.52	2.72	1,457.60	1,460.39	1,575.11
A B Real Estate	1,485.80	16,595.74		4.48	82.61	394.76	81.17
Sobha	1,425.40	15,242.20	78.81	3.23	1,987.84	1,240.62	943.11
Mahindra Life.	334.70	7,140.58	26.11	1.97	669.62	9.24	459.16
Sunteck Realty	345.00	5,066.05	24.79	1.40	339.04	206.05	344.12
Raymond Realty	629.60	4,191.48	13.76	2.67	1,156.74	117.05	757.55
Raymond	515.70	3,433.21	12.60	1.21	602.91	557.46	557.21
National Standar	1,376.40	2,752.80	284.97	9.76	0.00	2.81	3.17
Elpro Internatio	143.96	2,439.82	27.93	1.20	185.44	69.88	189.45
C C C L	15.90	710.35		2.55	103.20	44.96	74.14
Nila Spaces	15.49	610.13	21.38	3.57	49.80	39.76	52.20
PropshareTitania	10,90,000.00	486.36		1.14	11.71	0.00	11.27
Nila Infrastruct	9.03	355.68	15.27	1.90	81.04	113.42	75.03

Operating Profit Mar. 26 (₹ Cr.)	PAT Mar. 26 (₹ Cr.)	YoY Growth		QoQ Growth		OPM (%)	NPM (%)
		Sales (%)	PAT (%)	Sales (%)	PAT (%)		
507.12	384.72	30.39	28.84	4.74	-4.75	68.65	52.08
204.87	-221.28	124.84	-241.64	26.73	-139.10	7.66	-8.27
663.25	288.74	35.91	15.68	-5.59	-11.78	59.46	25.89
266.42	187.11	6.85	-17.96	-4.15	-31.12	58.14	40.83
83.10	102.23	29.98	41.14	-0.78	2.42	29.97	36.87
598.58	320.24	38.20	83.50	9.33	19.20	41.01	21.94
115.55	80.22	17.11	-20.03	-13.64	-39.83	43.96	30.52
182.71	126.43	10.96	10.88	1.30	0.71	46.23	31.99
102.65	90.11	26.01	8.18	27.43	0.56	22.40	19.66
128.06	84.11	22.86	-1.11	-6.35	-13.95	36.87	24.22
-12.11	-66.80	3.82	-176.38	-24.53	-134.46	-3.10	-17.12
147.58	123.96	21.94	10.69	19.70	7.71	85.68	71.97
93.01	59.11	27.40	14.24	5.07	2.57	25.79	16.39
223.69	114.74	19.95	-10.32	9.90	-38.60	34.72	17.81
60.46	41.36	2.81	-0.89	-14.58	-21.59	58.34	39.91
110.68	41.99	28.25	125.15	2.90	10.88	43.35	16.45
32.74	26.18	555.38	1114.73	38.36	54.00	85.39	68.28
36.55	17.56	6.40	-43.59	17.43	-2.71	19.44	9.34
25.70	10.86	19.85	7.85	7.74	-11.71	30.09	12.71
89.71	21.08	22.65	465.15	4.48	-30.98	17.35	4.08
-9.53	-11.50	-20.69	-448.48	-30.06	-2117.54	-40.55	-48.94
9.71	4.86	-41.84	128.42	-17.41	201.86	27.89	13.96
65.08	18.73	30.50	100.75	8.55	12.63	50.14	14.43
5.99	2.26	24.34	-15.99	12.88	135.42	21.55	8.13
1.83	1.10	10.92	-3.51	-5.76	-42.71	31.07	18.68
7.30	2.89	-0.66	970.37	-2.78	-21.68	26.74	10.59
3.60	3.36	20.42	14.68	8.44	-9.68	21.73	20.28
-7.77	-5.96	-39.68	-163.72	-18.57	-293.51	-73.23	-56.17
1.18	0.23	-21.85	-82.84	-8.02	-74.16	19.41	3.78
8,386.82	5,248.80	21.18	10.53	3.69	-10.69	35.79	19.97
Weighted YoY Sales Growth % (by M-Cap): 59.72				Weighted YoY PAT Growth % (by M-Cap): 42.81			
10,419.02	5,281.69	11.25	2.11	15.83	23.15	12.59	6.38
357.73	242.17	17.42	113.63	28.42	118.39	12.03	8.14
237.99	187.82	11.69	-32.19	56.45	8.77	28.78	22.71
223.55	126.61	37.06	70.86	39.89	70.84	16.12	9.13
145.76	134.57	-22.77	142.99	-7.01	513.35	7.49	6.92
59.80	21.09	65.74	226.47	37.21	18.28	5.36	1.89
11,443.85	5,993.95	14.56	92.25	32.81	47.00	12.31	7.53
Weighted YoY Sales Growth % (by M-Cap): 11.73				Weighted YoY PAT Growth % (by M-Cap): 7.50			
1,412.60	1,007.90	11.58	9.35	0.88	5.33	29.97	21.38
749.61	405.95	21.34	50.04	9.99	40.02	60.79	32.92
949.25	703.28	52.14	62.36	17.23	9.83	54.25	40.19
522.24	651.39	62.99	70.53	593.90	208.42	15.10	18.84
902.75	-430.02	10.95	-77.05	0.94	-273.45	74.94	-35.70
683.41	198.56	30.67	127.77	9.31	10.25	76.79	22.31
364.72	143.61	-0.19	-41.82	-7.46	-27.90	25.02	9.85
-165.56	-102.21	-79.07	-509.00	1.77	24.78	-200.41	-123.73
152.07	91.84	60.23	124.77	110.77	495.20	7.65	4.62
-43.89	90.11	7146.97	5.91	45.84	3.40	-6.55	13.46
96.62	63.75	64.54	26.51	-1.48	9.50	28.50	18.80
234.28	161.12	888.24	6613.33	52.69	141.23	20.25	13.93
74.31	2.63	8.15	-89.28	8.20	-63.57	12.33	0.44
-2.99	1.16	-100.00	-67.78	-100.00	-64.31		
-70.84	-91.97	165.37	-1347.90	-2.12	-198.05	-38.20	-49.60
-8.28	1.07	129.54	167.72	39.20	-69.60	-8.02	1.04
17.41	9.20	25.25	94.92	-4.60	14.43	34.96	18.47
8.46	-11.91		-59450.00	3.90	-268.22	72.25	-101.71
8.47	5.85	-28.55	9.14	8.01	25.81	10.45	7.22

Cover Story

Company / Label	CMP (₹)	M-Cap (₹ Cr.)	P/E (x)	P/B (x)	Sales		
					Mar. 26 (₹ Cr.)	Mar. 25 (₹ Cr.)	Dec. 25 (₹ Cr.)
Skyline Millars	17.04	68.54		2.92	0.00	2.13	0.68
Grovvy India	42.18	56.25	19.40	2.44	6.99	3.40	3.00
SUBTOTAL		4,34,574.71	27.02	2.61	19,983.97	14,545.69	14,921.65
Companies Reported: 22		Sector Score (0-100): 54.41		Breadth % with +ve YoY Sales: 71.4		Breadth % with +ve YoY PAT: 63.6	
SECTOR: Industrial Products							
Polycab India	9,083.00	1,36,753.51	51.18	11.39	8,864.48	6,985.80	7,636.13
APL Apollo Tubes	1,948.60	54,104.52	44.97	10.22	6,269.16	5,508.60	5,982.38
KEI Industries	5,099.60	48,752.48	53.08	7.31	3,476.40	2,914.79	2,954.70
Supreme Inds.	3,654.90	46,427.05	48.67	7.53	3,527.66	3,027.07	2,686.94
R R Kabel	1,942.40	21,969.61	43.38	8.53	2,964.14	2,217.84	2,535.86
Gallantt Ispat L	869.25	20,973.35	43.31	6.32	1,204.81	1,072.15	1,073.58
Grindwell Norton	1,684.80	18,654.11	44.88	7.36	842.21	709.51	752.79
Jindal Saw	243.96	15,601.44	16.03	1.24	4,633.48	5,046.59	4,943.41
KSB	877.35	15,269.33	55.48	9.10	601.30	595.40	784.00
Usha Martin	472.85	14,409.72	28.60	4.36	979.26	896.08	917.05
Garware Hi Tech	5,290.30	12,290.63	36.34	4.63	596.69	547.94	458.74
HEG	597.70	11,534.27	34.13	2.42	603.21	536.58	655.67
Jayaswal Neco	114.69	11,136.38	23.65	3.92	1,974.24	1,675.27	1,727.23
Vesuvius India	506.10	10,271.85	39.41	6.17	499.85	482.22	550.77
Kirl.Pneumatic	1,560.20	10,134.78	37.68	8.10	705.70	582.60	403.50
Shakti Pumps	550.05	6,787.51	26.35	3.98	857.77	665.32	550.99
Aeroflex	439.35	5,813.95	104.70	13.00	125.84	91.69	120.89
Bansal Wire Inds	319.10	4,995.70	30.60	3.49	1,136.36	940.20	1,029.02
Swaraj Engines	3,999.20	4,858.97	24.44	9.94	545.79	454.16	473.20
AGI Greenpac	629.20	4,070.76	11.43	1.69	742.39	704.83	633.69
Greaves Cotton	171.36	3,991.86	34.75	2.79	1,000.26	822.83	875.47
Harsha Engg Intl	426.10	3,879.39	25.00	2.77	473.91	372.97	409.25
Kalyani Steels	862.50	3,765.08	14.42	1.79	484.39	544.33	462.38
Raghav Product.	794.60	3,648.96	66.59	14.92	70.56	50.65	64.49
Welspun Special.	43.93	2,910.85	128.40	6.38	219.75	200.15	226.05
Apcotex Industri	520.65	2,699.31	26.81	4.35	397.58	349.40	331.46
Vardhman Special	275.00	2,658.86	21.79	2.08	457.92	428.04	430.54
Apollo Pipes	497.00	2,189.20	292.28	2.67	347.02	314.78	247.18
Rhetan TMT Ltd	26.80	2,135.63	207.34	19.66	8.49	6.49	6.15
Ador Welding	1,078.00	1,876.02	21.16	3.33	317.96	307.99	286.95
Wendt India	7,585.50	1,517.10	104.27	5.98	66.78	75.60	60.79
MIC Electronics	55.07	1,327.25		6.14	50.79	44.85	90.23
BMW Industries	55.50	1,249.23	15.40	1.56	209.50	157.14	162.16
Manaksia Coated	105.01	1,111.36	27.31	3.18	227.46	207.89	186.90
Sejal Glass	819.65	934.40	32.51	6.17	114.55	67.59	100.81
Foseco Crucible (India)	1,405.00	786.80	26.72	5.61	37.35	42.32	46.09
Kanpur Plastipa.	216.19	519.13	13.59	1.96	178.72	168.01	191.70
Kriti Industries	86.49	455.77	129.11	2.09	141.78	137.51	135.79
Suraj	245.07	450.05	60.25	3.27	43.43	58.75	61.88
Kisan Mouldings	36.24	432.93		2.23	80.56	83.30	60.57
DE Nora India	757.85	402.42	44.42	3.11	21.97	20.13	35.84
JTL Defence	311.30	327.68	1213.63	1.67	15.24	0.15	0.47
Aeroflex Neu	90.98	234.69	135.03	2.23	34.06	33.89	30.88
Panasonic Carbon	486.40	233.47	10.99	1.24	10.18	12.69	11.56
Mitsu Chem Plast	170.10	230.96	14.70	2.05	86.47	90.47	86.00
Apt Packaging	136.45	161.19	100.12	9.70	6.62	4.43	4.97
Galaxy Bearings	488.00	155.18	46.88	1.41	20.83	29.95	14.70
Sampann Utpadan	28.00	136.67	20.16	2.99	38.75	32.38	36.37
Shetron	111.95	100.76	25.19	1.63	61.34	54.53	55.69
Guj. Containers	166.00	93.79	12.73	1.63	36.90	36.42	37.02
Nilachal Refract	45.20	92.03			0.49	0.36	0.45
TPI India	17.18	73.81	29.64		9.85	8.09	8.39
Jumbo Bag	62.04	51.93	7.13	1.09	26.96	31.64	28.53
SUBTOTAL		5,15,643.68	34.44	3.49	46,449.16	40,450.36	41,658.25
Companies Reported: 53		Sector Score (0-100): 52.65		Breadth % with +ve YoY Sales: 81.1		Breadth % with +ve YoY PAT: 69.8	

Operating Profit Mar. 26 (₹ Cr.)	PAT Mar. 26 (₹ Cr.)	YoY Growth		QoQ Growth		OPM (%)	NPM (%)
		Sales (%)	PAT (%)	Sales (%)	PAT (%)		
-0.53	-0.46	-100.00	-270.37	-100.00	1433.33		
0.62	0.89	105.59	345.00	133.00	64.81	8.87	12.73
5,884.31	2,903.19	25.25	17.93	5.96	10.04	17.68	13.09
Weighted YoY Sales Growth % (by M-Cap): 151.57				Weighted YoY PAT Growth % (by M-Cap): 4.21			
1,161.30	772.77	26.89	6.34	16.09	24.30	13.10	8.72
511.03	354.35	13.81	20.89	4.79	14.29	8.15	5.65
381.59	284.31	19.27	25.50	17.66	21.06	10.98	8.18
623.13	433.57	16.54	47.50	31.29	182.70	17.66	12.29
261.66	167.95	33.65	30.06	16.89	26.84	8.83	5.67
184.39	122.83	12.37	5.61	12.22	22.33	15.30	10.19
164.18	118.74	18.70	28.31	11.88	24.77	19.49	14.10
477.72	139.43	-8.19	-52.13	-6.27	-45.96	10.31	3.01
50.80	39.80	0.99	-22.87	-23.30	-59.20	8.45	6.62
211.53	157.54	9.28	56.00	6.78	33.54	21.60	16.09
135.44	108.21	8.90	39.09	30.07	94.03	22.70	18.14
-148.29	-118.80	12.42	-72.60	-8.00	-157.32	-24.58	-19.69
375.60	190.87	17.85	87.79	14.30	133.88	19.03	9.67
83.59	55.85	3.66	-5.83	-9.25	-30.39	16.72	11.17
185.90	140.70	21.13	68.58	74.89	154.89	26.34	19.94
83.15	38.33	28.93	-65.23	55.68	20.91	9.69	4.47
30.03	17.64	37.25	57.08	4.09	6.97	23.86	14.02
76.45	41.23	20.86	24.52	10.43	-7.26	6.73	3.63
75.01	54.56	20.18	20.12	15.34	22.41	13.74	10.00
153.12	115.60	5.33	19.66	17.15	50.66	20.63	15.57
68.17	22.63	21.56	-5.90	14.25	-7.59	6.82	2.26
73.41	47.23	27.06	200.64	15.80	40.57	15.49	9.97
98.99	71.91	-11.01	-9.30	4.76	8.48	20.44	14.85
21.24	15.16	39.31	49.65	9.41	7.37	30.10	21.49
11.16	4.26	9.79	19.66	-2.79	-55.21	5.08	1.94
54.67	34.74	13.79	107.28	19.95	33.21	13.75	8.74
46.08	33.98	6.98	72.23	6.36	1.16	10.06	7.42
18.04	0.99	10.24	-89.88	40.39	-130.37	5.20	0.29
2.54	2.22	30.82	362.50	38.05	-50.11	29.92	26.15
47.27	35.32	3.24	53.77	10.81	12.31	14.87	11.11
10.76	5.09	-11.67	-60.51	9.85	70.81	16.11	7.62
13.35	-18.35	13.24	-614.01	-43.71	-1076.06	26.28	-36.13
57.66	33.16	33.32	88.20	29.19	88.30	27.52	15.83
14.35	5.37	9.41	6.76	21.70	-26.94	6.31	2.36
18.18	11.33	69.48	198.94	13.63	126.15	15.87	9.89
9.72	12.18	-11.74	322.92	-18.96	66.39	26.02	32.61
20.67	14.53	6.37	21.90	-6.77	58.11	11.57	8.13
18.33	7.79	3.11	312.84	4.41	2586.21	12.93	5.49
1.13	2.52	-26.08	142.57	-29.82	82.61	2.60	5.80
-1.20	-3.31	-3.29	-762.00	33.00	-8.31	-1.49	-4.11
-2.27	-0.64	9.14	-119.16	-38.70	-124.90	-10.33	-2.91
3.69	1.70	10060.00	182.93	3142.55	-5766.67	24.21	11.15
0.06	-1.66	0.50	-361.11	10.30	-321.33	0.18	-4.87
3.22	4.56	-19.78	-6.56	-11.94	2.47	31.63	44.79
14.23	7.72	-4.42	118.08	0.55	60.83	16.46	8.93
1.10	0.70	49.44	1650.00	33.20	52.17	16.62	10.57
4.41	1.08	-30.45	-73.91	41.70	-39.66	21.17	5.18
3.41	1.20	19.67	-37.50	6.54	-36.84	8.80	3.10
5.37	0.96	12.49	284.00	10.15	159.46	8.75	1.57
3.79	2.34	1.32	40.96	-0.32	16.42	10.27	6.34
-0.53	-0.36	36.11	98.19	8.89	-89.80	-108.16	-73.47
2.12	1.87	21.76	648.00	17.40	266.67	21.52	18.98
3.37	1.22	-14.79	7.02	-5.50	-30.68	12.50	4.53
5,723.82	3,594.92	12.42	25.50	10.43	16.42	13.75	8.18
Weighted YoY Sales Growth % (by M-Cap): 24.66				Weighted YoY PAT Growth % (by M-Cap): 18.99			

The Power Shift: Why India's Utility Giants Are Back in Focus

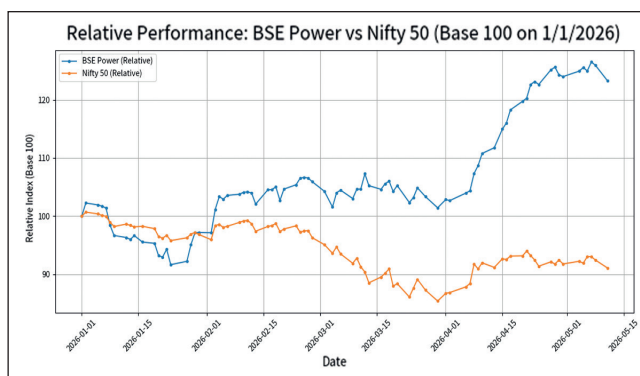
India's power sector is quietly emerging as one of the strongest themes in a volatile market. Backed by rising demand, healthier discoms, massive transmission capex, renewable integration and storage-led opportunities, the sector is moving beyond its old image of a defensive utility space. As India prepares to expand installed capacity sharply over the next decade, power companies are becoming central to the country's infrastructure and energy transition story



The broader equity markets have recently felt like a gauntlet of volatility, yet one sector has remained remarkably resilient: power. While traditional 'growth' sectors have struggled, utility stalwarts and power infrastructure firms have posted returns that suggest a fundamental structural shift.

The BSE Power index has delivered a strong 23.3 per cent return year-to-date as of May 11, 2026, significantly outperforming the broader market. In contrast, the Nifty 50 has declined around 8.9 per cent over the same period. This remarkable relative strength saw the power sector steadily gain ground from mid-February onward, accelerating sharply through April to touch a high of 8,321, while the Nifty struggled with consistent weakness, particularly in March. The outperformance highlights robust investor interest in the power sector amid broader market consolidation.

Power Sector Outperformance YTD (2026)



Constituents such as Adani Power have surged over 40 per cent on a YTD basis, while specialised players like GE Vernova T&D and Hitachi Energy have delivered eye-watering returns of 38 per cent and 46 per cent respectively in the same period.

The secret isn't a fluke of the market tape; it's a confluence of three major forces: a massive demand recovery, a decisive policy push toward the energy transition, and a radical

improvement in the financial health of the companies that keep the lights on. As India targets an expansion of its power capacity from approximately 525 GW today to over 800 GW, the sector is no longer just a defensive play, it has become a primary engine of the national growth story.

The 250 GW Awakening: A Demand Surge Reborn

The most immediate tailwind is a sharp recovery in consumption. Peak power demand in India touched a massive 256 GW in April 2026, reflecting a deep-seated need for energy across a rapidly urbanising and industrialising nation. This demand isn't just about keeping the air conditioners running; it is driven by a trifecta of industrial revival, residential expansion and aggressive agricultural needs.

For years, the power sector was weighed down by 'right-of-way' issues and land acquisition nightmares that stalled projects and drained investor confidence. Today, those bottlenecks are clearing as policy resolutions on the transmission side see significant progress. This clearing of the 'path to power' has allowed companies to finally meet the burgeoning demand that has recovered from lows of 210 GW in early 2025 to the current heights.

The Conventional Pivot: Legacy Giants as Green Engines

In a counter-intuitive twist, the biggest winners in the green transition aren't necessarily the pure-play renewable startups, but the legacy giants with deep pockets and diversified portfolios. Companies like NTPC Ltd, India's largest producer with over 75 GW of capacity, are generating steady electricity from coal and gas while aggressively adding renewable projects.

The conventional players with strong operating cash flows are deploying their capital towards integration of solar sales or models or battery storage, and these companies stand to benefit.

This 'backward integration' provides a safety net that pure

renewable players often lack. By using the reliable income from conventional power to fund high-growth solar, wind and storage assets, these veterans are capturing the largest profit pools of the energy transition. A balanced mix of thermal and renewable assets reduces exposure to fuel price volatility and policy shifts, making firms like NTPC and Tata Power particularly attractive to long-term strategists.

Transmission: The Invisible ‘Toll-Booth’ Opportunity

As India expands toward its goal of 500 GW of renewable capacity by 2030, the spotlight is shifting from making power to moving it. Renewable resources are often geographically distant from industrial load centres, creating an urgent need for massive transmission infrastructure. Power Grid Corporation of India Ltd, which transmits more than half of India’s electricity via a network of over 1.75 lakh km, has become the ‘toll-booth’ of the energy economy.

In a high-volatility market, the transmission sector offers a rare combination: regulated returns and aggressive capital expenditure. For instance, Power Grid incurred a capital expenditure of ₹26,761 crore in just the first nine months of FY 2025-26 and ₹35,540 crore by March 2026, surpassing its target. Investors are realising that you can build all the solar farms you want, but without the high-voltage ‘highways’ to carry that electricity, the transition stops.

The Solar Paradox: Policy Aspirations vs. Manufacturing Realities

Perhaps the most surprising takeaway for investors is the growing complexity within the solar manufacturing segment. Despite a massive ₹24,000 crore Production Linked Incentive (PLI) scheme intended to boost local production, solar equipment makers had received no funds under the scheme by the end of February 2026.

This creates a fascinating investment tension. While the national goal for green energy remains absolute, the manufacturers of the ‘hardware’ are facing potential margin pressure. The paradox is that while the demand for solar power is high, the supply of manufactured components is caught in a regulatory and funding bottleneck. Savvy investors are now looking beyond just the ‘solar label’ and into companies that can navigate these complex policy environments.

The Clean Energy Frontier: From Hydrogen to Storage

India is no longer just looking at solar panels; the frontier has moved to high-tech energy solutions. The sector is seeing an unprecedented boom in Foreign Direct Investment (FDI) as global corporations and startups look to set up green subsidiaries, particularly in green hydrogen and advanced legal services for energy transition.

Storage, however, remains the ‘holy grail’ of grid resilience. In November 2025, India inaugurated its largest and first MWh-scale Vanadium Redox Flow Battery (VRFB) system at NTPC NETRA. This 3 MWh system represents a major leap toward Long-Duration Energy Storage (LDES), which is essential for integrating intermittent renewable energy into a stable national grid.

Discoms: The Financial Health of the Last Mile

Historically, the weakest link in the Indian power chain was the financial health of distribution companies (discoms). If the discoms couldn’t pay the generators, the whole system ground to a halt. Today, we are seeing a marked improvement in discom financials, which has been a primary catalyst for the recent sector outperformance. Reduced payment cycles and better grid management mean that the ‘payment risk’ that once terrified investors is finally being mitigated.

Final Thought to Ponder

The trajectory for the next decade is defined by the ‘Viksit Bharat’ vision of a developed India by 2047. To support this growth, the Central Electricity Authority (CEA) projects that India’s installed capacity must reach 1,029 GW by 2034-35, effectively doubling current capacity in less than ten years.

This next phase of growth moves beyond simple capacity addition to intelligent flexibility and storage. The roadmap includes the integration of:

- **Battery Energy Storage Systems (BESS):** 99 GW / 396 GWh (providing 4 hours of storage).
- **Pumped Storage Plants (PSP):** 62 GW (providing 6–7 hours of daily storage).

The ‘Robust Transformation’ of the Indian power sector, as detailed in the FY 2025-26 records, is no longer a government projection; it is a realised market reality. By fixing distribution finances, scaling the world’s largest grid, and flipping the script on fossil fuels, India has fundamentally de-risked its power sector, positioning it as a premier destination for global infrastructure capital for the long term.

In the 20th century, power was a commodity measured in units of electricity; in the 21st, it is an infrastructure asset measured in resilience and transition speed. The real winners aren’t just those who generate the most megawatts, but those who own the ‘highways’ of the grid and the cash flow to build the storage of the future. The quiet renaissance of the utility giant is only just beginning.

A Forward-Looking Summary

The power sector has evolved from a stagnant utility play into a multi-decade capex and technology story. With the Central Electricity Authority’s National Electricity Plan (2022-32) setting ambitious targets for capacity and transmission, the sector is entering a ‘Goldilocks’ zone of sustained demand and improved policy clarity.



Tax Column



Jayesh Dadia
Chartered Accountant

Every year, I receive money from different people on various occasions, which I invest in the stock market. Do I need to disclose such amounts in my ITR? If I have not reported them in earlier filings, could it lead to issues in the future? If yes, what steps can I take now to rectify the situation?

Receipt of money from different people in aggregate of ₹50,000 per year is taxable as income from other sources. However, if this amount is received from a relative as defined in Section 56(2)(x) of the Income Tax Act, then the same is exempt and not taxable. So just verify the person from whom you have received the amount on various occasions and if it exceeds ₹50,000 and is not from a relative, then the same should be offered for taxation in your Return of Income.

Further, if your total income, after considering all these amounts from different people on various occasions, is still below the taxable limit, then there is no need to file a Return of Income. However, if the total income exceeds the taxable limit, then you have to disclose it in your Return of Income, i.e., ITR.

Earlier Returns of Income, i.e., up to the financial year 2024-25, cannot be filed now as the time limit is over. However, for the current financial year, i.e., 2025-26 onwards, you can disclose the amount received from a non-relative as taxable, add it to your other income and file the Return of Income within the due date.

The only way to rectify the mistake committed by you by not offering the amount in the Tax Return of earlier years is to file the updated Return under Section 139(8A) of the Income Tax Act. Here you have to pay additional 25 per cent or 50 per cent taxes, if the Return is filed after two years or more than two years respectively. However, you may take help from your Chartered Accountant/Tax Consultant to compute the tax liability and compliance procedures.

I am an individual and sold my residential house comprising land and building for a consideration of ₹5 crore in the financial year 2025-26. The agreement was registered, possession given and the consideration was received. Subsequently, due to certain legal hurdles, the sale transaction got reversed in the same financial year. The cancellation agreement was registered, possession was taken back and the sale consideration was repaid. Whether do I still have to offer capital gain earned on the sale agreement and pay tax thereon?

Under the Income Tax Act, capital gains tax arises only if a transfer under Section 2(47) of the Income Tax Act, 1961 actually takes place and remains effective. In your case, initially you registered a sale deed, gave possession of your house comprising land and building and also received full consideration. The buyer has also paid stamp duty and deducted applicable TDS. At this point, transfer took place and capital gain arose. However, subsequently the sale transaction was cancelled and reversed by entering into a cancellation deed, repayment of consideration and taking back possession of the residential house. As such, effectively, the transfer which happened initially at the time of sale did not subsist at the year end. Therefore, technically the ownership of the residential house comprising land and building was restored back to you at the end of the financial year. Therefore, in my opinion, no effective transfer took place and accordingly no capital gain arises in the financial year 2025-26.

However, the Assessing Officer may tax

you on the basis of registration of the sale, but by producing both the sale deed and the cancellation deed and proof of refund of consideration and possession reversal, you may get relief at the Assessing Officer level itself. If the Assessing Officer does not agree, then at the appellate level you have a very good chance of succeeding. There are case laws, including judgements of the Apex Court and the Bombay High Court, where it has been held that if a transaction is rescinded or cancelled in the same year or subsequently, no real income has accrued to the taxpayer.

I have received a compensation of ₹3 crore plus interest of ₹2 crore from a tenant for using my premises illegally. The compensation was awarded by the Court where the dispute was settled after almost 10 years. Could you let me know whether the amount received is taxable and if yes, under which head?

What you have received is termed as mesne profit received from a tenant for unauthorised occupation of property. This is a very common nature of compensation a landlord receives. Taxability of mesne profit is a controversial issue under the Income Tax laws. The Courts have delivered conflicting rulings. Some Courts have treated this as a capital receipt while others have classified it as a revenue receipt. However, interest of ₹2 crore is certainly taxable under the head Income from Other Sources.

In view of conflicting judgements, my personal view is that the entire amount is taxable as Income from Other Sources. It cannot be taxed under the head Income from House Property because it is in the nature of damages for wrongful occupation and not rent or annual value.

Further, it is received as a result of litigation. Therefore, it cannot be treated as additional rent but is in the nature of compensation. In the absence of any Supreme Court ruling which directly settles this issue, my opinion is that you should kindly offer it to tax to avoid litigation.

We would be happy to address your tax-related queries. Kindly share them with us at editorial@dsij.in



A BREAKOUT PRESCRIPTION

Apollo Hospitals
BSE Code: 508869
CMP: ₹8,019.60

Apollo Hospitals Enterprise Limited continues to command a strong position in India's private healthcare space, backed by its hospital network, diversified healthcare operations and steady cash flow generation.

According to a technical analyst from a leading broking firm, the stock is hovering near a major breakout zone. A confirmed breakout could open the door for a medium term move towards five digit levels. Volumes have also started picking up, signaling renewed market interest. With earnings due in May and the board expected to consider a dividend, street buzz suggests that a sizeable payout could be on the table. For investors tracking healthcare leaders, Apollo Hospitals is one counter that may deserve close attention before the momentum gathers further pace.

THE TURNAROUND SCRIPT

Biocon
BSE Code: 532523
CMP: ₹402.15

Biocon is trying to move from heavy investment to sharper execution. FY26 marked a key reset, with the company completing the integration of Biocon Biologics and shifting

focus towards better utilisation, margin improvement and deleveraging. Q4 revenue from operations stood at Rs 4,517 crore, while EBITDA came in at Rs 1,073 crore, supported by biosimilars growth and improving operating leverage. The fresh trigger comes from Biocon Pharma receiving Health Canada approval for Micafungin for Injection, strengthening its integrated biosimilars and generics portfolio. For the Street, the story now hinges on whether recent launches, capacity utilisation and margin recovery can turn this reset into sustained earnings momentum.

GROWTH ENGINE FINDS A NEW GEAR

Affle 3i
BSE Code: 542752
CMP: ₹1,584.40

Affle 3i delivered a stronger than expected Q4, with revenue rising 20.3 per cent YoY, led by India and emerging markets, which grew 21.2 per cent. Developed markets also improved, growing 18 per cent as deferred revenue started flowing in. Growth was supported by deeper client engagement, new customer additions and steady traction across key verticals. Gross margin slipped 114 bps to 38 per cent due to expansion led investments, but FY26 EBITDA margin improved 120 bps YoY to 22.5 per cent, moving closer to the 23 to 24 per cent guidance band. With AI led advertising, developed market expansion and CPC based performance advertising, Affle enters FY27 with healthy earnings visibility.



ZINC EDGE

Hindustan Zinc
BSE Code: 500188
CMP: ₹641.55

Hindustan Zinc has tied up with Group Nirmal to set up a zinc wire facility at the Zinc Industrial Park in Rajasthan. Under the agreement, Group Nirmal will manufacture zinc wire products using

Hindustan Zinc's Special High-Grade zinc. These products cater to infrastructure, renewable energy, automotive and industrial engineering sectors. Zinc wire is used in thermal spray coating and metallising, where it protects steel structures from corrosion. Bridges, transmission towers, railways, ports and pipelines are key use cases. The move strengthens Hindustan Zinc's downstream play and adds long term visibility to the stock story.



(Closing price as of May 12, 2026)

MUTUAL FUND UNLOCKED

DALAL STREET INVESTMENT JOURNAL

DEMOCRATIZING WEALTH CREATION

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Cover Story

Is Mutual Fund Alpha Still Alive?

Special Report

**Mid-Career Money
Trap: Are You
Prepared?**

ISSN 0971-7579



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Vol. 41 No. 13

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Passive Investing in India, From Marginal to Mainstream

Five years ago, suggesting passive investing to a retail mutual fund investor in India would yield sceptical responses. Today, the numbers speak louder than any pitch.

India's passive mutual fund industry closed FY26 with assets under management of ₹14.63 lakh crore, accounting for 18 per cent of the entire mutual fund industry. This is higher than 17 per cent just a year earlier. The acceleration is undeniable: passive assets surged from ₹11.13 lakh crore in FY25 to ₹14.63 lakh crore, a growth trajectory that reflects genuine investor embrace.

But the most striking evidence lies in adoption metrics. The number of passive schemes expanded 21 per cent, from 614 to 740 schemes, while investor folios exploded 40 per cent, rising from 4.1 crore to 5.7 crore accounts. This is not institutional money driving growth; these numbers reveal retail India awakening to passive investing's power.

The transition of passive mutual funds from the investment fringes to the mainstream represents a watershed moment for Indian mutual fund investors. What was once dismissed as a strategy for only the sophisticated few has become the choice of discerning savers seeking simplicity, transparency, and superior long-term outcomes.

Investors now understand, why surrender 1.5-2 per cent annually to active managers when index funds deliver market returns at 0.1-0.5 per cent? Over decades, this mathematics compounds decisively.

Yet mainstream adoption does not signal active management's obsolescence, it reflects market maturity. Sophisticated investors now employ balanced approaches: passive core holdings supplemented by active positions in specialised segments.

I celebrate this democratization true to our magazine mission. It promotes financial discipline, reduces emotional decisions, and creates generational wealth through patient, systematic investing.

The question is not whether passive investing has gone mainstream. These numbers confirm it has. The question now is: are you ready to join the movement?

Shashikant Singh
Executive Editor

Why Risk Capacity Matters More in Investing

I found your story on risk tolerance versus risk capacity very insightful. Ideally, which of the two should be higher?

- Sangam Bhootra

Editor Responds : Ideally, an investor's risk capacity should be higher than or at least aligned with risk tolerance. Risk tolerance reflects the emotional ability to handle market volatility, while risk capacity refers to the financial ability to absorb losses without affecting long-term goals.

Many investors believe they can take high risks during bullish phases, but panic during sharp corrections. Hence, investment decisions should be driven more by risk capacity than emotions. Factors such as income stability, emergency savings, financial responsibilities, time horizon, and future goals determine true risk capacity. Even if someone has high emotional tolerance for risk, excessive exposure to volatile assets may not be suitable if financial capacity is limited. A balanced approach between both helps create a sustainable long-term investment strategy.

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Mid-Career Money Trap: Are You Prepared?



Is Mutual Fund Alpha Still Alive?

India's mutual fund industry is moving from faith in fund selection to evidence-led portfolio construction. Passive funds are larger and cheaper, active large-cap funds face a tougher scorecard, and alpha is becoming more selective in where it survives

A Turning Point in Indian Investment Landscape

Somewhere between the ₹39,955 crore that flowed into passive funds in January 2026 and the finding that nearly three-fourths of Indian active large-cap funds lagged their benchmark in calendar 2025, an old market assumption began to weaken. The assumption was simple: a mainstream active large-cap fund should be expected to beat the market often enough to justify its fee.

The numbers now make that belief harder to defend. Passive assets under management had already reached an all-time high of ₹15.41 lakh crore in January 2026. Even after a pullback, passive AUM stood at ₹14.12 lakh crore in March 2026. At the same time, the SPIVA India scorecard for year-end 2025 showed that large-cap underperformance was not a marginal issue. It was the dominant outcome. That is the real shift in Indian mutual funds. Active management has not suddenly become irrelevant. The market has simply become far more demanding about where investors should pay for it. In a

scheme-level review of active large-cap funds with 10-year track records, only 3 of 23 regular-plan schemes beat their own benchmarks over the decade ended December 2025, or about 13 per cent. In direct plans, where expenses are lower, the number of outperformers rose sharply to 11.

That difference between regular and direct plans captures the story in one frame. In large-caps, investors are often not fighting only the market. They are fighting the market plus fees. For serious investors, the implication is uncomfortable but useful. The era of buying active large-cap funds by default is fading. What should replace it is not blind passivism. It is a cleaner separation between cheap market exposure and scarce manager skill. The core of the portfolio should buy efficient beta at a sensible cost. The satellite sleeve should pay for active skill only where the probability of genuine alpha is more defensible.

The Efficiency Shift

Data from the Association of Mutual Funds in India, regulatory changes from SEBI, and performance scorecards

published by S&P Dow Jones Indices point in the same direction. Indian large-cap investing has become more competitive, more transparent, and less forgiving of fees.

SPIVA's year-end 2025 numbers are stark. On an absolute-return basis, 74.19 per cent of active large-cap funds underperformed over three years, 84.38 per cent underperformed over five years, and 76.29 per cent underperformed over 10 years.

Metric	3-Year	5-Year	10-Year
Funds Underperformed (Absolute)	74.19%	84.38%	76.29%
Funds Underperformed (Risk-Adjusted)	48.39%	68.75%	78.35%
S&P India LargeMidCap Return	16.20%	16.02%	14.68%
Active Fund Average Return	15.87%	15.00%	13.21%
Return Gap vs Benchmark	-0.33 pp	-1.02 pp	-1.47 pp

The gap may look small on paper. It becomes meaningful when compounded over time. On SPIVA's equal-weighted 10-year numbers, ₹1 crore compounded at the benchmark's 14.68 per cent annualised return would have grown to roughly ₹3.93 crore. The average active large-cap fund, compounding at 13.21 per cent, would have grown to about ₹3.46 crore. The gap is roughly ₹47.6 lakh on a single ₹1 crore starting amount.

This is not merely a performance statistic. It is the cumulative cost of operating in a market segment where stock-picking edges are modest, quickly arbitrated, and easily consumed by expenses and execution friction. Large-caps sit in the top 100 companies by full market capitalisation. This is the part of the market with the deepest liquidity, the heaviest analyst coverage, the widest management access, and the largest institutional ownership.

INVESTOR LENS

In efficient segments, the first benchmark is not the index. It is the fee. A manager must beat the benchmark and recover the cost of active management before the investor receives net alpha.

The Passive Fund Revolution

The economics of passive investing have moved from interesting to unavoidable. In May 2025, passive fund assets touched a record ₹12.24 lakh crore. By February 2026, passive AUM had climbed to ₹15.24 lakh crore, with passive funds representing roughly 17 per cent of total industry AUM.

Period	Passive AUM (₹ Lakh Crore)	% of Industry AUM	Key Development
May 25	12.24	16.90%	Record at the time
Jan. 26	15.41	~17%	All-time high
Feb. 26	15.24	~17%	Slight pullback
Mar. 26	14.12	~16%	Normalisation

AMFI-Crisil data captures the scale of the shift. Passive funds' share of industry assets rose from 7 per cent to 17 per cent over

the five years ended March 2025. Investor behaviour has changed as well. By December 2025, direct plans accounted for 28 per cent of total individual investor AUM, while the share among women investors rose to 25.2 per cent.

The index fund story is even sharper. Index fund folios grew at a CAGR of 78 per cent between March 2020 and December 2025. That rise is not merely a product trend. It reflects a gradual change in investor preference: more people are willing to separate market exposure from manager selection.

The Cost Equation

SEBI's revised framework has also tightened the cost conversation. The base expense ratio for equity-oriented open-ended schemes with AUM up to ₹500 crore has been reduced from 2.25 per cent to 2.10 per cent, while the cap for index funds and ETFs has been lowered from 1.00 per cent to 0.90 per cent. These revised limits exclude statutory levies, making the fee structure more transparent for investors.

The direction is clear. Lower-cost models are gaining relevance, and new digital-first entrants such as JioBlackRock Asset Management plan to follow a direct-only model that bypasses traditional distribution layers. On average, distributed active funds charge about 1.78 per cent in total expense ratios, while direct plans can reduce investor cost by 0.5 to 0.6 percentage points.

The Survival of Alpha

If all this sounds like the end of alpha, it is not. It is the relocation of alpha. The sharper question is no longer simply active or passive. It is active where?

SPIVA's year-end 2025 scorecard makes that distinction visible. While active large-cap funds continued to face a difficult benchmark challenge, Indian equity mid-cap and small-cap funds delivered a much stronger relative showing in the same period.

Category	Key Metric	Performance
Mid/Small-Cap Funds	Best in a decade	12.07%
S&P India Small-Cap	Annual Return 2025	-7.85%
Active Mid/Small-Cap	Equal-Weighted Basis	-0.70%
Active Mid/Small-Cap	Asset-Weighted Basis	-0.26%

The market backdrop supported active decision-making. SPIVA recorded a sector return spread of more than 39 per cent between the best-performing Energy sector and the worst-performing Information Technology sector in 2025. Energy alone beat its benchmark by almost 20 per cent. Such dispersion creates room for stock selection, sector positioning, and portfolio judgement to matter.

This is the essential nuance. Alpha may be harder to find in the crowded large-cap space, but it has not disappeared. It has shifted to areas where information gaps, liquidity differences, and dispersion remain meaningful.

Long-Horizon Data: The Paradox

The mid-cap and small-cap data also reveal a paradox. The equal-weighted average active mid-cap and small-cap fund beat its benchmark across multiple long-term periods, yet a meaningful share of individual funds still underperformed. This is exactly why manager selection matters.

Horizon	Active Fund Average Return	Benchmark Return	Average Outperformance	Funds Underperformed
3-Year	21.41%	20.11%	1.30%	41.5%
5-Year	22.89%	22.01%	0.88%	46%
10-Year	17.18%	16.47%	0.71%	79%

The contradiction is the message. Less efficient segments can still house real alpha, but that alpha is uneven. It is lumpy, concentrated, and deeply dependent on which manager the investor chooses. Alpha survives, but selection risk rises with it.

Why Efficiency Is Uneven

Efficiency is not uniform across the market. In the top 100 companies, information is abundant, and most investors are evaluating the same businesses. In the broader mid-cap and small-cap universe, analyst coverage is thinner, liquidity is less uniform, and benchmark weights leave more room for managers to express differentiated views.

That differentiation may come from earnings quality, capital allocation, management behaviour, balance-sheet discipline, sector cycles, or valuation gaps. This does not make smaller companies easy. It makes them less fully arbitrated. Large-cap alpha is structurally harder because the universe is narrower and information travels faster. In smaller companies, the opportunity set is wider, but the cost of mistakes is also higher.

Thematic And Sector Opportunities

Niche thematic and sector funds belong in this conversation, but with caution. Wide sector dispersion can create windows for managers with genuine frameworks, domain knowledge, and decisiveness. Yet thematics are not substitutes for a core portfolio. They are tactical satellites at best.

The same features that create alpha opportunities also create risk. Narrow universes, narrative-driven flows, lower liquidity, and faster changes in sentiment can lead to deeper drawdowns and higher timing risk. Inefficiency can be investable, but it is never free.

The Core And Satellite Solution

This is where portfolio construction must catch up with market reality. A core-and-satellite framework is not a fashionable label. It is an operating system for dealing with an uneven market. The core should seek broad-market exposure at the lowest sensible all-in cost. Representative passive large-cap products show expense ratios around 0.04 per cent for a Nifty 50 ETF, 0.07 per cent for a Nifty 50 index fund, and 0.20 per cent for a direct-plan Nifty 50 index fund. By contrast, representative direct-plan active large-cap funds show expense ratios around 0.71 per cent, 0.83 per cent, 0.86 per cent, and 1.26 per cent.

Core Message	Explanation
Passive large-cap is cheap	Current passive large-cap products show expense ratios ranging from 0.04% to 0.20%.
Active large-cap is costly	Representative direct-plan active funds show expense ratios of 0.71% to 1.26%.
Regular plans widen the gap	Distribution costs make regular-plan active funds even more expensive.
Fees are the hurdle rate	The expense ratio is the return a manager must recover before investors receive net alpha.
Marginal alpha can disappear	Small pre-cost outperformance can be erased once fees are deducted.

For the satellite sleeve, discipline matters more than optimism. Active exposure should not become a parking lot for every exciting market story. It should be consciously risk-budgeted and allocated to a small number of managers or mandates where the case for alpha is more defensible.

The most suitable satellite areas may include mid-cap funds, small-cap funds, select sector funds, tactical thematic strategies, or mandates where benchmark inefficiency remains materially higher than in the large-cap core. The sleeve must be small enough to ensure that one bad idea does not damage the portfolio, but large enough to matter if the manager is genuinely skilful.

Portfolio Role	Investment Mandate	Product Type	Expense Ratio	Key Takeaway
Core	Broad-market exposure, lowest cost	Passive large-cap ETF	~0.04%	Large-cap beta is extremely cheap
Core	Track the market	Nifty 50 index fund	~0.07%	Simple low-cost exposure
Core	Long-term exposure	Direct passive fund	~0.2%	Cheaper than active funds
Satellite	Alpha generation	Active mid/small-cap	0.71% - 1.26%	Manager must beat benchmark after costs
Satellite	Selective courage	Thematic / Sector	0.8% - 1.5%	Higher risk, higher return potential

PORTFOLIO ARCHITECTURE

Use the core for market participation and cost efficiency. Use the satellite for selective courage, manager skill and differentiated opportunity. Do not confuse the two jobs.

Due Diligence: Looking Beyond Trailing Returns

The harder the market segment, the more important due diligence becomes. A fund that tops a one-year return table may simply be benefiting from a style tailwind. Good manager assessment must separate durable skill from favourable timing.

- ✓ Check whether the fund has generated net alpha across rolling periods, not just over one start and end date.
- ✓ Compare risk-adjusted performance through alpha, beta,

Sharpe ratio, standard deviation, and upside/downside capture.

- ✓ Study whether the portfolio is genuinely different from the benchmark or merely charging active fees for low-active-share exposure.
- ✓ Review the fund's behaviour in weak markets, because downside control often reveals process quality better than bull-market returns.
- ✓ Assess the stability of the investment team, research process, valuation discipline, and portfolio construction framework.
- ✓ Treat cost as part of the investment decision, not as an afterthought.

Liquidity risk, larger drawdowns, benchmark mismatch, and behavioural mistakes can hurt when markets turn.

That is why the satellite sleeve must remain a sleeve, not a substitute for the whole portfolio. If passive is a poor excuse for laziness, active is an even poorer excuse for indiscipline. The real mistake in 2026 is not choosing one camp over the other. It is paying for the wrong tool in the wrong segment.

Conclusion: The 2026 Playbook

The Indian mutual fund industry has crossed an important line. Passive funds reached ₹12.24 lakh crore in May 2025, roughly 17 per cent of industry AUM at that time. By January

The Alpha Challenge: How Passive Funds Are Reshaping Mutual Funds

Trend / Development	Data Point / Status	What It Indicates	Possible Impact on Industry
Passive funds gaining scale	Passive fund AUM stood at ₹12.24 lakh crore in May 2025	Passive investing has moved from being a niche category to a meaningful part of the mutual fund industry	Investors are increasingly accepting index funds, ETFs and rule-based investing as core portfolio options
Share of passive funds in industry AUM	Passive funds accounted for around 17 per cent of industry AUM in May 2025	Nearly one-sixth of the industry's assets had shifted towards low-cost passive products	Active fund houses may face pressure to justify higher fees through consistent outperformance
Passive AUM reaches record high	Passive AUM touched ₹15.41 lakh crore by January 2026	The segment continued to grow strongly within eight months	Product launches, institutional adoption and retail participation in passive schemes may increase further
Direct plans gaining share	Rising preference for direct plans	Investors are becoming more cost-conscious and digitally aware	Distributors and advisory platforms may need to shift from transaction-led selling to advice-led engagement
Fee caps tightened	Regulatory focus on lowering costs	The industry is moving towards greater cost efficiency and investor protection	Fund houses may face margin pressure, especially in actively managed schemes
Digital-first entrants emerging	New players are targeting lower-cost distribution	Technology-led platforms are changing how mutual funds are sold and accessed	Competition may intensify, especially in direct plans, passive funds and low-cost investment products

Risks And Nuances

Passive Is Not Automatically Perfect — Low cost is not the same as good implementation. Tracking difference depends on expense ratio, rebalancing efficiency, dividend handling, securities lending, order execution, and the way a fund manages inflows and outflows.

ETFs also carry ownership costs such as brokerage, bid-ask spreads, demat charges, securities transaction tax, and exchange fees. Long-term investors cannot choose passive products by TER alone. Tracking discipline and benchmark quality matter as much as headline cost.

Active Management Is Not Dead — The large-cap story also contains nuance. In calendar 2025, asset-weighted large-cap funds returned 9.42 per cent against 8.91 per cent for the benchmark over one year, even though about 75 per cent of individual funds underperformed on a count basis. This suggests that skill may be concentrated rather than absent.

Mid-Cap and Small-Cap Require Caution — Investors should avoid romanticising less efficient segments. Mid-cap and small-cap alpha may be more available, but the path is rougher.

2026, passive AUM had touched a record ₹15.41 lakh crore. Direct plans are gaining share. Fee caps have been tightened. New digital-first entrants are targeting lower-cost distribution.

None of this kills active management. But it does weaken the complacent assumption that investors should continue paying large-cap active fees simply because the category has traditionally been sold that way.

For investors and advisers thinking about 2026 and beyond, the playbook is sharper: use passive large-cap funds and ETFs for the core, use active funds selectively where inefficiency remains visible, and judge every rupee of cost against the probability of real net alpha.

The question is no longer whether active or passive is superior in the abstract. The question is where each tool belongs. In an efficient market, alpha does not vanish. It becomes choosier. The investor's job is to become choosier with it.

Large-cap exposure should increasingly be bought for efficiency. Active management should be paid for only where manager differentiation is visible in both holdings and outcomes.



Invesco India Smallcap Fund Direct-Growth

Equity: Smallcap

Scheme Category

22.71% p.a.

Returns Since Inception

11,038

AUM (₹ Cr.) Apr 30, 2026

47.12

NAV (₹) May 12, 2026

0.66%

Expense Ratio (%)
Apr 30, 2026

BSE 250 SmallCap TRI

Benchmark

For units in excess of 10% of the investment, 1% will be charged for redemption within 1 year.

Exit Load

Taher Badshah & Aditya Khemani

Fund Managers

Reason for recommendation

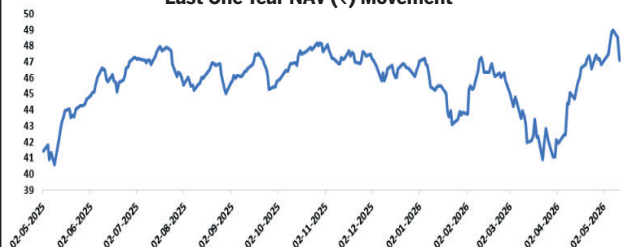
Small-cap funds may remain attractive for long-term investors as India's economic growth becomes more broad-based. These companies can benefit from rising domestic demand, formalisation, capex recovery and sector-specific opportunities. However, small-cap funds are volatile, so they suit investors who can stay invested patiently through market cycles. Hence, our selection of MF Select is Invesco India Smallcap Fund. The fund has delivered consistent outperformance across all time periods mentioned. In the last six months, it returned 4.44 per cent against the category average of 4.19 per cent, outperforming by 0.25 percentage points. Over one year, it generated 15.94 per cent, compared with 13.37 per cent for the category, a lead of 2.57 percentage points. The outperformance becomes stronger over longer periods. Over two years, the fund delivered 16.00 per cent versus the category average of 10.93 per cent. Over three years, it returned 26.36 per cent, ahead of the category average of 20.72 per cent. It also stayed ahead over four, five and seven years, showing consistency across market phases. The portfolio has a strong sector spread. Services account for 22.29 per cent, followed by Healthcare at 21.96 per cent and Financials at 17.45 per cent. Consumer Discretionary and Automobiles hold 6.21 per cent and 6.03 per cent, respectively. This allocation

Top Holdings

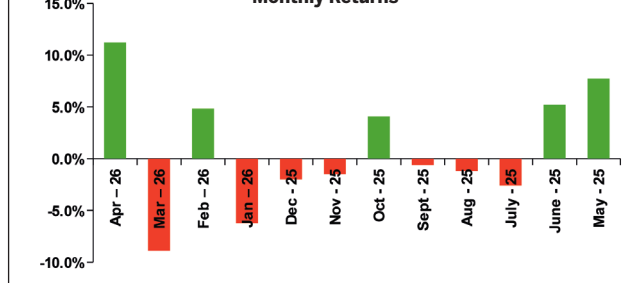
COMPANY NAME	% TO NET ASSETS
Amber Enterprises India Ltd.	4.87
Sai Life Sciences Ltd.	4.79
Max Healthcare Institute Ltd.	4.12
Interglobe Aviation Ltd.	3.88
Krishna Institute of Medical Sciences Ltd	3.84
Eternal Ltd.	3.52
Aditya Infotech Ltd.	3.52
BSE Ltd.	3.00
RBL Bank Ltd.	2.69
Karur Vysya Bank Ltd.	2.57

gives the fund exposure to domestic growth, healthcare expansion, financial services and consumption-led opportunities. On risk, the fund stands out for its lower beta. Invesco India Smallcap Fund has a beta of 0.84, lower than ITI Small Cap Fund, Mahindra Manulife Small Cap Fund, Bandhan Small Cap Fund and Bank of India Small Cap Fund. This indicates relatively lower sensitivity to market movements. Its top holdings include Sai Life Sciences, Amber Enterprises, Max Healthcare, Krishna Institute of Medical Sciences and InterGlobe Aviation. Overall, the fund may be suitable for investors seeking long-term small-cap exposure with consistent outperformance and relatively controlled market sensitivity.

Last One Year NAV (₹) Movement



Monthly Returns



Flexicap Funds: Designed for Uncertain Markets



Juned Ahmad Siddiqui

Mutual Fund Distributor

Charles Darwin's 'On the Origin of Species' argued that survival is determined not by strength, but by adaptability. The same principle applies to equity investing. In equity markets, where valuations are uneven and cycles turn abruptly, flexibility, not conviction, often determines the outcome. Flexi-cap mutual funds are built around this premise.

Flexi-cap funds are equity-heavy by design, but unlike category-bound peers, they retain the ability to manoeuvre across market capitalisations as and when conditions change. Their defining feature is not aggression, but discretion. By shifting exposure between large-cap, midcap and small-cap stocks in response to valuations and macro signals, they aim to maximise the upside while containing the downside during adverse phases of the cycle.

At any given point, a flexi-cap fund can dynamically shift to overweight or underweight segments of the market based on relative attractiveness. When valuation gaps widen or economic visibility deteriorates, portfolios can be anchored in large-cap stocks, which typically offer earnings stability, strong cash flows and lower volatility. Conversely, when growth accelerates and capacity utilisation improves, selective exposure to midcap and small-cap stocks can be increased to capture higher earnings momentum and re-rating potential.

This adaptability sets flexi-cap funds apart from other equity categories. Large-cap funds are required to maintain a minimum exposure to the biggest companies, irrespective of valuation. Multi-cap funds must adhere to fixed allocation thresholds across market segments, often forcing capital into overheated areas. Small-cap funds, by definition, remain exposed to the

most volatile end of the market. Flexi-cap funds face no such constraints. Allocation can range from zero to 100 per cent across capitalisation buckets, guided solely by opportunity and risk.

The result is broader diversification and reduced dependence on any single market-cap cohort. While flexi-cap funds may forgo the sharpest gains during euphoric small-cap rallies, they also avoid the steep drawdowns that typically follow. Over full market cycles, this balance tends to produce steadier, more sustainable and compounding returns than pure midcap or small-cap strategies.

“By shifting exposure between large-cap, midcap and small-cap stocks in response to valuations and macro signals, they aim to maximise the upside while containing the downside during adverse phases of the cycle.”

The investor case for flexi-cap funds rests on a belief in long-term equity compounding, combined with an acceptance that leadership rotates. In buoyant phases, when growth is strong and balance sheets are improving, midcap and small-cap exposure can drive returns. When conditions deteriorate, portfolios can retreat into large-cap stocks, insulating capital from the worst effects of macroeconomic contraction. In extreme stress, large-cap allocation can rise sharply, even approaching full exposure, while riskier segments are pared back.

The model resembles team selection in cricket. A national selector has access to the same pool of players, but chooses differently for Tests, ODIs and T20s. The skill lies not in picking the stars, but in matching players to the conditions. Flexi-cap funds operate on similar logic, deploying capital where it is most effective for the prevailing market format.

Stock selection within flexi-cap funds also varies by segment. Large-cap investments are typically driven by a top-down assessment of growth, inflation and global macro trends. Midcap and small-cap stocks, by contrast, are chosen bottom-up, based on earnings visibility, management quality and scalability. This dual approach is a defining, and underappreciated, strength of the category.

For investors navigating uncertain markets, adaptability may be the most valuable asset of all.

Mid-Career Money Trap: Are You Prepared?

Mid-career is often considered the most financially rewarding phase of life. Yet, for many individuals, it quietly becomes the period where long-term financial gaps begin widening. The challenge is not always earning more, but making smarter decisions before small financial mistakes turn into lasting wealth setbacks. Want to avoid such costly financial mistakes? Take a look



There comes a stage in life when salaries rise, responsibilities multiply, and financial decisions become more complicated than ever before. For most people, this phase begins somewhere in their late 30s and continues through their 40s. Careers are relatively stable, income is stronger than in the early years, and there is growing confidence about the future. Ironically, this is also the phase where some of the biggest financial mistakes are made.

At the beginning of a career, mistakes are easier to recover from because time is on one's side. Near retirement, people tend to become cautious and financially disciplined. But mid-career years often create a dangerous mix of confidence, pressure, and complacency. Bigger salaries encourage bigger spending. Easy access to loans creates an illusion of affordability. Market rallies fuel overconfidence in investments.

At the same time, responsibilities such as home loans, children's education, ageing parents, and retirement planning start competing for the same pool of money. The result is that many professionals earning well still feel financially stressed. A senior corporate employee earning ₹30 lakh annually may still struggle with EMIs, inadequate retirement savings, rising expenses, and insufficient insurance cover. On the other hand, a moderately paid professional with disciplined investing habits may steadily build long-term wealth.

The difference often lies not in income levels, but in financial behaviour. Mid-career is perhaps the most crucial wealth-building phase of life. Mistakes made during this period can delay retirement, increase financial vulnerability, and reduce long-term wealth creation. The good news is that most of these mistakes are reversible if identified early.

Here are some of the most common mid-career money mistakes and practical ways to fix them-



Underestimating the Cost of Lifestyle Inflation

One of the biggest traps of mid-career life is lifestyle inflation. As income rises, expenses rise equally or sometimes even faster. The first salary hike may bring a better smartphone. A bigger promotion may justify a luxury car. Another increment may encourage shifting to a larger apartment, premium vacations, club memberships, or expensive gadgets. Gradually, the entire lifestyle adjusts upward. There is nothing wrong with enjoying financial success. The problem begins when rising expenses consume all incremental income.

Consider the case of Rahul, a 40-year-old IT professional. Ten years ago, he was earning ₹12 lakh annually and managed to save nearly 35 per cent of his income. Today, his salary has risen to ₹38 lakh, but his savings rate has dropped below 15 per cent. A bigger home loan, two car EMIs, international vacations, private school fees, and luxury spending have left little room for wealth creation.

Despite earning more than ever before, Rahul constantly worries about money. Lifestyle inflation creates a dangerous illusion of prosperity. Income may rise substantially, but actual financial freedom does not improve proportionately.

How to Fix It

The most effective solution is to increase investments alongside income growth. Every salary increment should automatically raise SIP contributions and retirement savings.

Another useful approach is maintaining a target savings ratio. Mid-career professionals should ideally aim to save and invest at least 25 to 35 per cent of post-tax income, depending on goals and liabilities. Most importantly, distinguish between lifestyle upgrades and financial necessities. A better quality of life is important, but not at the cost of future financial security.



Over-Leveraging Through Loans

Easy credit availability has transformed borrowing behaviour. Today, home loans, personal loans, credit cards, consumer durable financing, and vehicle loans are widely accessible even to young professionals. Debt

itself is not always harmful. A well-planned home loan can be a productive asset. Problems arise when liabilities exceed repayment capacity. Many mid-career professionals gradually accumulate multiple EMIs without evaluating overall financial stress. A person may simultaneously pay for a home loan, luxury car loan, education loan, personal loan, and multiple credit card dues.

As long as salary flows remain stable, the burden appears manageable. However, any disruption such as job loss, medical emergency, or economic slowdown can create serious financial strain. High debt levels also reduce investment flexibility. For instance, Neha and Amit, both working professionals, jointly earn ₹45 lakh annually. However, over 55 per cent of their monthly income goes toward EMIs. Despite strong salaries, they struggle to build emergency savings or increase long-term investments. This situation is becoming increasingly common among urban professionals.

How to Fix It

Financial experts generally recommend keeping total EMIs below 35 to 40 per cent of monthly take-home income. Before taking additional loans, individuals should evaluate whether the purchase is genuinely necessary or merely lifestyle-driven. High-interest debt, especially credit card dues and personal loans, should be prioritised for repayment.

These instruments can severely damage long-term wealth creation because interest rates are extremely high. Whenever possible, surplus bonuses or incentives should partly be used to reduce liabilities instead of funding discretionary consumption. Borrowing should support long-term financial stability, not undermine it.



Inadequate Emergency Funds

Mid-career professionals often assume their stable jobs and growing experience provide sufficient financial security. Unfortunately, economic disruptions can affect even highly skilled employees. Corporate restructuring, business downturns, layoffs, medical emergencies, or family crises can unexpectedly disrupt income flows. The Covid period offered a strong reminder of why emergency funds matter.

The recent wave of layoffs across global IT leaders, driven by automation and rapid adoption of AI technologies, has also reinforced the importance of maintaining strong emergency funds and diversified income sources, even for highly skilled professionals with stable careers. Without emergency savings, individuals may be forced to liquidate long-term investments at the wrong time or rely on expensive borrowing. Yet surprisingly, emergency planning remains inadequate across households.

How to Fix It

An emergency fund should ideally cover at least four to six months of essential expenses. Professionals working in volatile sectors or variable-income businesses may require even larger buffers. Emergency funds should remain highly liquid and easily accessible. Savings accounts, liquid mutual funds, and short-term deposits are commonly used options. Importantly, emergency funds should not be mixed with investment portfolios or long-term savings goals. This money is not designed for returns. Its purpose is financial survival during difficult periods.



Delaying Insurance Planning

Insurance is often treated as an afterthought during mid-career years. Many individuals rely solely on employer-provided coverage without evaluating whether it is sufficient. This can become a major risk. Medical inflation in India continues to rise sharply. A single major hospitalisation can significantly disrupt finances. Similarly, inadequate life insurance can leave families financially vulnerable in the event of an unexpected tragedy.

Another common mistake is confusing investment products with pure insurance protection. Many individuals continue purchasing traditional endowment or money-back policies primarily for tax-saving benefits without fully understanding their limitations. While these products offer a combination of insurance and savings, they generally provide relatively low life cover and modest long-term returns compared to dedicated term insurance and market-linked investment options.

How to Fix It

Investors should prioritise pure term insurance, as it provides substantial life coverage at a relatively low premium and helps secure the financial future of dependents in case of an unforeseen event. They should also maintain adequate health insurance because rising healthcare inflation can significantly impact savings and investments.

Mid-career individuals should periodically review insurance adequacy rather than assuming existing policies remain sufficient forever. A comprehensive health insurance policy is essential even for individuals covered by employer plans. Corporate coverage may become unavailable after job changes or retirement.



Depending Too Much on One Asset Class

Another common mid-career mistake is excessive dependence on a single asset class. Many investors remain heavily tilted toward real estate due to emotional comfort and the belief that property prices will always appreciate. While real estate can play an important role in wealth creation, overexposure may create liquidity constraints and concentration risk.

On the other hand, some investors aggressively increase equity exposure after witnessing strong market rallies, often ignoring debt allocation completely during bullish phases. This can expose portfolios to sharp volatility during market corrections. Meanwhile, highly conservative investors who keep most savings in fixed deposits may struggle to generate inflation-beating returns over the long-term. Overdependence on any one asset class increases financial vulnerability.

How to Fix It

Asset allocation should align with financial goals, risk tolerance, age, and investment horizon. Diversification across equity, debt, gold, and other assets remains one of the most effective tools for managing risk and creating balanced long-term wealth. Equity mutual funds can support long-term growth, while debt instruments provide stability and liquidity. Gold often acts as a hedge during uncertainty and inflationary periods. Periodic portfolio rebalancing is equally important. Diversification may not maximise short-term returns, but it significantly improves long-term financial resilience.



Ignoring Tax Efficiency

Many investors focus primarily on returns while ignoring the impact of taxation on overall wealth creation. However, post-tax returns matter far more than headline returns, especially during the mid-career phase when income levels and investment exposure rise significantly. Frequent portfolio churning, poorly timed redemptions, and excessive short-term trading can create unnecessary tax liabilities that gradually erode long-term gains.

Similarly, several individuals continue investing in traditional tax-saving products merely out of habit without evaluating whether more efficient alternatives are available. Poor tax planning also leads to last-minute investments made solely for deductions rather than financial suitability.

How to Fix It

Investors should understand the tax implications of equity, debt, fixed income products, and capital gains before making decisions. Tax planning should become an integrated part of investment strategy rather than a year-end activity. Long-term investing generally improves tax efficiency compared to excessive trading. Investors should also utilise tax-advantaged

instruments appropriately based on financial goals. They may additionally consider strategies such as tax-loss harvesting, where losses booked in underperforming investments are used to offset capital gains and reduce overall tax liability.

For example, if an investor books a ₹1 lakh gain in one stock and simultaneously realises a ₹40,000 loss in another investment, tax may apply only on the net gain of ₹60,000, subject to prevailing tax rules. Similarly, spreading redemptions across financial years, using long-term capital gains exemptions efficiently, and avoiding unnecessary portfolio churn can further improve post-tax returns over time. Professional tax advice may become valuable during mid-career years when income structures and investment portfolios grow more complex. The objective is not tax avoidance, but efficient tax management within legal frameworks.



Missing Out on Retirement Planning

Many professionals assume retirement planning can wait until their late 40s or early 50s. This is perhaps one of the most expensive financial mistakes. During mid-career years, immediate goals dominate financial attention. Home purchases, children's education, family responsibilities, and lifestyle aspirations often take priority. Retirement remains a distant concept. But delaying retirement planning sharply increases the future financial burden. For example, a 35-year-old investing ₹40,000 monthly in equity mutual funds with a long-term annualised return of 12 per cent could accumulate around ₹7 crore by age 60.

If the same investment starts at age 45, the retirement corpus may shrink to nearly ₹2 crore despite identical monthly contributions. The power of compounding works best when time is available. Another major issue is underestimating retirement expenses. Inflation steadily erodes purchasing power over decades. A monthly expense of ₹1 lakh today may require over ₹3 lakh after 20 years assuming 6 per cent inflation. Healthcare costs further complicate retirement planning. Rising medical inflation can severely impact post-retirement savings.

How to Fix It

Retirement planning should become a non-negotiable financial priority during mid-career years. Start by estimating future retirement needs realistically. Consider inflation, healthcare costs, increasing longevity, and lifestyle expectations. Retirement calculators can provide useful projections. Equity mutual funds remain one of the most effective long-term retirement tools because of their inflation-beating potential over long periods.

Systematic Investment Plans help create disciplined wealth accumulation. The key is consistency rather than timing the market. Employees should also fully utilise retirement-focused

instruments such as Employees' Provident Fund, National Pension System, and Public Provident Fund as part of a diversified retirement strategy. Most importantly, retirement investments should not be repeatedly interrupted for discretionary expenses.



Neglecting Children's Education Planning

Education costs are surging significantly across India and globally. In many urban cities today, annual pre-school and nursery fees in premium schools are already approaching or even exceeding ₹1 lakh, highlighting how rapidly education costs are rising even at the very early stages of a child's academic journey. Professional courses, international education, and specialised training can require substantial financial resources in future years.

Many parents underestimate this burden during the early stages of their careers. By the time children approach higher education, the required corpus often appears shockingly large. For instance, a professional course costing ₹10 lakh today may exceed ₹30 lakh after 20 years assuming 6 to 7 per cent annual inflation. Without advance planning, parents may resort to loans, retirement withdrawals, or distress asset sales.

How to Fix It

Education planning should begin early and remain goal-oriented. Equity mutual funds are commonly preferred for long-term education goals because they provide growth potential over extended horizons. SIPs help gradually build the required corpus. Importantly, parents should avoid sacrificing retirement entirely for children's education. Education loans can support future earning potential, but retirement lacks similar financing options. Balancing both goals is essential.

Investors can also consider life-cycle or target-date funds while planning for long-term goals such as children's education or retirement. These funds automatically adjust asset allocation over time by gradually reducing equity exposure and increasing debt allocation as the target year approaches. This helps investors maintain risk discipline without requiring frequent portfolio rebalancing. Such funds can be particularly useful for individuals seeking a relatively simpler and goal-oriented investment approach.



Failing to Review Financial Progress

One of the most ignored financial mistakes during mid-career years is financial inertia. Many individuals continue with the same investments, insurance policies, and savings patterns for years without assessing whether they still match their evolving financial goals. However, life circumstances change significantly over time due to career progression, marriage,

parenthood, rising income levels, and changing market conditions.

As responsibilities increase, financial strategies also need timely adjustments. A portfolio that suited an individual in their late 20s may no longer remain appropriate in their 40s. Regular financial reviews and portfolio rebalancing are essential to ensure investments remain aligned with long-term goals, risk appetite, and future financial needs.

How to Fix It

Financial reviews should become an important annual exercise for every mid-career investor. Individuals must periodically assess investment performance, asset allocation, insurance coverage, loan obligations, retirement readiness, progress toward financial goals, tax efficiency, and the adequacy of emergency savings.

Such reviews help ensure that financial strategies remain aligned with changing responsibilities and long-term objectives. Seeking professional financial advice can also help identify blind spots, improve portfolio discipline, and strengthen overall long-term financial planning. Regular reviews create financial awareness and reduce the probability of costly mistakes.

The Bigger Lesson

Mid-career financial success is not determined solely by salary size or market timing. It depends largely on discipline, planning, and behavioural control. The biggest challenge during this phase is balancing present lifestyle aspirations with future financial security. Excessive focus on either side can create problems. Ignoring current life enjoyment entirely may reduce quality of life, while uncontrolled spending can damage long-term stability. The ideal approach lies somewhere in between.

Financial planning should not feel restrictive or complicated. Instead, it should create flexibility, confidence, and peace of mind. The encouraging reality is that most mid-career money mistakes are correctable. Even delayed retirement planning can improve through higher savings discipline. Debt burdens can be reduced gradually. Portfolios can be diversified. Insurance gaps can be addressed. Emergency reserves can be built over time. What matters most is recognising the problem early and taking corrective action before financial pressure becomes overwhelming.

Mid-career years represent the strongest earning phase for many professionals. The decisions taken during this period often determine whether the later years of life bring financial independence or continued stress. Wealth creation is rarely about one extraordinary decision. More often, it is the outcome of consistent, sensible choices repeated over many years. And for mid-career investors, there may be no better time than now to reassess those choices. Let us know your thoughts and experiences as well, including the financial challenges you overcame and the key lessons you learnt along the way.



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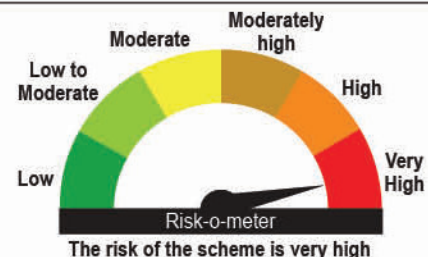


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